HT MUMBAI, NEW DELHI, BENGALURU, KOLKATA, CHENNAI, AHMEDABAD, HYDERABAD, PUNE*

Wednesday, March 11, 2026

mint

livemint.com

India relaxes curbs on FDI from China ▶P1

Refiners raise LPG output by 10%, tie up supply from US ▶P1

HT MUMBAI, NEW DELHI, BENGALURU, KOLKATA, CHENNAI, AHMEDABAD, HYDERABAD, PUNE* VOL. 9 NO. 60

Wednesday, March 11, 2026

mint

Think Ahead. Think Growth.

mint primer

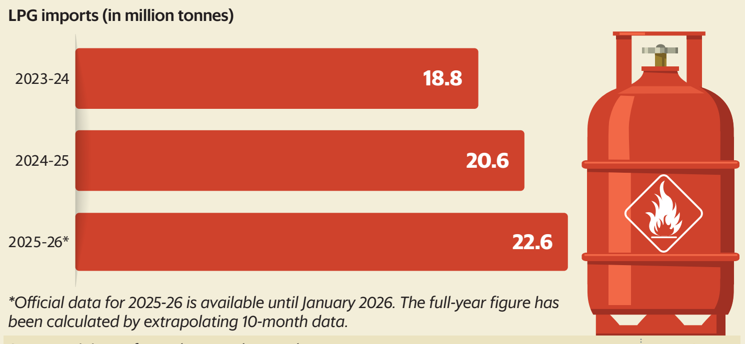
Why eateries are raising the alarm over LPG supply

VAESHNAVI KASTHURIL

The restaurant industry has raised concerns after a government order prioritizing cooking gas for household use triggered confusion over the availability of commercial cylinders used by eateries. *Mint* explains what the order says and how the industry is responding.

Gas guzzler

India imported about 21 million tonnes of LPG in FY25, making it a top gas importer.



*Official data for 2025-26 is available until January 2026. The full-year figure has been calculated by extrapolating 10-month data.

Source: Ministry of petroleum and natural gas

mint

1 What is the LPG issue affecting restaurants?

A petroleum ministry order on 5 March directed refiners to prioritize propane and butane streams for LPG production and supply it to Indian Oil Corp. Ltd, Bharat Petroleum Corp. Ltd an d Hindustan Petroleum Corp. Ltd. The order also states that LPG procured by them should be supplied solely to domestic LPG users. Industry bodies say the wording created confusion, with some distributors interpreting it as a restriction on commercial LPG cylinders used by restaurants. Restaurant associations have written to the government seeking urgent clarification to ensure uninterrupted supply.

2 How is LPG supplied to consumers in India?

More than 99% of domestic LPG in India is marketed through the three state-run oil marketing companies, which supply cylinders to households through distributors. Commercial users such as restaurants typically procure cylinders through the same distribution network under the commercial category.
India imported about 21 million tonnes of LPG in FY25, making it one of the world's largest LPG importers. The country relies on imports for roughly 55–60% of its total consumption, with most supplies coming from West Asia, including the UAE, Qatar, Saudi Arabia and Kuwait.

AFP

3 What are industry bodies doing on the supply issue?

The National Restaurant Association of India has urged the ministry to ensure continued supply of commercial LPG to restaurants. The Federation of Hotel & Restaurant Associations of India has also pressed for clarification. The Bangalore Hotels Association said restaurants in the city could start shutting from 10 March if supplies are not restored.

4 How will it affect eateries, consumers?

Estimates suggest that 80-90% of restaurants in India rely on LPG, as piped gas availability is scarce. A shortage could force restaurants to trim operations or temporarily shut kitchens, potentially affecting food delivery platforms and urban consumers who rely on outside meals. Smaller eateries that operate on thin margins and depend entirely on LPG cylinders are the most vulnerable. Larger restaurant chains may be better placed to absorb higher fuel costs or shift some operations to electric equipment.

5 How are restaurants trying to manage?

Restaurants say they are taking steps to conserve cooking gas and prepare for potential shortages. Some kitchens are shifting non-core cooking activities such as staff meals or bulk preparation to electric equipment such as induction stoves. Others are reviewing menus and exploring dishes that require less LPG or can be prepared using alternative equipment. In some cases, chefs are being asked to prioritize cooking methods that rely less on gas while reserving LPG for core kitchen operations.

QUICK EDIT

Equities in favour

February data from the Association of Mutual Funds in India signals a rise in equity appetite. Funds investing in them saw an 8% bump-up in inflows from January to ₹25,977 crore, with mid- and small-cap funds in the lead; inflows into the former rose 26% and those in the latter surged 32%. Flexi-cap funds, which are quite popular, saw inflows decline, though not by much. Debt and multi-asset funds also saw investor interest flag. On the whole, the preferred investment mix of retail investors seems to have shifted a bit, with high growth-potential stocks proving especially attractive. Last month's revival of flows into equity funds after January's decline also suggests an easing of anxiety over a flat stock market. Valuations look more reasonable now that corporate earnings have had some time to catch up with prices. But then, the latest fund inflow data doesn't capture the impact of the Gulf war that began on 28 February. The oil shock that followed has raised uncertainty and rattled equities across markets and sectors. This could hit investor optimism in March, unless US President Donald Trump calls off hostilities to contain the global economic fallout of an energy squeeze.

QUOTE OF THE DAY

We don't know where things are really going. Fares in domestic routes are unlikely to stay steady as Indian airlines will have no choice but to impose a fuel surcharge.

AJAY SINGH
CHAIRMAN & MD, SPICEJET

INSIDE

mint | DATA BITES

HOW DOES INDIA RANK IN BILLIONAIRE COUNTS?

India, with 308 billionaires, has retained third rank globally on the latest Hurun Global Rich List. City-wise, Mumbai and New Delhi have slipped in ranking, while Bengaluru moved up.

Number of billionaires

TOP 5 COUNTRIES	2025	2026	Current rank	Change in rank
China	823	1,110	1	1 ↑
US	870	1,000	2	1 ↓
India	284	308	3	-
Germany	141	171	4	1 ↑
UK	150	150	5	1 ↓

TOP 3 INDIAN CITIES	2025	2026	Current rank	Change in rank
Mumbai	90	95	6	1 ↓
New Delhi	63	64	11	2 ↓
Bengaluru	25	29	25	1 ↑

Wealth estimates are based on the values recorded on 15 January 2025 for 2025 and 15 January 2026 for 2026.

Data: Rupanjal Chauhan; Graphic: Manu Choudhary

Source: Hurun Global Rich List, 2025 and 2026

Q A with mint

EDITOR'S NOTE

Dear Subscriber,

I have a request. We want to understand your needs better so we can tailor our offerings to better serve you. We have prepared a short interview that will help us know your expectations from us better. Go to *https://bit.ly/mintsurvey2026* or scan this QR code. It takes less than 10 minutes. If you would like to share thoughts, ideas or feedback, please write to feedback@livemint.com. Looking forward to your response.

Sincerely,
— Ravi Krishnan
Editor-in-Chief

mint

PLAIN FACTS

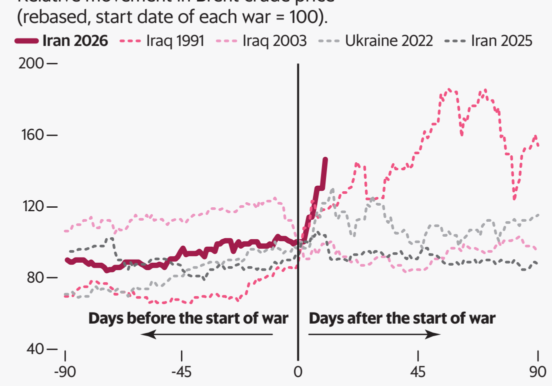
OIL ON THE BOIL: IRAN WAR VS PAST SHOCKS

BY HOWINDIALIVES.COM

When the US and Israel began bombing Iran on 28 February, crude oil prices rose but not significantly in at least a couple of days. It appeared the market's reading of the latest conflict in West Asia was similar to that of previous ones—disruptive but likely to be resolved soon. But as it became clearer that Iran was not going to cave in, and as the threat to shipping through the Strait of Hormuz—which moves 20% of the world's oil supplies—became apparent, crude oil skyrocketed past $100 per barrel before settling nervously below it. Global stocks tumbled, suggesting this could be a bigger flashpoint than previous oil shock events since 1990. *Mint* explores the impact of the Iran war in the context of similar disruptions in the past.

At 39%, the surge in crude prices in the initial days is the sharpest this time

Relative movement in Brent crude price (rebased, start date of each war = 100).



The latest data for the Iran 2026 war is 9 March 2026, accounting for nine days so far.

Source: US Energy Information Administration

mint

CRUDE SHOCK

COMPARED WITH the four previous 'oil shocks' since 1990, this latest conflict stands out in terms of how prices of key assets and commodities have moved. Before this, there was the first Iraq war of 1991, the US-led invasion of Iraq in 2003, the Russia-Ukraine war, and the so-called 12-day war between Iran and Israel last year.

Calculations show that the surge in Brent crude prices for about the first week of the current conflict was much sharper than in previous oil shocks.

Within nine days of the initial strikes, oil prices were up 39%. The next steepest rise over a similar time frame was 22%, when Russia attacked Ukraine in February 2022.

For the analysis, the price of oil is set at 100 on the date the event started (for example, 24 February 2022 in the case of Russia's invasion of Ukraine) and all other values are rebased to it, up to 90 days before and after that event.

MIXED REACTIONS

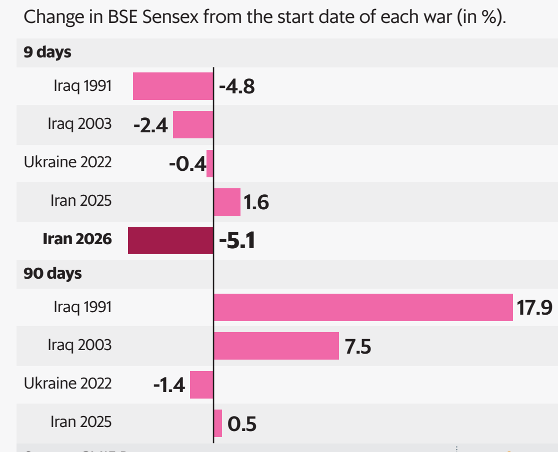
THE 2003 invasion of Iraq had been heavily telegraphed by the West for months, reducing the shock element. Hence, oil prices remained flat and even declined once the invasion started. Similarly, in previous conflicts since 1990, stock markets barely moved in their immediate aftermath.

Since 1990, the Indian market's reaction to oil shocks has been mixed. In the 1991 Gulf War, the trigger for which was Iraq's invasion of Kuwait, the Indian stock market behaved as though the conflict barely existed. During the first 90 days of that war, the BSE Sensex's highest point was a gain of 42%. This was ironic, as the crude oil shock of that first Gulf War dramatically increased the cost of India's oil imports and sowed the seeds of its 1991 balance-of-payments crisis.

The situation today is quite different. Just nine days of conflict have roiled stock markets around the world, and India's is no exception. Since 28 February, the benchmark BSE Sensex has dropped around 5%.

Over the first 9-day period, the Sensex has dropped the most this time

Change in BSE Sensex from the start date of each war (in %).

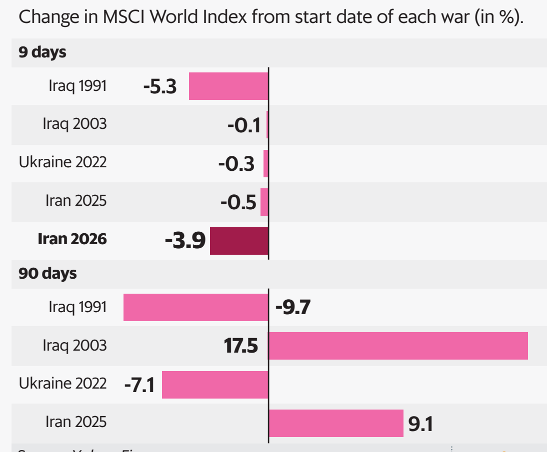


Source: CMIE Prowess

mint

Global stocks are down 4% so far, the second-worst among the five conflict events

Change in MSCI World Index from start date of each war (in %).



Source: Yahoo Finance

mint

SHIFTING SENTIMENTS?

THE INDIAN market's reaction to the 1991 crisis was in contrast to that of global markets, which trended sharply downwards. This was depicted by movements in the MSCI World Index, which comprises large- and mid-cap stocks across the world's major developed economies and is a barometer of global equity sentiment.

This changed during the 2023 Iraq invasion and the Russia-Ukraine war in 2022, with the MSCI World Index barely moving. One interesting theory is that global markets have developed a false sense of security following numerous invasions across West Asia by the US and its allies over the past few decades. Markets have long believed that the flow of oil will not be disrupted, given its critical nature.

But the current conflict has punctured that theory, at least so far, with the closure of the Strait of Hormuz, which has made markets nervous about such an eventuality for the first time in decades. The MSCI World Index fell 4% in the first nine trading days of the conflict.

TAKING STOCK

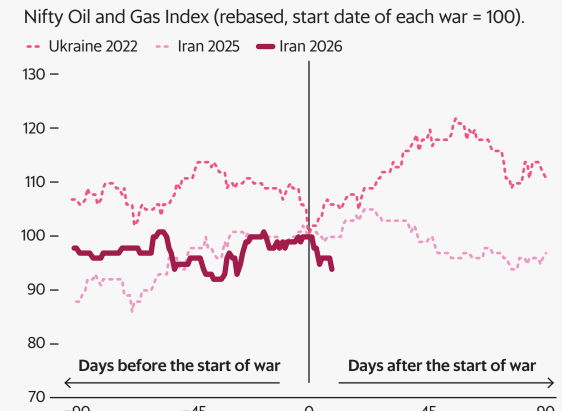
IT IS sobering to note that both sides (US-Israel and Iran) have, so far, largely refrained from hitting key oil infrastructure across West Asia. For instance, Iran's key oil transport hub on Kharg Island, where almost all its oil for export is loaded, has not been attacked yet. But it is anyone's guess whether it will remain untouched.

What about the market's view of oil and gas companies? The two key oil-shock events of the past five years show contrasting movements. In the case of the Russia-Ukraine war, stocks of oil and gas companies, as represented by the Nifty Oil and Gas Index, rose about 10% over the three months following the start of hostilities. Indeed, the past two years have been bumper years for oil and gas companies and oil traders. In the case of the Iran-Israel war of 2025, though, the index trended downwards.

This time around, the throttling of crude and gas supplies suggests oil and gas stocks are more likely to trend lower than higher.

Unlike in the last two wars, oil and gas stocks have drifted lower this time

Nifty Oil and Gas Index (rebased, start date of each war = 100).



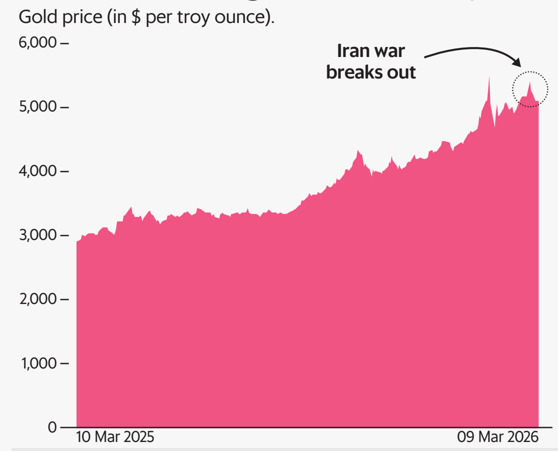
The latest data for Iran 2026 is 9 March, accounting for the first nine days of the war.

Source: CMIE Prowess

mint

Gold prices have not jumped yet, partly because of the surge in the past one year

Gold price (in $ per troy ounce).



Source: DBnomics

mint

GOLDEN REFUGE

GOLD IS a key safe haven during crisis, but this time, the movement in gold prices has been relatively muted. That could be because prices had already skyrocketed months before the war broke out. A range of factors, most notably investors and central banks seeking a safer alternative for the US dollar, had fuelled the surge.

During past crises, gold prices surged sharply. The sharpest run-up was during the 1991 oil shock. If the ongoing war continues for many more weeks, as numerous observers predict, it's likely that gold could see another major surge as there aren't many other safe-haven assets investors can turn to.

If the current oil shock continues for long, it could deliver the biggest hit to global markets in decades. US President Donald Trump has said the war could end "very soon", but the initial days of escalation have already shown the extent of damage it could unleash.

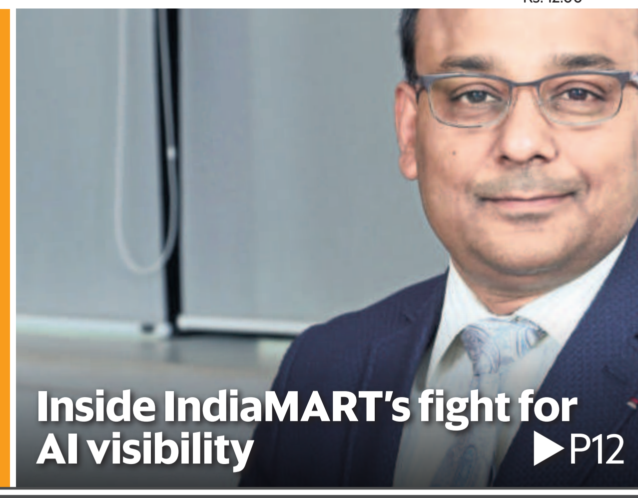
www.howindialives.com is a database and search engine for public data.

HT MUMBAI, NEW DELHI, BENGALURU, KOLKATA, CHENNAI, AHMEDABAD, HYDERABAD, PUNE* VOL. 9 NO. 60 Rs. 12.00 20 PAGES

Wednesday, March 11, 2026

mint

livemint.com



SENSEX 78,206 ↑ 639.84 | NIFTY 24,261.6 ↑ 233.55 | DOLLAR ₹91.85 ↓ ₹0.36 | EURO ₹106.97 ↓ ₹0.31 | OIL $90.66 ↑ $1.22 | POUND ₹123.57 ↓ ₹0.41

India relaxes curbs on FDI from China

Automatic nod for up to 10%; quick clearance in specific sectors

Dhirendra Kumar & Manas Pimpalkhare

NEW DELHI

India has lowered a policy barrier that held back Chinese capital for four years, signalling a cautious yet pragmatic shift as New Delhi seeks to integrate into global supply chains and revive a cooling investment landscape.

The Union cabinet on Tuesday relaxed restrictions under Press Note-3, which mandated pre-approval for investments from countries that share a land border with India. According to an official statement, such investments will now be automatic up to 10% in a local firm, on the condition that the foreign investor must not exercise management control or hold a board seat. Besides, existing rules on sectoral caps, entry routes and other conditions will continue to apply.

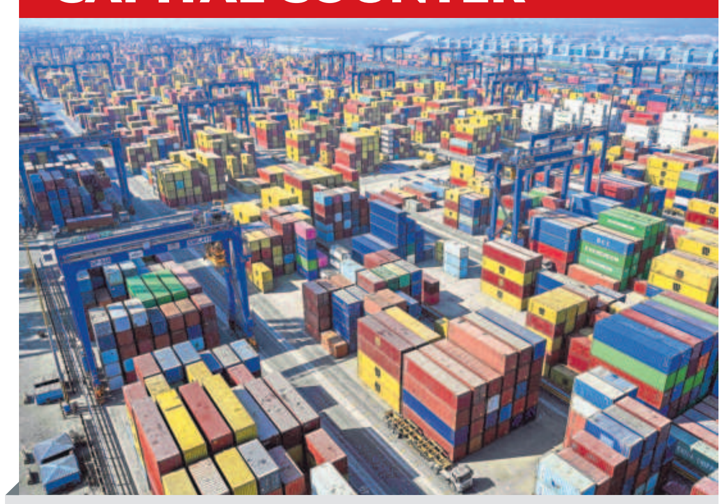
The decision, which sets the stage for a partial reopening of Chinese capital flows, marks the first relaxation of Press Note-3, introduced in April 2020 in the wake of a conflict with China and concerns of opportunistic takeovers during the pandemic. The PN-3 regime effectively shut out fresh Chinese capital and left investment plans on hold, and its relaxation is expected to revive stalled deals and provide relief to sectors that had relied on Chinese funding, particularly in technology, manufacturing and startups.

"The revised investment framework can help bring greater clarity to FDI rules, while ensuring that national security concerns remain addressed. Allowing limited non-controlling investments under the automatic route could support capital inflows, technology transfer and manufacturing growth without compromising oversight," said Sumita Dawra, former secretary,

TURN TO PAGE 6

CAPITAL COUNTER

AFP



FLOW CHART

FIRST relaxation of Press Note-3 since its debut in April 2020

INVESTEE to submit data; new beneficial owner norms soon

FASTER nod for FDI in cap goods, polysilicon, ingots and wafers

Refiners raise LPG output by 10%, tie up supply from US

Rituraj Baruah
rituraj.baruah@livemint.com
NEW DELHI

Indian refiners have ramped up daily domestic production of liquefied petroleum gas (LPG) by around 10% in the past few days in the face of a supply squeeze from the US-Iran war, two people aware of the development said. The refiners have also secured 20 very large gas carriers (VLGC) carrying around 1 million tonne (mt) cargo, mostly from the US, the people said on condition of anonymity.

However, the country is still short of another 20 VLGCs—totalling 2 mt—which oil marketing companies (OMCs) have been scouting for since the outbreak of war, these people added.

"Production has already gone up by 10%," the first person cited above said, adding that India is looking at sourcing more LPG from all available sources, including the US, Canada, Australia and Algeria.

The second person said: "There was a shortfall of about 40 VLGCs, and 20 VLGCs have already been booked. So, import diversification is also taking place."

The developments follow the petroleum ministry's Monday night announcement that it has issued orders to oil refineries to increase LPG production and use the extra production for domestic LPG use. Further, for LPG supply to other non-domestic sectors, a committee of three executive directors of the state-run OMCs has been constituted.

The officials cited above said the committee would be available for requests from industry bodies across the country and will review requests on a case-to-case basis.

Queries sent to the petroleum ministry on Tuesday evening were not immediately

TURN TO PAGE 4

OMCs have booked 20 VLGCs out of the 40 required. PTI

War clouds hiring, bonus at firms with Gulf links

Devina Sengupta
devina.sengupta@livemint.com
MUMBAI

Shock waves from the West Asia war have slammed hiring for roles based in Dubai, Saudi Arabia and Qatar, while companies operating in the region review expansion plans.

Global search firms said companies with planned or existing exposure to the region are putting senior-level hiring on hold amid rising uncertainty. Consulting firms also warn that bonuses could come under pressure for companies exposed to the region as the conflict disrupts sectors such as energy, real estate, construction and logistics.

"There was a lot of hiring activity taking place for the UAE and Saudi Arabia as both those regions were dependent on expats heavily...The region now is a phase of uncertainty and plans of clients to expand into the region are being reviewed again," said Puneet Kalra, managing director for executive search firm Russell Reynolds Associates. Kalra also advises on boards and chief executives for the search firm.

TURN TO PAGE 11

DON'T MISS

ISTOCKPHOTO

Mint poll indicates rise in February inflation

The country's retail inflation under the new series is likely to have risen from 2.8% in January to 3.1% in February, driven by an increase in the prices of some food items from a year ago, according to a *Mint* poll of 18 economists. >P2

India to validate AI model for weather forecasting

India plans to validate its indigenous artificial intelligence weather forecasting model after the monsoon season to assess its accuracy and reliability. The evaluation will compare AI-based predictions with actual rainfall and climate data. >P11

New labels may expose how much of chocolate is 'imitation'

The Food Safety and Standards Authority of India (FSSAI) is planning stricter labelling rules to make it clear which chocolate product is made with cocoa butter to distinguish it easily from cheaper substitutes that rely on vegetable fats. >P6

Iran war revives demand for Reits after IT-driven sell-off

War never brings good news. But the West Asian geopolitical crisis has halted an IT sector-led sell-off in domestic office real estate investment trusts (Reits) as investors flock toward defensive, income-generating assets amid volatility. >P6

Govt seeks Parliament nod to spend ₹2 tn more in FY26

The extra spending is led largely by higher food and fertilizer subsidies, among other things

Gireesh Chandra Prasad
gireesh.p@livemint.com
NEW DELHI


Economists said the scale of the supplementary demand could affect fiscal calculations for both FY26 and FY27. PTI

The Centre on Tuesday sought Parliament's approval for ₹2 trillion in net additional spending this financial year, driven largely by higher food and fertilizer subsidies, defence revenue expenditure and transfers to reserve funds meant to cushion the economy from volatile global commodity prices amid escalating tensions in West Asia.

The net additional cash outgo amounts to a little under 0.6% of India's nominal GDP, which was revised down to ₹345.5 trillion in the second advance estimates released last month. Economists said the scale of the supplementary demand could affect fiscal calculations for both FY26 and FY27.

The request is part of the second supplementary demands for grants tabled in Parliament, which seek approval for ₹2.81 trillion in gross additional spending, with a portion to be funded through savings under other heads.

₹19,423 cr
The extra fertilizer subsidy for which govt needs funds

The net additional outgo includes ₹19,423 crore in extra fertilizer subsidy, ₹23,641 crore in additional food subsidy under the PM Garib Kalyan Anna Yojana, and over ₹41,820 crore in defence services revenue expenditure.

The government has also sought approval for inter-account transfers within government totalling ₹59,085 crore in net cash outgo. These include allocations to reserve funds such as the Gold Reserve Fund under the sovereign gold bond scheme and the Economic Stabilization Fund under the department of economic affairs.

The Economic Stabilization Fund, introduced in the revised estimates when the government presented the FY27 budget in February, is designed as a buffer to meet unforeseen expenditure arising from volatile global conditions.

The total transfer proposed to the fund is ₹1 trillion, of which over ₹57,000 crore will involve net cash outgo, while the rest will be financed through savings, according to documents tabled in the Lok Sabha. The fund is one of three reserve funds maintained by the department of economic affairs.

₹23,641 cr
The additional food subsidy that needs funding

"The additional allocation for fertilizer subsidies may partly be due to oil prices rising above original estimation. The large size of the supplementary demands is likely to have an effect on the revised estimates for FY26 and also on the FY27 budget estimates. Going forward, these subsidies are likely to increase sharply so long as the Iran war uncertainty remains and petroleum prices remain under pressure," said EY chief policy adviser D. K. Srivastava.

FY27 budget estimations may have been made based on certain assumptions about petroleum price and usually that assumption is around $65–70 a barrel but now the price may remain firm for a few months, if not more, and therefore, all oil price related implications will be there on the budget, which will largely translate to subsidies, explained Srivastava.

Brent crude surged as high as nearly 29% intraday to $119 a barrel on Monday before tumbling to $88.05 early on Tuesday, according to a *Reuters* report. It was last trading at $91.87.

Food prices tend to track the trend in energy prices given the increase in cost of transportation, added Srivastava.

In February, the government had raised the fertilizer subsidy requirement for the current fiscal to ₹1.86 trillion, which has now been further increased. For FY27, the projection stands at ₹1.71 trillion.

Natural gas is a key feedstock for producing urea, the most commonly used fertilizer in the country. India imports 195 million metric standard cubic metres a day (mmscmd) of gas. Food subsidy for the current fiscal had also been raised to ₹2.28 trillion in the revised estimates in February, which has now been further enhanced. Final figures will be available in the FY28 budget documents.


E-way bills generation was 3.1% lower than in January. HT

Feb e-way bill numbers show robust economic activity

Gireesh Chandra Prasad
gireesh.p@livemint.com
NEW DELHI

E-way bills generated for shipping goods within and across states dipped 3.1% in February from the previous month, but remained the third highest yet, pointing to robust movement of consignments across ports, factories and retail outlets.

Data from the Goods and Services Tax Network, which processes GST returns, showed that 132.5 million electronic permits were raised in February, compared with 136.8 million permits in January. In February 2025, 111.6 million permits were raised.

"While the figures show a marginal moderation compared with January 2026, this movement is largely seasonal rather than indicative of any structural slowdown," said Rajat Mohan, a senior partner at AMRG & Associates, a chartered accountancy firm. "February is a shorter month, and trade activity often softens slightly after the relatively stronger logistics movement seen in January."

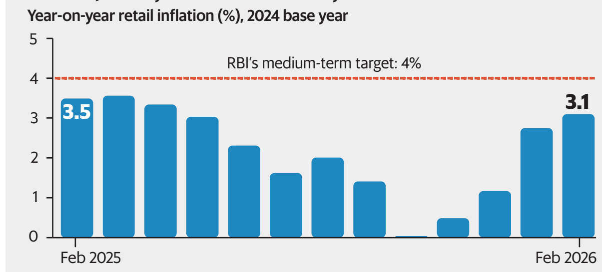
February's e-way bill statistics indicate that supply chain activity across the country remains resilient and broadly aligned with the upward trajectory of the past few years, he said. Commercial activity is typically stronger in March as businesses accelerate transactions towards the financial year-end, said Mohan.

"Consequently, if current supply chain trends continue, GST collections for March are expected to remain strong and could potentially witness an uptick compared with February's, supported by year-end settlements, inventory movements, and higher invoicing activity across sectors," added Mohan.

Overall manufacturing conditions based on new orders, output, jobs, supplier delivery times and stocks of purchases improved at the fastest rate in February, S&P Global said earlier this month, citing its purchasing manager survey.

For an extended version of this story, go to livemint.com.

Price pressure
Retail inflation under the new series may have risen from 2.8% in January to 3.1% in February.
Year-on-year retail inflation (%), 2024 base year



February 2026 inflation is based on the median of forecasts by 18 economists in a Mint poll. Data for February-December 2025 are based on back-series CPI released by the statistics ministry.

Source: Statistics ministry, Mint poll
GOPAKUMAR WARRIER/MINT

Mint poll indicates rise in Feb inflation

Manjul Paul
manjul.paul@livemint.com
NEW DELHI

India's retail inflation under the new series is likely to have risen from 2.8% in January to 3.1% in February, driven by an increase in the prices of some food items from a year ago, according to a *Mint* poll of 18 economists.

India's statistics ministry had released a "back series" for the Consumer Price Index (CPI) using the new base year of 2024. Economists in the poll expect the second CPI print under the rebased series to be in the range of 2.8–3.4%.

The official data is scheduled for release on 12 March.

"We expect a further climb in headline CPI inflation as the scale of disinflation in food (including vegetables, pulses, etc.) continues to ease, while precious metal price pressures remain firm," said Radhika Rao, economist at DBS Bank.

Food and beverages continue to dominate the overall inflation basket, though their share has been reduced from 45.9% in the 2012 base year to 36.8% in the new series. It's the sharpest recalibration among all categories, which experts say now better reflects actual consumer spending patterns.

If the poll's median projections prove accurate, this will bring inflation closer to the Reserve Bank of India's (RBI's) medium-term target of 4%, marking the end of the ultra-low inflation seen last year under the old series.

Experts say an immediate concern is the conflict in West Asia. Retail inflation is expected to rise to 4–4.2% in the first half of 2026-27, according to RBI projections before the conflict. According to analysts at Nomura, every 10% rise in oil could add 50 basis points to retail inflation.

For an extended version of this story, go to livemint.com.

More farmers may seek MSP for wheat as record output looms

Vijay C. Roy & Dhirendra Kumar
NEW DELHI


The wheat output forecast for the current year is 120mt. MINT

A looming record harvest and the war in West Asia are likely to spur more wheat farmers to seek higher support prices via government procurement as the staple fetches 15% lower than last year in the open market, according to farmers, government officials and experts.

The minimum support price (MSP) of ₹2,585 per quintal for the current rabi season of 2026-27 is ₹290 per quintal higher than the average wheat price in the open market is around ₹2,294.82 per quintal as on 7 March.

Lower prices in the open market reflect forecasts of up to 120 million tonnes (mt) output for the current year, driven by higher acreage, favourable conditions and state sops. At that level, it would surpass the previous record of 117.94mt set in the 2024-25 crop year (rabi season). The government usually begins wheat procurement in April, but it may start earlier at the request of states.

The current situation marks a reversal from the previous marketing season 2025-26, when open market prices exceeded the MSP. There are also concerns that the war in West Asia may hit exporters even as the world's second-largest producer of wheat decided to reopen overseas shipments after four years.

"With open market prices ruling below the MSP, it is important that government agencies ensure procurement of all wheat brought by farmers to mandis in major producing states," said Devinder Sharma, an agricultural policy expert. "This will help farmers secure remunerative prices for their produce and stabilize market sentiment."

Madhya Pradesh and Rajasthan have announced a bonus on wheat procurement from ₹40 to ₹150 a quintal over and above the MSP, taking the price to ₹2,625 and ₹2,735 per quintal, respectively. The wholesale price of wheat in Delhi is hovering around ₹2,480–2,500 per quintal.

"Procurement arrangements are being strengthened to handle the expected increase in arrivals at *mandis*. The government is planning to expand procurement facilities and ensure adequate infrastructure at designated centres so that farmers are able to sell their produce at the MSP without facing logistical bottlenecks," said a government official requesting anonymity.

Queries emailed to the ministries of consumer affairs & food distribution and agriculture remained unanswered.

vijay.roy@livemint.com

For an extended version of this story, go to livemint.com.

Cabinet clears final IBC amendments

Gireesh Chandra Prasad, Manas Pimpalkhare & Vijay C. Roy
NEW DELHI


Union minister Ashwini Vaishnaw addresses a press briefing on cabinet decisions in New Delhi on Tuesday. PTI

The Union cabinet on Tuesday approved the final amendments to the Insolvency and Bankruptcy Code (IBC), for which legislation will be moved in the Parliament in the ongoing session, two persons familiar with the development said.

The Bill seeks to make limited modifications to the proposals by the Baijayant Panda-led Parliamentary select committee, which examined the previous version tabled in the monsoon session.

It is possible that the Bill may be moved for passage in Parliament this week, said one of the persons quoted above, speaking on the condition of anonymity.

The government has approved most recommendations of the committee, including disallowing the resolution professional of a company to also act as its liquidator in case the rescue plan fails, and prescribing a three-month timeline for the National Company Law Appellate Tribunal (NCLAT) to decide on bankruptcy cases, the people said. However, it has not accepted the suggestion for retrospective application of the "clean slate" principle in debt resolution.

The Bill seeks to make limited modifications to proposals by the Baijayant Panda-led Parliamentary select committee

Queries emailed to the ministry of corporate affairs on Tuesday remained unanswered at the time of publishing.

The Bill proposed that once a debt resolution plan under IBC has been approved by a tribunal, all claims other than those recognised in the revival plan will get extinguished and shall not be pursued. While this is a clarificatory amendment, the committee proposed that this part should be applicable from the commencement of the IBC in 2016.

Given that complex cases are at different stages of the judicial process, the government is not keen to specifically articulate it in the law in so many words, said the second person, who also spoke on the condition of anonymity. Articulating it explicitly in IBC could lead to abuse of the legal process by unethical businessmen siphoning public funds and rendering the company bankrupt, the person said.

The government also approved increasing the outlay for the Jal Jeevan Mission 2.0 by ₹1.51 trillion, and cleared new road and rail projects worth ₹8,300 crore at the Cabinet meeting on Tuesday.

The Union cabinet and its committee on economic affairs (CCEA) gave its go-ahead to raise the outlay for the Jal Jeevan Mission 2.0 to ensure tap water for every rural household to ₹8.7 trillion till 2028. The Centre's share will be ₹3.59 trillion, up from ₹2.08 trillion approved in FY20, while the rest will be borne by states, a cabinet statement said.

The government also greenlit additional budget to extend the Delhi-Mumbai highway to the upcoming Jewar airport in Uttar Pradesh, and approved full-fledged international status for the Madurai airport.

gireesh.p@livemint.com

For an extended version of this story, go to livemint.com.

MINT SHORTS

India is actively promoting the animation, gaming sector: PM


PTI

New Delhi: Prime Minister Narendra Modi has emphasized that India is actively promoting the Animation, Visual Effects, Gaming and Comics (AVGC) sector as part of the country's transition towards an innovation-driven economy. The PM also encouraged educational institutions to strengthen industry collaboration and research-driven learning. **PTI**

RBI steps up support for rupee, bonds as oil tops $100

The Reserve Bank of India (RBI) is poised to play a bigger role in both currency and bond markets as crude oil surges above $100 a barrel, putting pressure on government finances, analysts say. RBI has stepped up intervention in offshore and domestic markets to support the rupee, which has slid to a record low. Late Friday, RBI said it will buy ₹1 trillion of bonds from the open market this month, adding to the screen-based purchases carried out in recent weeks. **BLOOMBERG**

RBI softens dividend rules for banks, eases NPA deduction

The Reserve Bank of India (RBI) has softened its proposed dividend payout framework for banks, based on industry feedback.A key modification deals with how banks treat bad loans while calculating profits available for dividend distribution. Banks will now deduct 50% of net non-performing assets (NPAs) instead of the full amount to calculate adjusted profit. **SUBHANA SHAIKH**

REUTERS

API exports at ₹41,500 cr surpass imports in FY25


AFP

New Delhi: Chemicals and fertilizers minister J. P. Nadda told the Rajya Sabha on Tuesday that India's exports of active pharmaceutical ingredients (APIs) stood at about ₹41,500 crore in FY25, higher than total imports of ₹39,215 crore. In the reply to a supplementary query, he added the Centre had taken several steps in the past 11 years to boost domestic production and reduce imports. **PTI**

Jobs outlook hits record high for Apr-Jun quarter: report


ISTOCKPHOTO

New Delhi: Indian employers reported a strengthening of hiring intentions for Q2CY26, supported by surging business confidence and resilient domestic demand, as per ManpowerGroup's latest Employment Outlook Survey. The Net Employment Outlook (NEO) for the quarter hit a record high of 68%, up 24 points y-o-y, it said. **PTI**

Small steelmakers face cuts in production amid LNG paucity

New Delhi: Scores of small Indian steel producers have warned of production cuts as the escalating West Asia conflict disrupts gas supplies to the world's biggest producer of the alloy after China, industry officials said. Most gas producers declared force majeure last week to restrict gas supplies to industries. **REUTERS**

CORRECTIONS AND CLARIFICATIONS

Mint welcomes comments, suggestions or complaints about errors.

Readers can alert the newsroom to any errors in the paper by emailing us, with your full name and address to **feedback@livemint.com.**

It is our policy to promptly respond to all complaints. Readers dissatisfied with the response or concerned about *Mint's* journalistic integrity may write directly to the editor by sending an email to **asktheeditor@livemint.com**

Mint's journalistic Code of Conduct that governs our newsroom is available at **www.livemint.com**

FOR ANY QUERIES/DELIVERY ISSUES
CALL: 60004242, Monday-Saturday, 10am-6pm (Delhi, Mumbai, Bengaluru, Kolkata, Chennai, Hyderabad, Ahmedabad, Chandigarh, Pune and Lucknow) **MAIL: delivery@livemint.com TO SUBSCRIBE:** Give a missed call on **7039035039** or visit **www.mintreaders.com** or write to us at **subscription@livemint.com**

First published in February 2007 to serve as an unbiased and clear-minded chronicler of the Indian Dream.

RAVI KRISHNAN (EDITOR) - Responsible for selection of news under PRP Act, @ All rights reserved. Reproduction in whole or in part without written permission of Publisher is prohibited; PUBLISHED/PRINTED BY **MANHAR KAPOOR** ON BEHALF OF HT MEDIA LTD, 9th Floor, Tower 3, Indiabulls Finance Centre, Senapati Bapat Marg, Elphinstone Road (West), Mumbai-400013

Printed at HT Media Ltd. Press at Plot No. 6, TTC Industrial Area, Thane - Belapur Road, Navi Mumbai - 400 708.
RNI Registration MAHENG/2018/76720; Mint welcomes readers' responses to all articles and editorials. Please include your full name, address and telephone number. Send in your views to the editor at letters@livemint.com.

India-made laptops corner third of sales

Central incentives have pushed electronics cos to focus on the segment

Shouvik Das
shouvik.das@livemint.com
NEW DELHI

For the first time, nearly a third of all laptops sold in India are being shipped with the "made in India" tag. This rise, which has played out over the past two years, has happened as government incentives have pushed electronics manufacturers to focus on the segment and diversify from mobile-led revenue.

In March 2024, less than 5% of all laptops being sold in India were being assembled locally, analysts and industry executives said. As the Union government's production-linked incentive scheme began rolling out benefits, electronics manufacturing services (EMS) firms have increased their bets on local laptop manufacturing.

"We already have a strong pipeline for our laptop assembly deals, and we have already struck deals with leading brands to locally make their laptops," said Jasbir Singh Gujral, managing director of Mumbai-based EMS firm Syrma SGS. "Overall, we expect that for global brands, nearly a third is being catered out of assembly lines in India, and the government-backed incentives play a major role in it."

The government, in March 2023, rolled out a 5% incentive on incremental revenue from locally assembled laptops, as part of a ₹17,000-crore outlay over six years.

Now, more companies have started reaping the benefits.

"Laptops, tablets and IT hardware products: The segment saw a healthy uptick in revenues in the quarter, and we have a very strong order book for the next financial year and capacity enhancements going on," Atul Lall, managing director of Dixon Technologies, told analysts in the company's post-earnings analyst call on 29 January.

"Our dedicated IT hardware product manufacturing unit in Chennai has successfully stabilized MICE production of laptops and AIOs for HPs and Asus. We have bagged an order for desktops from one of our customers, and we will start manufacturing in Q4 of this fiscal in Chennai, and also, in active discussion with an existing customer for manufacturing tablets," he added.

Almost every tech firm now has a laptop manufacturing deal in the country, drawn by the PLI scheme. Chipmaker Intel, in November 2023, signed a deal with contract manufacturers and laptop brands to offer its laptop reference designs for local manufacturing of Microsoft Windows-powered laptops in the country.

US-based laptop maker HP, India's largest laptop seller, as well as Taiwan's Asus, the fifth largest, have deals with Dixon Technologies to assemble laptops locally. Dell and Lenovo, ranked second and third, have captive units for local laptop assemblies, and are recipients of PLI incentives as well. Taiwan's MSI and Japan's Dynabook are also partnering with Manesar's VVDN Technologies for laptop assemblies. "Our manufacturing facilities in India, where we manufacture PC, tablets, servers, and Motorola phones, are part of our global manufacturing footprint of 30+ sites across 10 countries," a Lenovo India spokesperson said in reply to a *Mint* email seeking comment. "As demand rises, we continue to scale production from our own manufacturing facility at Puducherry while investing and growing in alignment with our PLI commitments through our EMS partners."

For an extended version of this story, go to livemint.com.

In March 2024, under 5% of laptops sold in India were being assembled locally. ISTOCKPHOTO

GOING LOCAL

IN March 2023, govt gave a 5% incentive on incremental revenue from locally assembled laptops

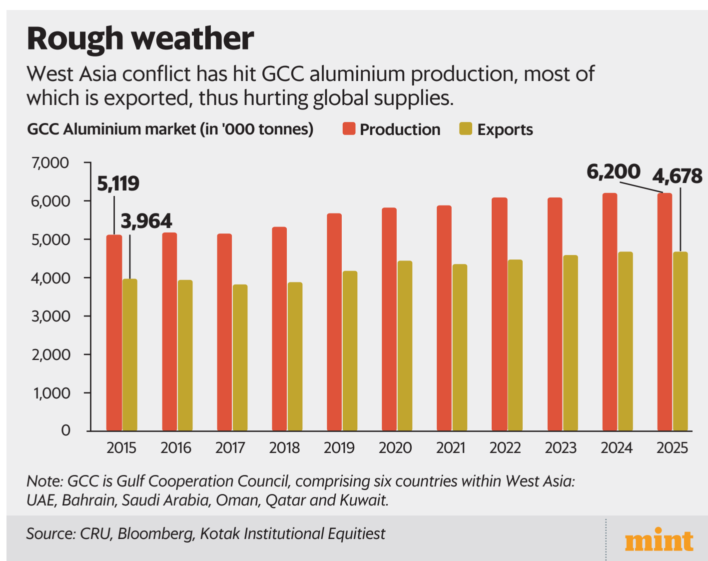
ABOUT all tech cos now have a laptop manufacturing deal in the country, drawn by the PLI scheme

HP, the largest laptop seller in India, and Asus have deals with Dixon to locally assemble laptops

BSE Sensex		Nifty 50		Nifty 500		Nifty Next 50		Nifty 100		BSE 150 MidCap		BSE 250 SmallCap	
CLOSE 78,205.98	PERCENT CHANGE 0.82	CLOSE 24,261.60	PERCENT CHANGE 0.97	CLOSE 22,342.95	PERCENT CHANGE 1.30	CLOSE 67,227.95	PERCENT CHANGE 1.75	CLOSE 24,957.80	PERCENT CHANGE 1.10	CLOSE 15,453.74	PERCENT CHANGE 1.66	CLOSE 6,075.67	PERCENT CHANGE 2.04
PREVIOUS CLOSE 77,566.16	OPEN 78,375.73	PREVIOUS CLOSE 24,028.05	OPEN 24,280.80	PREVIOUS CLOSE 22,056.55	OPEN 22,310.80	PREVIOUS CLOSE 66,070.65	OPEN 66,929.70	PREVIOUS CLOSE 24,685.65	OPEN 24,955.60	PREVIOUS CLOSE 15,201.97	OPEN 15,365.58	PREVIOUS CLOSE 5,954.27	OPEN 6,014.70
HIGH 78,526.25	LOW 77,745.47	HIGH 24,303.80	LOW 24,079.95	HIGH 22,385.65	LOW 22,141.85	HIGH 67,391.35	LOW 66,431.60	HIGH 25,001.95	LOW 24,753.05	HIGH 15,488.93	LOW 15,293.96	HIGH 6,085.87	LOW 5,996.37

Aluminium surge lifts Nalco

Ashish Agrawal
feedback@livemint.com



National Aluminium Co. Ltd's (Nalco) shares are up more than 8% since the West Asia conflict began as some aluminium producers in the region have been forced to suspend operations, creating a supply shortage. Consequently, the aluminium spot price has risen to about $3,400 per tonne on the London Metal Exchange (LME), the highest since May 2022 and up about 8% since 27 February. Average March quarter prices so far are up about 19% year-on-year.

Aluminium Bahrain BSC has declared *force majeure* on its aluminium shipment following shipping disruptions through the Strait of Hormuz. *Force majeure* is a legal clause that allows a company to cancel or delay its contracts without penalty in case of an unforeseeable event such as a war, natural disaster, etc.

Qatalum, a joint venture between QatarEnergy and Norsk Hydro ASA, has announced a partial shutdown of its aluminium plant owing to a lack of gas supply. West Asia accounts for 8-9% of global aluminium production, concentrated across Gulf Cooperation Council countries that export 75% of their output.

Global aluminium prices were already supported by strong demand pull from sectors such as electric vehicles, solar; and supply curtailment from China, Europe, and Africa. "We (had) estimated the aluminium market to remain in deficit over CY2026-28E before the war in Iran and now see significant upside risk to our deficit estimates," said Kotak Institutional Equities. The broking firm's base-case estimate for LME aluminium is $2,900 per tonne for FY27-28, and a prolonged war poses upside risk for the base-case estimate and spot prices.

Strong aluminium prices aided Nalco's 16% year-on-year Ebitda growth for the nine months to December (9MFY26). The aluminium segment Ebit (earnings before interest and taxes) grew 40%, offsetting the 14% drop in the alumina Ebit as its prices fell. Alumina contributed over 40% of total Ebit in FY25, which fell to 31% in 9MFY26.

Alumina, an intermediate product in aluminium production, faces a surplus, which could rise after West Asia's suspension of imports. This means more downward pressure on alumina prices, which have fallen to around 9% of spot LME aluminium price, versus the long-term average of 16%.

Nalco's aluminium sales volumes are expected to grow 2% year-on-year in FY26. It expects alumina sales of 1.3 million tonnes for FY26, which is over 12% growth, partially making up for low realization. Its one million tonne per annum (mtpa) alumina expansion project, along with the associated bauxite mine, is likely to be commissioned by June. Muted alumina prices may limit near-term gains from the project.

Still, there is some respite on costs. Nalco's coal mines hit full capacity in Q3FY26 and will reduce production costs. Employee costs also fell about 9% in 9MFY26 after 12% drop in FY25.

> **SHINE MAY FADE**
>
> **WHILE** aluminium prices are rising, weak alumina prices are weighing on overall profitability
>
> **NALCO'S** aluminium sales volumes are expected to grow modestly in FY26, limiting gains

Nalco's stock has more than doubled in the past year. It trades at an enterprise value of 7 to 7.5 times FY27 estimated Ebitda, according to brokerages. "Despite strong fundamentals, zero debt, favorable LME prices and a robust demand outlook for aluminium in India, the near-term upside is capped by limited production headroom, trade tension, on-time execution challenges, and regulatory risks," Motilal Oswal Financial Services said in its Q3 review.

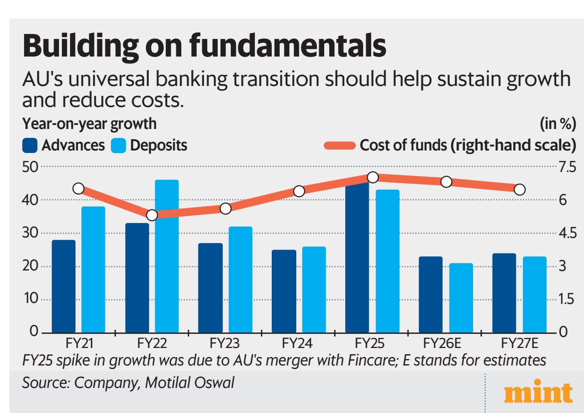
Has Street already priced in AU's universal banking leap?

Ananya Roy
feedback@livemint.com

The Reserve Bank of India's (RBI) recent relaxation of the non-operative financial holding company (NOFHC) requirement for promoter shareholding may appear to be a technical tweak. But for AU Small Finance Bank, it removes one of the final structural hurdles in its long-awaited transition from a small finance bank to a universal bank.

Eliminating the NOFHC structure simplifies promoter shareholding and could accelerate AU's universal banking ambitions. Markets appear to have priced in that shift. AU's stock has rallied about 74% over the past year, beating the Bank Nifty's roughly 18% return, as investors bet the next phase of growth will deliver stronger profitability.

Regulatory constraints that apply to small finance banks, such as the requirement to lend 60% of loans to priority sectors, drops to 40% for universal banks, giving lenders greater flexibility in portfolio construction and improving return metrics. It would also allow AU to expand into larger-ticket loans, enabling greater cross-selling and higher fee income growth.



MANU CHOUDHARY/MINT

The shift could strengthen the bank's credibility among depositors and help widen its funding base. "The shift towards higher-quality retail and CASA deposits, along with scope to rationalize elevated SA premiums, is expected to drive a ~30-40bp reduction in cost of deposits, enabling convergence toward mid-sized private bank funding metrics," said Motilal Oswal Financial Services.

AU is the dominant small finance bank, with a market capitalization more than double that of the rest of the segment combined. It has built a nationwide footprint of over 2,700 touchpoints through organic and inorganic expansion. Despite holding back on unsecured lending amid industry-wide stress, AU posted 24% year-on-year loan growth in the December quarter (Q3FY26), outpacing system growth of 14%.

Motilal Oswal expects AU to deliver 24% loan CAGR and a 36% earnings CAGR between FY26 and FY28, as the advantages of universal banking combine with returns from technology investments and integration synergies from the Fincare merger, shaving 100–150 basis points off its cost-to-income ratio.

The stock trades at 3.1x its FY27 estimated book value, according to *Bloomberg* data, a premium to most private banks. Can AU's next phase of growth justify the valuation investors have priced in?

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

War fuels surge in crude derivative trading on MCX

Srushti Vaidya
srushti.vaidya@livemint.com
MUMBAI


The Brent settled around $89.44 a barrel on Tuesday. AFP

Traders have piled into crude oil derivatives on the Multi Commodity Exchange (MCX) as the Iran-US war triggered sharp swings in global oil prices, pushing trading volumes to nearly three times pre-war levels.

Between 2 March and 9 March—the first six trading sessions after the conflict began on 28 February—the number of crude oil derivative contracts traded on MCX jumped 2.8x to 33 million compared with the six sessions before the war, according to exchange data.

The surge reflects a rush by traders to capitalize on heightened volatility in oil markets after the conflict froze trade through the Strait of Hormuz, disrupting supply and pushing crude prices sharply higher.

To account for contract expiry effects, activity was also compared with the same period last month—2 February and 9 February. Even on that basis, traded contracts in the sessions after the war were 1.2x higher.

> **MCX crude oil derivatives contracts jumped 2.8x in the first six trading sessions after the conflict began on 28 Feb**

Notional turnover for crude oil derivative contracts in the six trading sessions between 2 March and 9 March rose to ₹1.15 trillion, according to data from MCX, compared with ₹0.34 trillion in the six trading sessions before the war. Notional turnover refers to the underlying value of the contracts traded.

The sudden surge in crude over a short span has increased volatility, attracting traders to oil derivatives, said Sunil Katke, head of commodities retail business at Kotak Securities.

"Daily price swings in crude oil have jumped from about 1–2% earlier to as much as 7–10%, making the contract more attractive for derivatives traders, especially option buyers who benefit from volatile markets," Katke added. "We have seen the client participation in crude derivatives increase by about 15–20% compared with pre-war levels."

The Brent settled around $89.44 a barrel on Tuesday, after briefly surging to as high as $116.33 during the day. This was closer to the highest level for Brent crude since 27 May 2022 level of $119.72 per barrel in the wake of the Ukraine war.

The prices spiked as several West Asian producers reduced output because of the conflict. The region accounts for nearly 30% of global oil output. The prices fell on Tuesday after US President Donald Trump said the war will be over "pretty quickly".

When crude was moving in a narrow range, option writers benefited. But as prices began moving strongly in one direction, option buyers have also entered the market, said Navneet Damani, head of research Commodities at Motilal Oswal Financial Services Ltd.

For an extended version of the story, visit livemint.com

Sonata files bankruptcy plea in the US against retail client

Jas Bardia
jas.bardia@livemint.com
BENGALURU


The disputed amount equals about 6.6% of Sonata's incremental revenue last fiscal. ISTOCKPHOTO

Sonata Software Ltd has filed an involuntary bankruptcy petition in a US court against a retail client over unpaid dues of $10.65 million, an amount equivalent to roughly 6.6% of the company's incremental revenue last fiscal.

The claim highlights the financial exposure from a client ramp-down in Sonata's retail segment, which contributes about $100 million, or 8% of the company's revenue, and comes as the firm is also grappling with a reduction in business from Microsoft Corp.

On 6 March, the Indian software services company filed the petition at a Delaware district bankruptcy court against OBSA Operating Co. LLC, seeking $10.65 million in damages for non-payment of dues. A day later, Sonata notified Indian stock exchanges of the move.

> **The issue stems from a client ramp-down in Sonata's $100-mn retail segment, about 8% of its revenue**

"We would like to inform you that Sonata Software North America, Inc ("SSNA"), subsidiary of the Company has instituted proceedings against one of SSNA's client for collection of accounts receivables and the damages," said the company in a release dated 7 March.

Minnesota-based OBSA is a retail and financial services company that operates the e-commerce brand, Fingerhut.

The Delaware court will decide the validity of Sonata Software's bankruptcy petition against the US firm.

If the court finds merit in Sonata's case, a trustee will likely be appointed to oversee the sale and distribution of OBSA's assets to creditors. Should the court dismiss the petition, Sonata may not receive the $10.64 million in damages and dues. For now, Sonata has factored both scenarios.

"The company has reviewed its exposure in relation to the above development, including receivables and existing contractual protection. However, we expect Q4-26 PAT to be still accretive compared to Q3 26 due to certain other one-time offsetting factors, and Revenues also is expected to be in line with the guidance provided during February 6, 2026 earning call," read Sonata's filing to the stock exchanges.

The company ended last year with $1.2 billion in revenue, up 15.5% on a yearly basis. Almost half of that comes from selling software licenses.

At least one expert said the case could take time to resolve.

"I should note that the prospects of a timely resolution are uncertain and regardless of the strengths of their case the cash impact is likely to be significantly delayed," said Peter Bendor-Samuel, founder of Everest Group. He said the legal action could be seen as a nice win but a structural blip.

A similar issue was flagged by Sonata's management during its post-earnings call with analysts last month. *Mint* could not independently ascertain if that client was indeed OBSA.

For an extended version of this story, go to livemint.com

Silver, gold edge up as dollar weakens

PTI
feedback@livemint.com
NEW DELHI

Silver prices surged by ₹10,975 to ₹2.79 lakh per kilogram in the national capital on Tuesday, while gold rose ₹400, tracking strong global trends as a weak US dollar boosted demand for the safe-haven asset.

Ending its three-day losing streak, the white metal soared by ₹10,975, or 4.09%, to ₹2,79,275 per kg (inclusive of all taxes) from Monday's closing level of ₹2,68,300 per kg, as per the All India Sarafa Association.

Gold prices also moved higher, with the metal having 99.9% purity rising by ₹400, or 0.24%, to ₹1,64,700 per 10 grams (inclusive of all taxes).

The yellow metal settled at ₹1,64,300 per 10 grams in the previous session.

Gold and silver prices saw a notable uptick on Tuesday, driven primarily by geopolitical developments as US President Donald Trump hinted at a potential resolution to the ongoing conflict in West Asia, which has kept investors on edge, Gaurav Garg, Research Analyst at Lemonn Markets Desk, said.

The turmoil has created a volatile market environment, with inflation fears prompted by skyrocketing crude oil prices impacting investor sentiment, he added.

Refiners raise gas output, tie up supply

FROM PAGE 1

answered.

Reliance Industries, which owns the world's largest integrated refinery complex in Jamnagar, issued a statement late on Tuesday evening saying, "Our teams are working around the clock to optimize refinery operations and enhance LPG output so that supplies to the domestic market remain stable and reliable."

The statement added that natural gas produced from the KG-D6 Basin will be diverted to support supply to priority sectors, "in line with national energy priorities and Government guidelines".

The moves are significant as India has an annual LPG requirement of 31-32 mt, of which about 60-65% is imported, making it the world's second largest LPG importer. The country relies heavily on West Asian supplies, mostly from Saudi Arabia, Qatar and UAE.

LPG imports in FY25 stood at $12.47 billion, producing 12.8 million tonnes. Imports in FY26 already touched $11.25 billion by January. So far this fiscal year, as of January, Indian refiners have produced 10.6 mt of LPG, according to data from the Petroleum Planning & Analysis Cell (PPAC).

In terms of LPG consumption, it stood at 31.3 mt in FY25, and in FY26, had already reached 30.85 mt as of January, with two months still to go in the fiscal.

On Tuesday, the government stepped up efforts to ringfence domestic consumers from the effects of the war.


LPG imports in FY25 stood at $12.47 billion, producing 12.8 million tonnes. Imports in FY26 already touched $11.25 billion by Jan. PTI

Invoking the Essential Commodities Act, the government on Tuesday issued a gazette notification, ordering gas producers and oil and gas marketing companies to ensure 100% assured supply of natural gas or LNG to domestic piped gas connections and compressed natural gas (CNG) for vehicles, curtailing allocations to sectors such as fertilizer, industry and power.

> **The moves are significant as India has an annual LPG requirement of 31-32 mt, of which about 60-65% is imported**

Supplies to other sectors will face restrictions. Industries and commercial consumers procuring gas through the national grid will receive 80% of their average supplies over the past six months, while fertilizer plants will be supplied 70% of their average allocation during the same period.

The notification also mandates a 35% cut in gas supplies to refineries and petrochemical companies.

The government had taken several steps earlier as well. On Monday, 9 March, the Centre mandated a 25-day lock-in period for booking of cylinders and directed all LPG supplies to be routed for domestic consumption.

On 5 March, under the Essential Commodities Act, the government directed OMCs to prioritise supply of natural gas to city gas distribution (CGD) and cooking gas cylinders, thereby reducing supplies for other sectors including fertilizer, industries and power.

The order also required the use of petroleum products such as propane and butane for production of only domestic LPG, instead of other downstream products such as petrochemicals.

In a revised order issued on Monday, 9 March, the government directed all oil refining companies in the country—including those in special economic zones (SEZs) and petrochemical complexes—to divert the entire production of C3 and C4 streams such as propane and butane toward domestic LPG production.

On Saturday, the state-run oil marketing companies increased the price of domestic cooking gas by ₹60 per cylinder.

Supply concerns intensified after deliveries from Qatar were disrupted following an attack on QatarEnergy's Ras Laffan liquefaction complex on 2 March. The company suspended production after the attack.

Notably, India imports about 55% of its overall natural gas requirements. Of the $14.9 billion worth of gas imports in FY25, roughly half came from Qatar, according to data from the PPAC.

Oil prices, which crossed the $100 per barrel mark on Monday and reached $119 per barrel, fell on Tuesday after mixed signals from US president Donald Trump on the end of the war and his announcement that the US will lift oil-related sanctions to ease the supply situation.

At the time of writing the article, the April contract of the benchmark Brent on the Intercontinental Exchange (ICE) was trading at $92.28 per barrel, lower by 6.86% from its previous close.

Similarly, the April contract of West Texas Intermediate (WTI) fell 6.16% to $88.93 a barrel.

For an extended version of this story, go to livemint.com.

IndiGo CEO Elbers resigns just months after Dec chaos

Founder and managing director Rahul Bhatia has stepped in as the airline's interim chief

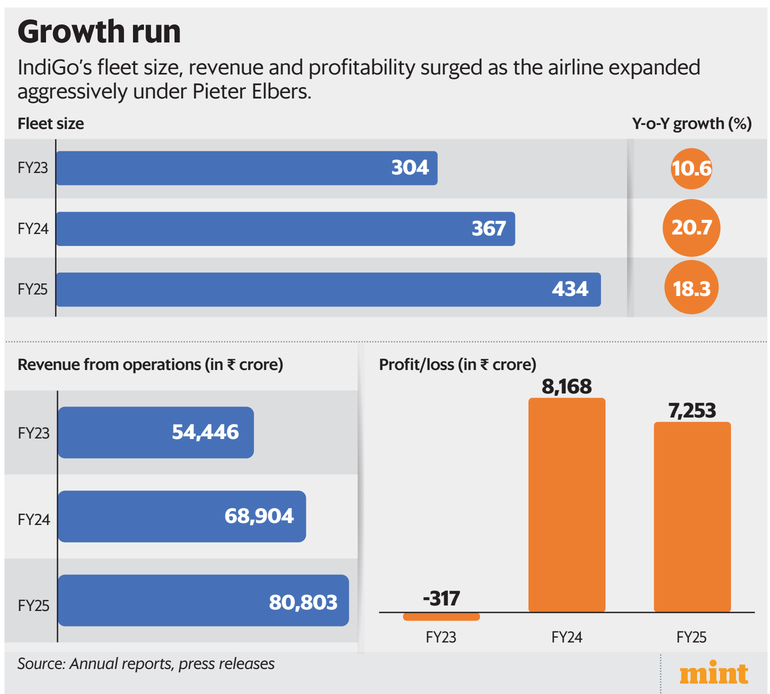
Dipali Banka & Abhishek Law
MUMBAI/DELHI

IndiGo's chief executive officer (CEO) Pieter Elbers resigned from the airline on Tuesday, in an abrupt leadership change coming three months after poor planning led to one of India's worst civil aviation crises, which saw the airline cancel over 4,500 flights in the first week of December.

On Tuesday, InterGlobe Enterprises Ltd, which runs IndiGo, informed the exchanges that Elbers had resigned with immediate effect, prompting the founder and managing director, Rahul Bhatia, to step in as the interim boss.

Significantly, this is the second time Bhatia has served as an interim CEO, following his first stint in 2018.

"As per our conversation, due to personal reasons, I herewith submit my resignation from the position of CEO of IndiGo with effect from today. I would request that the notice period may be waived off," Elbers said in his resignation letter.



MANU CHOUDHARY/MINT

Elbers resigned months after a pilot-scheduling crisis forced 4,500 flight cancellations and stranded thousands last December, amid the airline's struggle to comply with newly introduced pilot duty and rest regulations.

That led to a stern warning from the country's civil aviation minister, the directorate general of civil aviation launched a probe, and cut the airline's daily flights by 10%. In the immediate weeks after the crisis in the first week of December, Elbers often spent many hours at the country's civil aviation regulator's office.

On Tuesday, Bhatia wrote to IndiGo employees, stating that the December crisis should not have happened.

"What happened last December should never have taken place...Our customers didn't deserve it, and nor did all of you, especially the frontline employees who bore most of the brunt for no fault of theirs," wrote Bhatia.

Queries sent to IndiGo remained unanswered till press time.

Elbers' exit comes at a difficult time for the airline and the aviation industry. Tensions in West Asia have disrupted international routes, many of which are among IndiGo's higher-yield markets.

At the same time, rising aviation fuel prices are pushing up costs, creating what experts describe as a double squeeze on the airline even as it tries to control expenses and recruit more pilots to meet regulatory requirements. All this combined could weigh on the airline's profitability.

"The timing of Pieter Elbers' departure is significant because it comes soon after the operational disruptions seen in December. While the airline had begun stabilising operations, the leadership change raises questions about continuity at a time when the airline is dealing with multiple external pressures," said Gagan Dixit, senior vice-president oil and gas and aviation at Elara Securities.

One of Elbers' biggest contributions was accelerating IndiGo's international expansion. Under his leadership, international capacity grew to roughly 30% of the airline's total capacity, marking a major shift for a carrier that was once largely domestic, according to Dixit.

"With co-founder Rahul Bhatia stepping in to oversee the airline temporarily, the key question now is who the next CEO will be and whether that person can continue the international expansion strategy that was underway," the Elara analyst said.

Elbers took over the helm as chief executive in September 2022, succeeding Ronojoy Dutta, who had led the airline through the pandemic but also left behind strategic and operational challenges. Before joining IndiGo, Elbers spent decades at KLM Royal Dutch Airlines, where he built a reputation for expanding international networks, and his appointment was widely seen as a push to strengthen global ambitions.

During his tenure, the airline expanded rapidly. IndiGo's fleet grew from 304 aircraft in FY23 to 440 by December 2025. Its network also widened from 78 domestic and 26 international destinations to 96 domestic and 44 international destinations over the same period.

The airline has also seen its revenue from operations rising from ₹12,498 crore in the September 2022 quarter to around ₹23,472 crore in the December quarter of FY26.

The carrier has also tightened its grip on the domestic market. IndiGo's market share has risen from around 58% when Elbers joined to 63.6% in January, according to DGCA data, even though the airline briefly saw its share slip to about 59% in December following a severe operational disruption.

Elbers was among the highest-paid airline CEOs in India, earning a salary of ₹42.9 crore in FY25, according to company disclosures.

dipali.banka@livemint.com

For an extended version of this story, go to livemint.com.

LEADERSHIP RESET

THE Dec disruption stemmed from a pilot-scheduling crisis linked to new duty and rest rules

IT triggered DGCA action, including a 10% cut in IndiGo's daily flights and an official probe

BHATIA said the crisis "should never have happened", noting the impact on flyers, frontline staff

UNDER Elbers, IndiGo improved its dominance, with market share rising from 58% to 63.6%

Amazon looks to raise at least $37 billion to pay for AI boom

Bloomberg
feedback@livemint.com

Amazon.com Inc. has kicked off what is likely to be one of the biggest corporate bond offerings ever, in the latest blockbuster fundraising to pay for the artificial intelligence (AI) boom.

The tech giant is targeting the equivalent of about $37 billion to $42 billion in a cross-Atlantic offering in dollars and euros, according to people with knowledge of the matter.

The firm is marketing US high-grade debt in as many as 11 tranches, ranging from two to 50 years, and it seeks to raise $25 billion to $30 billion, the people said, asking not to be identified because discussions are private. Initial price discussions for the longest portion of that offering—a note maturing in 2076—involve a yield of about 1.55 percentage points more than Treasuries, one of the people said.

Amazon also targets raising as much as €10 billion ($11.6 billion) from a potential eight-part debut euro bond sale with maturities of two to 38 years slated for as early as Wednesday. It would be the most tranches sold by a company in the region.

Amazon's prior US issuance was in November. BLOOMBERG

Representatives for Goldman Sachs Group Inc., JPMorgan Chase & Co.. and Citigroup Inc., among the banks managing Amazon's dollar-bond offering, declined to comment. HSBC Holdings Plc, which is also on the deal, didn't immediately respond to a comment request. In a reply, Amazon pointed to a Securities and Exchange Commission filing Tuesday for the deal.

Bond sales have restarted globally after US President Donald Trump hinted that the war with Iran will end soon. At least €26.9 billion of bonds are set price in Europe on Tuesday, making it the busiest day since the conflict in the Middle East started over a week ago. Debt capital markets globally slowed sharply to start March.

"Elevated volatility is slamming the issuance window shut, and with potentially record one day supply, dealers are hypersensitive to every tick in broader risk," said Mark Clegg, a senior fixed-income trader at Allspring Global Investments. "Week by week becomes hour by hour."

Amazon's strong credit profile means its debt sale can't be seen as representative of broader credit-market demand as geopolitical uncertainty continues to be the main factor weighing on markets, said Slawomir Soroczynski, head of fixed income at Crown Agents Investment Management.

The sale is the latest in a series of jumbo note offerings by hyperscalers as they plan to invest hundreds of billions of dollars in AI infrastructure. Alphabet Inc. raised roughly $32 billion in the US and European high-grade bond markets last month while Oracle Corp. priced $25 billion of dollar notes.

Amazon's prior US issuance was in November, when it sold $15 billion of bonds.

Iran war hits auto parts exports; industry turns to govt

Ayaan Kartik
ayaan.kartik@livemint.com
NEW DELHI

The US-Iran war is disrupting exports and production in India's auto components industry, which has approached the government for financial support and assured access to energy sources such as liquefied petroleum gas (LPG) and piped natural gas (PNG) used in manufacturing processes.

In a 9 March letter to the ministry of heavy industries (MHI), the Automotive Component Manufacturers Association of India (ACMA) highlighted a range of concerns, including export disruption, energy supply to factories, and delays in imports of critical raw materials. Mint has reviewed a copy of the letter.

The industry's message to MHI Secretary Kamran Rizvi indicates that export logistics cost for auto component firms has surged in a range of 20-40% as vessels avoid the volatile Persian Gulf and Red Sea corridors, and take the longer route around the Cape of Good Hope. At the same time, imports of key inputs such as chemicals, synthetic rubber, aluminum scrap, and petrochemical-based inputs like polypropylene are also experiencing delays.

Auto component production is also disrupted with logistics costs rising 20-40% due to vessel rerouting

"Preliminary inputs received from member companies indicate that shipments to Europe, the United States and parts of the Middle East, which account for a substantial share of the sector's exports, are being impacted due to vessel rerouting, congestion and rising logistics costs," ACMA said in its letter.

The industry has sought temporary working capital support to offset cash-flow stress caused by export delays. It has also requested export-linked credit facility to help micro, small, and medium enterprises.

ACMA and heavy industries ministry didn't reply to queries till press time. ACMA claims to have over 1,100 members, with some biggest names like Sona Comstar, Samvardhana Motherson, and Bharat Forge.

The vessel rerouting comes as shipments are struggling to pass through the Strait of Hormuz between Iran and Oman amid the conflict, posing hurdles for auto parts exporters.

For an extended version of this story, go to livemint.com.

IDFC First settles ₹645-cr fraud case

PTI
feedback@livemint.com

IDFC First Bank said it has settled fraud claims at its Chandigarh branch of ₹645 crore and found no further discrepancies. The private sector lender last month disclosed a ₹590 crore fraud committed by certain employees and others at a branch in Chandigarh in a specific set of Haryana state government accounts.

In a regulatory filing, it said against the initial principal estimate of ₹590 crore, it has received claims and paid the net principal amount of ₹645 crore, which is ₹55 crore more than the estimates."These claims pertain to the same incident and linked to same branch and not a new incident. There are no other pending claims," IDFC First said, adding that the private lender will continue to pursue actions against the perpetrators to recover the dues.

The bank said it completed the reconciliation of relevant accounts and didn't notice any further discrepancies.

"No other claims have been received from the said Chandigarh branch, from any other entity across the country since February 25, 2026," it added.

Its deposit balance continued to remain stable and stood at ₹2,92,381 crore as of February 28, 2026, against ₹2,91,133 crore as of 31 December.

Royal Orchid bets on both asset-light, ownership models

Varuni Khosla
varuni.k@livemint.com
NEW DELHI

BSE-listed Royal Orchid Hotels is pursuing measured expansion as India's hospitality boom gathers pace, blending asset-light growth with selective ownership bets.

The hotel operator, which runs brands such as Regenta Hotels and Iconiqa Hotels, is expanding primarily through management and franchise agreements while deploying capital cautiously. "We are evaluating acquisitions only where valuations and returns make sense, while navigating India's complex licensing landscape," Royal Orchid president Arjun Baljee told *Mint*.

India's hotel industry is entering an expansion cycle which is fuelled by domestic travel and the increasing shift of independent hotels to branded operators. "Domestic travel will remain the main driver of demand as India has 100 million people travelling and international inflow will only be a bonus," Baljee said.

The company has 120 operational hotels, and 48 are in the pipeline. Most of these are operated under management or franchise arrangements. It currently owns six hotels.

One of its larger owned bets is a 291-room Iconiqa property near Mumbai's Terminal 2 airport district, developed with an investment of ₹40 crore, Baljee said, adding that the company is keeping balance-sheet exposure contained.

The hotel operator runs brands such as Regenta Hotels and Iconiqa Hotels.

The Bengaluru-based company is targeting 22,000 keys by FY30, which would represent a significant presence in India's organized hotel market, projected to reach about 350,000 rooms by the end of the decade.

Signing a hotel is easier than opening it, he said. "Announcing a hotel is one thing; ensuring it actually opens is another." In many cases, hotel companies sign agreements with property owners who then handle construction, licencing and pre-opening work, processes that can stretch timelines.

Royal Orchid is expanding primarily through management and franchise deals while deploying capital cautiously

The company is sharpening its mid-scale focus with the Regenta and Regenta Place, which account for the majority of its hotels. This focus aligns with the broader industry trend. Midscale hotels are expected to account for about 39% of new room supply in the coming years, according to a report by HVS and Gleads Consulting.

For an extended version of this story, go to livemint.com

Iran war revives demand for Reits after IT-driven sell-off

Real estate investment trusts have held up better than the broader market so far this year

Abhinaba Saha
abhinaba.saha@livemint.com
MUMBAI

War never brings good news. But the West Asian geopolitical crisis has halted an information technology (IT) sector-led sell-off in domestic office real estate investment trusts (Reits) as investors flock toward defensive, income-generating assets amid volatility.

Reits have held up better than the broader market so far this year, falling around 2% on average year-to-date, while the benchmark Nifty 50 is down about 7%.

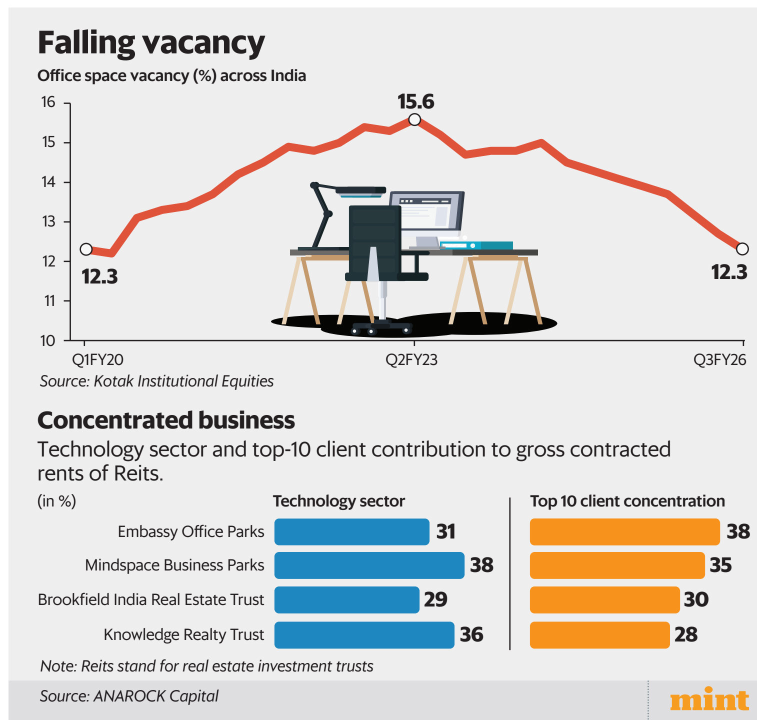
Analysts attribute this resilience to the quasi-debt nature of these trusts. Unlike most equities that typically depend on capital gains, Reits distribute 90% of their rental income, offering annual yields of about 6-7%, similar to the current benchmark 10-year government bond (G-sec).

"There is potential for capital appreciation too as rents grow and land values rise," said Shobhit Agarwal, chief executive officer of Anarock Capital. "That can generate better long-term returns than fixed deposits. But right now it is a relatively safe place to park money until the geopolitical uncertainty subsides."

Pankaj Kumar, vice-president of fundamental research at Kotak Securities, said the IT-led correction last month and the subsequent war-driven sell-off have made Reit valuations more attractive, while their medium-term fundamentals remain intact.

"Demand for grade-A office spaces will continue to outrun their supply at least for the next few years. This leaves room for stronger growth in rental income and payouts" Kumar said.

A recent Kotak Institutional Equities



GOPAKUMAR WARRIER/MINT

report showed commercial real estate vacancy fell 160 basis points year-on-year to 12.3% in the December quarter, returning to levels last seen just when the pandemic struck, as office absorption outpaced fresh supply.

SAFE BET

REAL estate investment trusts have fallen around 2% on average year-to-date

ANALYSTS attribute this resilience to the quasi-debt nature of these trusts

AVERAGE occupancy across local Reits rose to about 93% in Q3 from 90% a year ago

INVESTORS are flocking toward defensive, income-generating assets amid volatility

Average occupancy across domestic Reits rose to about 93% in Q3FY26 from 90% a year earlier, as global capability centres (GCCs) and flexible workspace operators drove fresh leasing demand.

Supply of quality office space has remained tight since the pandemic disrupted workplace dynamics, while demand has strengthened and broadened beyond IT, supporting Reits over the past 12-18 months, said Shobhit Mathur, co-founder of Ionic Wealth.

Yet, experts warn the excess-demand tailwind may be temporary and may not fully offset a slowdown in leasing from IT firms. Demand from top-tier IT companies remained weak as they continued to cut net headcount amid falling employee utilization in the December quarter, with no meaningful hiring recovery expected soon, the Kotak report noted. As a result, the share of IT services firms in Grade-A leased space has dropped to about 30% from 45% three years ago.

Even so, Reits' exposure to IT remains significant. The five listed trusts earned about one-third of their gross rental income from IT tenants in Q3FY26, according to Anarock Capital. Embassy Office Parks REIT has the highest IT hub exposure, with two-thirds of its portfolio in Bengaluru. Meanwhile, Hyderabad accounts for 43% of Mindspace Business Parks REIT's portfolio, leaving both vulnerable to future disruption in the software services sector.

That's why Embassy and Mindspace bore the brunt of the IT sell-off, falling 8-9% between 12 and 27 February, while other Reits lost 4% on average.

"IT firms were already facing weak discretionary tech spending from clients. The Anthropic disruption has now raised fears that AI-led productivity gains could compress pricing and profitability and lead to more layoffs or slower hiring," said Anshul Jethi, IT research analyst at LKP Securities. "Because office leasing decisions are closely tied to hiring expectations, IT's concerns have spilled over into Reits."

According to Shashank Udupa, a Sebi-registered research analyst and smallcase fund manager, markets appear to be pricing forward leasing risk rather than current operating stress in Reits.

"With occupancy levels still around 90-95% and long lease tenures, most rental cash flows remain contractually locked in," he said. "The concern is about the leasing environment when these contracts come up for renewal."

For an extended version of this story, go to livemint.com.

Lego reported record sales and profits for 2025. REUTERS

Lego to expand in US amid robust spending

Bloomberg
feedback@livemint.com

Lego A/S, best known for toys using interlocking plastic bricks, plans to step up investing in the US, undeterred by the political risks from the Iran war.

Betting on resilient consumer spending in the world's largest economy, the closely held Danish toymaker is planning on expanding its US footprint as it eyes further gains in market share there, chief executive officer (CEO) Niels B. Christiansen said in an interview.

"There is momentum in the US market," the executive said. "It hasn't stalled. It's growing. It's more a question of who will win in that market." There are no signs the US is in recession and consumers are continuing to spend, he said.

Lego on Tuesday reported record sales and profits for 2025, with total revenue jumping 12% to 83.5 billion kroner ($12.9 billion)—more than double that of rivals Mattel Inc. and Hasbro Inc. Consumer sales rose 16%, driven by strong demand across all geographies and segments, the CEO said. The expansion was more than twice as fast as the global toy market, which grew by 7% last year, according to market researcher Circana.

In the last five years, Lego has invested heavily in expanding its portfolio. The range of its products hit an all-time high of 868 last year, including new offers launched in a partnership with Formula 1.

It is currently enlarging its US footprint by building a major new factory in Virginia, slated to open in 2027, and is pushing its retail presence beyond the largest metropolitan areas to cities such as Minnetonka in Minnesota and Broomfield in Colorado. The company also opened a new Americas head office in Boston to support additional hiring.

"We've grown quite nicely in the US over the past three years, and I believe that can continue—both because the market is doing reasonably well, and because we're gaining market share," the CEO said.

India relaxes curbs on Chinese FDI, but no board seat, management role

FROM PAGE 1

labour and employment, and former special secretary, DPIIT.

The investee company will be required to report investment details to the Department for Promotion of Industry and Internal Trade (DPIIT), the government said.

The revised framework will set out the criteria for determining the 'beneficial owner' in line with the standards used under the Prevention of Money Laundering Rules, 2003.

The beneficial ownership test will be applied at the level of the investor entity.

"Aligning the definition of beneficial ownership with the PMLA threshold of a 10% controlling stake provides investors with a clearer and more predictable compliance framework, which should boost confidence, particularly among

China is India's second-largest trading partner. BLOOMBERG

private equity and venture capital funds," said Sunil Kumar, partner, tax and regulatory services, EY India. "Further, the introduction of a 60 day processing timeline for proposals in capital goods and electronic manufacturing is a positive step that can help accelerate investment inflows," said Kumar.

On Tuesday, the Cabinet also approved expedited clearance for investments from land-border countries in specific manufacturing sectors.

Proposals in areas such as capital goods manufacturing, electronic capital goods, electronic components, polysilicon, and ingot-wafer will be processed and decided within 60 days, it said.

The Committee of Secretaries (CoS) under the Cabinet Secretary has been authorized to revise the list of specified sectors where such expedited processing will apply.

In these cases, the majority shareholding and control of the investee entity will remain with resident Indian citizens or resident Indian entities owned and controlled by resident Indian citizens at all times, the government said in the statement.

"It is expected that the new guidelines will provide clarity and ease of doing business in India, and facilitate investments which can contribute towards greater FDI inflows, access to new technologies, domestic value addition, expansion of domestic firms and integration with global supply chain," the government statement said.

Vaibhav Kakkar, senior partner at corporate law firm Saraf and Partners termed the decision on PN-3 a "calibrated policy shift" rather than full-fledged liberalization.

Ties between India and China frayed after the clash in Galwan Valley in June 2020

"The change could reduce transactional friction for genuine investors while retaining sectoral safeguards, potentially enabling cross-border mergers and acquisitions, minority investments, and funding rounds particularly in manufacturing and the startup ecosystem that has historically attracted Chinese capital. However, sectoral caps, beneficial ownership disclosures, and other regulatory conditions will continue to apply," Kakkar said.

The DPIIT had examined recommendations from a high-level committee constituted by Niti Aayog, which suggested adopting a calibrated approach towards investments from China. Some rounds of inter-ministerial consultations have already taken place on the issue, including a meeting in December.

Mint reported on 30 August 2025 that India planned to ease PN-3, and allow investments in select sectors while protecting strategic sectors. On 1 January, *Mint* reported on a government plan to give conditional exemption for investments of up to 26%.

Cumulative FDI equity inflows from China into India stood at $2.51 billion from April 2000 to March 2025, according to the DPIIT.

India is also looking to create a more industry-friendly ecosystem to boost FDI to $100 billion from about $80 billion now.

Currently, 100% foreign direct investment under the automatic route is allowed in most sectors except strategically important ones such as defence and atomic energy.

Ties between India and China frayed after the clash in Galwan Valley in June 2020, the most serious military conflict between them in decades. Following these tensions, India banned over 200 Chinese mobile apps including TikTok, WeChat and Alibaba's UC browser.

dhirendra.kumar@livemint.com

For an extended version of this story, go to livemint.com.

What's inside your chocolate, cocoa butter or vegetable fat?

Priyanka Sharma
priyanka.sharma@livemint.com
NEW DELHI

Is the chocolate that Indians eat actually chocolate? That's the question that India's food regulator wants answered.

The regulator is planning stricter labelling rules to make it clear which chocolate product is made with cocoa butter to distinguish it easily from cheaper substitutes that rely on vegetable fats.

The move could reshape India's $3 billion chocolate market, where nearly 80% of products are estimated to fall into the so-called imitation category that blend cocoa and flavouring agents besides vegetable fats.

The Food Safety and Standards Authority of India (FSSAI) plans to mandate that the term "imitation chocolate" be prominently displayed on the front of product packs, according to two government officials and documents reviewed by *Mint*.

The move is intended to help consumers easily spot products with vegetable fats such as palm oil and hydrogenated fats, popularly termed *Dalda* or *vanaspati* ghee and medically identified as a harmful dietary fat.

Under current Indian standards, such substitutes are allowed to comprise up to 35% of chocolate products—far above the 5% limit permitted internationally for real chocolate. However, this distinction is rarely communicated clearly to consumers.

Under the new proposal, manufacturers will have to disclose the use of vegetable fats on the front of the pack and not in fine print at the back.

"Imitation chocolate means it is like chocolate, but it's not chocolate. Today if you look in the market, 80% is imitation chocolate being sold. It should be clearly visible on the packaging whether it's chocolate or imitation chocolate," said a government official cited above requesting anonymity.

While the domestic industry has suggested terms such as


The regulator is planning stricter labelling rules to make it clear which chocolate product is made with cocoa butter. ISTOCKPHOTO

"confection," the regulator prefers a more direct approach for the Indian market, where literacy and awareness levels vary.

"By moving these declarations from the fine print on the back to the front of the packaging, the FSSAI aims to ensure an informed choice. The matter is under extensive stakeholders' consultation involving various ministries and consumer organizations," the official added.

India's chocolate market is currently dominated by major players including Mondelez India, the maker of Cadbury Dairy Milk and 5 Star; Nestlé, which sells KitKat and Munch; and Gujarat Cooperative Milk Marketing Federation (Amul) with its range of dark and milk chocolates.

Other companies active in the retail chocolate market include Hershey India, Mars Wrigley, and Ferrero India, known for products such as Ferrero Rocher.

Premium brands like Amul (Dark Chocolate), Pascati, and Mason & Co typically use 100% cocoa butter instead of vegetable fats. These "real" chocolates often start at ₹80 to ₹250, significantly higher than the ₹5 to ₹10 price point of mass-market "imitation" brands.

Mondelez India and Mars Wrigley declined to comment. Queries sent to Nestlé, Gujarat Cooperative Milk Marketing Federation, Hershey India, Mars Wrigley, and Ferrero India remained unanswered. Queries sent to the health ministry and FSSAI also went unanswered.

BITTER SWEET

NEARLY 80% of chocolate sold in India are estimated to fall into the imitation category

THIS involves blending cocoa and flavouring agents besides vegetable fats

Public health experts say cheaper chocolate substitutes may rely on fats that are less healthy.

Dr. Rajeev Jayadevan, former president of the Indian Medical Association (IMA), highlighted the difference in the fats used in each case.

"Cheaper alternatives use vegetable oils instead of cocoa butter as the main fat. These products may contain small amounts of trans fats, though regulations now limit them in many countries, including India. In fact, the use of industrial trans fats in foods has been banned or strictly restricted in several developed countries," he said.

"Imitation chocolate contains cocoa powder and other flavouring agents along with extra sugar, which often masks the deficiencies."

Real chocolate, in contrast, has some nutritional benefits from flavonoids and other natural antioxidants, Dr. Jayadevan added.

Vijay C. Roy contributed to this story.

For an extended version of this story, go to livemint.com.

THIS IS A PUBLIC ANNOUNCEMENT FOR INFORMATION PURPOSES ONLY AND IS NOT A PROSPECTUS ANNOUNCEMENT AND DOES NOT CONSTITUTE AN INVITATION OR OFFER TO ACQUIRE, PURCHASE OR SUBSCRIBE FOR UNITS OR SECURITIES.
NOT FOR PUBLICATION, RELEASE OR DISTRIBUTION, DIRECTLY OR INDIRECTLY OUTSIDE INDIA.

RAAJMARG InvIT
An InvIT sponsored by NHAI

RAAJMARG INFRA INVESTMENT TRUST

The Trust has been registered in the Republic of India as an irrevocable trust set up under the Indian Trusts Act, 1882, on November 24, 2025, and registered as an infrastructure investment trust under the Securities and Exchange Board of India (Infrastructure Investment Trusts) Regulations, 2014, on December 22, 2025, having registration number IN/InvIT/25-26/0034.

Principal Place of Business: G - 5 & 6, Sector 10, Dwarka, New Delhi – 110 075; **Telephone:** +91 11 2507 4100/200 - 3211; **Compliance Officer:** Gunjan Rajpal; **E-mail:** compliance@riimpl.in; **Website:** www.raajmarginfratrust.in

SPONSOR	INVESTMENT MANAGER	TRUSTEE
भा रा रा प्रा NHAI		IDBI trustee IDBI Trusteeship Services Ltd
NATIONAL HIGHWAYS AUTHORITY OF INDIA	RAAJMARG INFRA INVESTMENT MANAGERS PRIVATE LIMITED	IDBI TRUSTEESHIP SERVICES LIMITED

INITIAL PUBLIC OFFERING OF UP TO [●] UNITS OF RAAJMARG INFRA INVESTMENT TRUST ("TRUST") FOR CASH AT A PRICE OF ₹ [●] PER UNIT TOGETHER WITH SPONSOR CONTRIBUTION AGGREGATING UP TO ₹ 60,000.00 MILLION ("ISSUE"). THE ISSUE IS AN INITIAL PUBLIC OFFER IN RELIANCE UPON REGULATION 14(4) OF THE SECURITIES AND EXCHANGE BOARD OF INDIA (INFRASTRUCTURE INVESTMENT TRUSTS) REGULATIONS, 2014, AS AMENDED ("INVIT REGULATIONS").

Price Band: ₹99 to ₹100 per Unit

Bidders (other than Anchor Investors and Strategic Investors) can make Bids for a minimum of 150 Units and in multiples of 150 Units thereof

Minimum Bid Size for Bidders other than Anchor Investors and Strategic Investors - ₹14,850

RISKS TO INVESTORS:

- The Trust is a newly settled trust with no operating history and limited historical financial information and, as a result, investors may not be able to assess its prospects on the basis of past records and the financial information disclosed in the Offer Document.
- The Project SPV has not executed the concession for InvIT Assets with the concessioning authority.
- The Trust must maintain certain investment ratios, which may present additional risks to the Trust.
- The ability of the Trust to make or maintain consistency in distributions to Unitholders depends on the financial performance of the Project SPV and their profitability.

Credit Ratings: (i) (a) Provisional CARE AAA; Stable from CARE Ratings Limited for the proposed bank loan facilities aggregating to ₹40,000.00 million to be availed by the Trust; and (b) Provisional CARE AAA; Stable, from CARE Ratings Limited as issuer rating. and
(ii) (a) Provisional Ind AAA/Stable from India Ratings & Research Private Limited for the proposed bank loan facilities aggregating to ₹40,000.00 million to be availed by the Trust; and (b) Provisional Ind AAA/Stable as issuer rating from India Ratings & Research Private Limited.

BID ISSUE/PROGRAM	BID/ISSUE OPENS TODAY	BID/ISSUE CLOSES ON FRIDAY, MARCH 13, 2026*

**The Investment Manager may in consultation with the Book Running Lead Managers, consider closing the Bid/ Issue Period for QIBs one Working Day prior to the Bid/ Issue Closing Date, in accordance with the InvIT Regulations.*

ASBA# **Simple, Safe, Smart way of Application!!!** #Applications Supported by Blocked Amount ("ASBA") is a better way of applying to Issues by simply blocking the fund in the bank account. For further details, check section on ASBA. **Mandatory in public issues. No cheque will be accepted.**

UPI UNIFIED PAYMENTS INTERFACE

UPI-Now available in ASBA for Individual Non-Institutional Investor applying in public issues where the application amount is up to ₹ 500,000, applying through Registered Brokers, Syndicate, CDPs & RTAs. Individual Non-Institutional Investors also have the option to submit the application directly to the ASBA Bank (SCSBs) or to use the facility of linked online trading, demat and bank account. Investors are required to ensure that the bank account used for bidding is linked to their PAN. Bidders must ensure that their PAN is linked with Aadhaar and are in compliance with CBDT notification dated February 13, 2020 and press release dated June 25, 2021.

ASBA has to be availed by all the investors except Anchor Investors and Strategic Investors. UPI may be availed by Individual Non-Institutional Investors with an application size of up to ₹ 500,000 in the Non-Institutional Category. For details on the ASBA and UPI process, please refer to the details given in the Bid Cum Application Form and abridged prospectus and also please refer to the section *"Issue Information"* on page 271 of the Offer Document. The Bid Cum Application Form and the Abridged Prospectus can be downloaded from the websites of BSE Limited ("BSE") and National Stock Exchange of India Limited ("NSE", and together with BSE, the "Stock Exchanges") and can be obtained from the list of banks that is displayed on the website of SEBI at www.sebi.gov.in/sebiweb/other/OtherAction.do?doRecognisedFpi=yes&intmId=35 and https://www.sebi.gov.in/sebiweb/other/OtherAction.do?doRecognisedFpi=yes &intmId=43, respectively as updated from time to time. For the list of UPI apps and banks live on IPO, please refer to the link: www.sebi.gov.in. UPI Bidders Bidding using the UPI Mechanism may apply through the SCSBs and mobile applications whose names appear on the website of SEBI, as updated from time to time. ICICI Bank Limited and HDFC Bank Limited have been appointed as the Sponsor Banks for the Issue, in accordance with the requirements of SEBI circular dated November 1, 2018 as amended. For Issue related queries, please contact the Book Running Lead Managers ("BRLMs") on their respective email IDs as mentioned below. For UPI related queries, investors can contact NPCI at the toll free number: 18001201740 and mail Id: ipo.upi@npci.org.in.

In case of any revision to the Price Band, the Bid/Issue Period will be extended by at least one Working Day, subject to the total Bid/Issue Period not exceeding 30 days, provided that there shall not be more than two revisions to the Price Band during the Bid/Issue Period. Any revision to the Price Band and the revised Bid/Issue Period, if applicable, will be widely disseminated by notification to the Stock Exchanges during the Bid/Issue Period and by indicating the change on the websites of the Trust, the Sponsor, the Investment Manager, Book Running Lead Managers, Syndicate Members, SCSBs and Stock Exchanges.

In case of force majeure, banking strike or similar circumstances, the Bid/ Issue Period may, for reasons to be recorded in writing, be extended by a minimum period of three Working Days, subject to the total Bid/ Issue Period not exceeding 30 days.

This Issue is being made through the Book Building Process and in compliance with the InvIT Regulations and the SEBI InvIT Master Circular, wherein not more than 75.00% of the Net Issue (excluding the Strategic Investor Portion) shall be available for allocation on a proportionate basis to Institutional Investors, provided that the Investment Manager may, in consultation with the Book Running Lead Managers, allocate up to 60.00% of the Institutional Investor Portion to Anchor Investors on a discretionary basis in accordance with the InvIT Regulations and the SEBI InvIT Master Circular. Further, not less than 25.00% of the Net Issue (excluding the Strategic Investor Portion) shall be available for allocation on a proportionate basis to Non-Institutional Investors, in accordance with the InvIT Regulations and the SEBI InvIT Master Circlar, subject to valid Bids being received at or above the Issue Price. The Issue will also include participation by Strategic Investors, wherein not less than 5.00% of the Net Issue and not more than 25.00% of the Net Issue shall be allocated to the Strategic Investors in accordance with the InvIT Regulations and the SEBI InvIT Master Circular. All Bidders, other than Anchor Investors and Strategic Investors, are required to utilise the Application Supported by Blocked Amount (**"ASBA"**) process by providing details of their respective ASBA accounts and UPI ID (in case of individual Non-Institutional Investors using the UPI Mechanism Bidding with a Bid Amount of ₹ 0.50 million or less), in which case the corresponding Bid Amounts will be blocked by the Self Certified Syndicate Banks (**"SCSBs"**) or under the UPI Mechanism, as applicable, to participate in this Issue. Anchor Investors are not permitted to participate in the Anchor Investor Portion of the Issue through the ASBA process. For details, please see the section entitled *"Issue Information"* on page 271 of the Offer Document.

Bidders/Applicants should ensure that DP ID, PAN and the Client ID and UPI ID (for UPI Bidders bidding through UPI Mechanism) are correctly filled in the Bid cum Application Form. The DP ID, PAN and Client ID provided in the Bid cum Application Form should match with the DP ID, PAN, Client ID and UPI ID available (for UPI Bidders bidding through the UPI Mechanism) in the Depository database, otherwise, the Bid cum Application Form is liable to be rejected. Bidders/Applicants should ensure that the beneficiary account provided in the Bid cum Application Form is active. Bidders/Applicants should note that on the basis of the PAN, DP ID, Client ID and UPI ID (for UPI Bidders bidding through the UPI mechanism) as provided in the Bid cum Application Form, the Bidder/Applicant may be deemed to have authorized the Depositories to provide to the Registrar to the Issue, any requested Demographic Details of the Bidder/Applicant as available on the records of the depositories. These Demographic Details may be used, among other things, for giving Allotment Advice or unblocking of ASBA Account or for other correspondence(s) related to the Issue. Bidders/Applicants are advised to update any changes to their Demographic Details as available in the records of the Depository Participant to ensure accuracy of records. Any delay resulting from failure to update the Demographic Details would be at the Bidders/Applicants' sole risk.

LISTING: The Units to be offered pursuant to the Offer Document are proposed to be listed on the National Stock Exchange of India Limited (the **"NSE"**) and BSE Limited (the **"BSE"**, together with NSE, the **"Stock Exchanges"**). In-principle approval for listing of the Units has been received from BSE and NSE pursuant to letters, each dated February 13, 2026. For the purposes of the Issue, NSE is the Designated Stock Exchange. The Investment Manager shall apply to the Stock Exchanges for the final listing and trading approval, after the Allotment and the credit of the Units to the demat accounts of the Allottees.

DISCLAIMER CLAUSE OF SECURITIES AND EXCHANGE BOARD OF INDIA ("SEBI"): It is to be distinctly understood that submission of Offer Document to SEBI should not in any way be deemed or construed that the same has been cleared or approved by SEBI. SEBI does not take any responsibility either for the financial soundness of any scheme or the project for which the Issue is proposed to be made or for the correctness of the statements made or opinions expressed in the Offer Document.

DISCLAIMER CLAUSE OF NSE (the Designated Stock Exchange): It is to be distinctly understood that the permission given by NSE should not in any way be deemed or construed that the Offer Document has been cleared or approved by NSE nor does it certify the correctness or completeness of any of the contents of the Offer Document. The investors are advised to refer to the Offer Document for the full text of the Disclaimer clause of NSE.

DISCLAIMER CLAUSE OF BSE: It is to be distinctly understood that the permission given by BSE should not in any way be deemed or construed that the Offer Document has been cleared or approved by BSE nor does it certify the correctness or completeness of any of the contents of the Offer Document. The investors are advised to refer to the Offer Document for the full text of the Disclaimer clause of the BSE.

GENERAL RISKS: Investments in Units involve a degree of risk and Bidders should not invest any funds in this Issue unless they can afford to take the risk of losing their entire investment. For taking an investment decision, Bidders must rely on their own examination of the Trust, the Units and this Issue. Bidders are advised to carefully read the section entitled ***"Risk Factors"*** on page 42 of the Offer Document before making an investment decision relating to this Issue. Each Bidder is advised to consult its own advisors in respect of the consequences of an investment in the Units being issued pursuant to this Issue. The Offer Document has been prepared by the Trust solely for providing information in connection with this Issue. The Securities and Exchange Board of India (**"SEBI"**) and the Stock Exchanges assume no responsibility for or guarantee the correctness or accuracy or adequacy of any statements made, opinions expressed or reports contained herein. Admission of the Units to be issued pursuant to this Issue for trading on the Stock exchanges should not be taken as an indication of the merits of the Trust or of the Units.

BOOK RUNNING LEAD MANAGERS				REGISTRAR TO THE ISSUE
SBICAPS Complete Investment Banking Solutions	AXIS CAPITAL	ICICI Securities	motilal oswal Investment Banking	KFINTECH EXPERIENCE TRANSFORMATION
SBI CAPITAL MARKETS LIMITED 1501, 15th Floor, A & B Wing, Parinee Crescenzo Building, G Block, Bandra Kurla Complex, Bandra (East), Mumbai 400 051, Maharashtra, India **Tel:** +91 22 4196 8300; **E-mail:** raajmarg.ipo@sbicaps.com **Investor grievance e-mail:** investor.relations@sbicaps.com **Contact person:** Sanjay Sethia **Website:** www.sbicaps.com **SEBI registration number:** INM000003531	**AXIS CAPITAL LIMITED** 1st Floor, Axis House, Pandurang Budhkar Marg, Worli Mumbai 400 025, Maharashtra, India **Tel:** +91 22 4325 2183 **E-mail:** raajmarg.ipo@axiscap.in **Investor grievance e-mail:** compliants@axiscap.com **Contact person:** Harish Patel/ Mayuri Arya **Website:** www.axiscapital.co.in **SEBI registration number:** INM000012029	**ICICI SECURITIES LIMITED** ICICI Venture House, Appasaheb Marathe Marg, Prabhadevi, Mumbai 400 025, Maharashtra, India **Tel:** +91 22 6807 7100 **E-mail:** raajmarg.ipo@icicisecurities.com **Investor grievance e-mail:** customercare@icicisecurities.com **Contact person:** Shri Subramanyam / Sumit Singh **Website:** www.icicisecurities.com **SEBI registration number:** INM000011179	**MOTILAL OSWAL INVESTMENT ADVISORS LIMITED** Motilal Oswal Tower, Rahimtullah Sayani Road, Opposite Parel ST Depot, Prabhadevi, Mumbai – 400 025, Maharashtra, India **Telephone:** +91 22 7193 4380 **E-mail:** riit.ipo@motilaloswal.com **Investor grievance e-mail:** moiaplredressal@motilaloswal.com **Contact person:** Shashank Pisat/Sankita Ajinkya **Website:** www.motilaloswalgroup.com **SEBI registration number:** INM000011005	**KFIN TECHNOLOGIES LIMITED** Selenium, Tower B, Plot No-31 and 32, Financial District, Nanakramguda, Serilingampally, Hyderabad, Rangareddy - 500 032, Telangana, India **Tel.:** +91 1800 309 4001 / +91 40 6716 2222 **E-mail:** riimpl.invit@kfintech.com **Investor grievance e-mail:** einward.ris@kfintech.com **Website:** www.kfintech.com **Contact person:** M. Murali Krishna **SEBI registration number:** INR000000221

CONTACT PERSON AND COMPLIANCE OFFICER	Bidders can contact the Compliance Officer or the Registrar to the Issue in case of any pre-Issue or post-Issue related problems such as non-receipt of Allotment Advice/ letter of Allotment, non-credit of Allotted Units in the respective beneficiary account, non-receipt of refund orders and non-receipt of funds by electronic mode.
Gunjan Rajpal, G - 5 & 6, Sector 10, Dwarka, New Delhi – 110 075; **Telephone:** +91 11 2507 4100/200 - 3211; **E-mail:** compliance@riimpl.in	

AVAILABILITY OF THE OFFER DOCUMENT: Investors are advised to refer to the Offer Document and the ***"Risk Factors"*** beginning on page 42 of the Offer Document before applying in the Issue. A copy of the Offer Document is made available on the website of SEBI at www.sebi.gov.in and is available on the websites of the Book Running Lead Managers, i.e., www.sbicaps.com and www.axiscapital.co.in, www.icicisecurities.com, www. motilaloswalgroup.com, the website of the InvIT at www.raajmarginfratrust.in and the websites of the Stock Exchanges, for BSE at www.bseindia.com and for NSE at www.nseindia.com.

AVAILABILITY OF BID CUM APPLICATION FORMS: Bid-cum-Application Forms can be obtained from the principal place of business of Raajmarg Infra Investment Trust, **Telephone:** +91 11 2507 4100/200 - 3211 at the offices of the Book Running Lead Managers: **SBI CAPITAL MARKETS LIMITED, Tel:** +91 22 4196 8300, **AXIS CAPITAL LIMITED, Tel:** +91 22 4325 2183, **ICICI SECURITIES LIMITED, Tel:** +91 22 6807 7100 and **MOTILAL OSWAL INVESTMENT ADVISORS LIMITED, Telephone:** +91 22 7193 4380 and Syndicate Member: Motilal Oswal Financial Services Limited and SBICAP Securities Limited and at the select locations of the Sub-syndicate Members, SCSBs, Registered Brokers, RTAs and CDPs participating in the Issue. Bid-cum-Application Forms will also be available on the websites of the Stock Exchanges and the Designated Branches of SCSBs, the list of which is available at websites of the Stock Exchanges and SEBI.

Sub-syndicate Members: Alankit Imaginations Limited, Almondz Global Securities Limited, Anand Rathi Share & Stock Brokers Limited, Anand Share Consultancy, ANS Pvt Limited, Asit C. Mehta Investment Interrmediates Limited, Axis Securities Limited, Centrum Broking Limited, Dalal & Broacha Stock Broking Pvt. Limited, Eureka Stock & Share Broking Services Ltd., G Raj & Co. (Consultants) Limited, HDFC Securities Limited, IIFL Capital Services Limited, Innovate Securities Pvt Limited, Jhaveri Securities, JM Financial Services Limited, Kalpataru Multiplier Limited, Kantilal Chhaganlal Securities Pvt.Ltd., Keynote Capitals Limited, KJMC Capital Market Services Limited, Kotak Securities Limited, Lakshmishree Investment & Securities Pvt Limited, LKP Securities Limited, Marwadi Shares & Finance, Nirmal Bang Securities Pvt Limited, Nuvama Wealth and Investment Limited (Edelweiss Broking Limited), Patel Wealth Advisors Pvt Limited, Prabhudas Lilladher Pvt Ltd., Pravin Ratilal Share and Stock Brokers Ltd., RR Equity Brokers Pvt. Ltd., Sharekhan Limited, SMC Global Securities Limited, SS Corporate Securities Limited, Tanna Financial Services, TradeBulls Securites (P) Limited, Upstox Securities Private Limited, Yes Securities (India) Limited

APPLICATIONS SUPPORTED BY BLOCKED AMOUNT (ASBA): Investors other than Anchor Investors and Strategic Investors, have to apply through the ASBA process. For details on the ASBA process, please refer to the details given in the ASBA Form and abridged offer document and also please refer to the section *"**Issue Information**"* beginning on page 271 of the Offer Document. ASBA Forms can also be downloaded from the websites of the Stock Exchanges. ASBA form can be obtained from the list of banks that is available on the website of SEBI at www.sebi.gov.in. ASBA Form can be obtained from Members of the Syndicate, SCSBs, Registered Brokers, RTAs and CDPs, the list of which is available on the website of SEBI.

ESCROW COLLECTION BANK, REFUND BANK AND SPONSOR BANK: ICICI Bank Limited

PUBLIC ISSUE ACCOUNT BANK AND SPONSOR BANK: HDFC Bank Limited

SPONSOR CONTRIBUTION BANK: Yes Bank Limited

UPI: UPI Bidders can also Bid through UPI Mechanism.

All capitalized terms used herein and not specifically defined shall have the same meaning as ascribed to them in the Offer Document.

For **Raajmarg Infra Investment Trust**
on behalf of the Board of Directors
Sd/-
Gunjan Rajpal
Compliance Officer

Place: New Delhi
Date: March 10, 2026

RAAJMARG INFRA INVESTMENT TRUST is proposing, subject to receipt of requisite approvals, market conditions and other considerations, to make an initial public offer of its Units and has filed the Offer Document dated February 28, 2026 with SEBI and the Stock Exchanges. The Offer Document is made available on the website of the SEBI at www.sebi.gov.in as well as on the website of the Book Running Lead Managers i.e., SBI Capital Markets Limited at www.sbicaps.com, Axis Capital Limited at www.axiscapital.co.in, ICICI Securities Limited at www.icicisecurities.com and Motilal Oswal Investment Advisors Limited at www. motilaloswalgroup.com, the website of the NSE at www. nseindia.com and the website of the BSE at www.bseindia.com and the website of the Trust at www.raajmarginfratrust.in. Any potential investor should note that investment in Units involves a high degree of risk and for details relating to such risks, please see the section titled ***"Risk Factors"*** beginning on page 42 of the Offer Document. Potential investors should not rely on the Draft Offer Document for making any investment decision.

The Units have not been and will not be registered under the United States Securities Act of 1933, as amended (the "Securities Act") and may not be offered or sold within the United States except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the Securities Act and applicable U.S. state securities laws. Accordingly, the Units are only being offered and sold outside the United States in "offshore transactions" as defined in and in reliance on Regulation S under the Securities Act ("Regulation S") and the applicable law of the jurisdictions where such offers and sales are made.

Adfactors

Govt eyes tax on data usage to boost telecom revenues

Centre issued a direction to DoT at a 7 January review meeting chaired by Prime Minister

Jatin Grover
jatin.grover@livemint.com
NEW DELHI

The department of telecommunications, or DoT, has been asked to study taxing data usage in the country with the "possibility of generating revenue". The direction was given at a review meeting of the telecom sector chaired by prime minister Narendra Modi early in January.

The meeting asked DoT to come up with a model that "promotes data consumption for positive activities while at the same time curb the negative activities that are likely to result in addiction especially among children," according to the minutes of the meeting.

The minutes of the 7 January meeting, attended by top government functionaries, has been reviewed by *Mint*.

Other action points listed in the minutes include: trimming state-owned Bharat Sanchar Nigam Ltd (BSNL)'s workforce, securing national networks, a roadmap for component localisation, and resolving issues in undersea cable industry. SIM cards must be issued only on the basis of Aadhaar cards after biometric verification, it noted.

Most countries tax income of companies that have data at the core of their business or some try to reduce screen usage in other ways with restrictions on timings of gaming services or age of consumers. "Any kind of taxes on data usage would be impossible to implement. The same could also cause disruption for users in the country and limit innovation," said Satya N. Gupta, former principal advisor of Telecom Regulatory Authority of India (Trai).

Such a tax may bring down the country from the leadership position in the emerging domain, he added.

DoT has been asked to come up with a model for taxing data by 30 September. In the Economic Survey 2026, The Centre had flagged the growing spread of digital addiction among children.

The data taxation proposal assumes significance as the Centre is looking to diversify its revenue stream from the telecom sector, which is dependent on spectrum auctions and licence fee from phone service operators. Users also pay 18% goods and services tax (GST) on the mobile recharges.

According to DoT, mobile data usage in India stood at about 229 billion GB in FY25. A levy of ₹1 per GB, for instance, could bring in ₹22,900 crore of revenue for the government.

The 7 January meeting, reviewed the progress of the telecom sector in FY25. The meeting was attended by communications minister Jyotiraditya Scindia, minister of state for communications Chandra Sekhar Pemmasani, cabinet secretary T.V. Somanathan, expenditure secretary V. Vualnam, telecom secretary Amit Agrawal, and Niti Aayog CEO B.V.R. Subrahmanyam.

DoT was asked to propose a model by 30 September to encourage positive data use while curbing harmful digital addiction, especially among children. MINT

REVENUE PUSH

INDIA'S mobile data use reached 229 bn GB in FY25, showing the scale of potential tax revenue for govt

A levy of ₹1 per GB may generate about ₹22,900 cr in annual revenue, according to estimates

EXPERTS warn that taxing data could disrupt users and innovation, weaken digital economy

GOVT asked BSNL to reduce headcount and repatriate those employees who are on deputation

Queries emailed to PMO, DoT, Cabinet secretary, Niti Aayog, expenditure department, on Saturday did not elicit any response till press time.

The minutes of the meeting said BSNL was "a human resource heavy" organization. "Steps may be taken to repatriate all persons on deputation from other departments with BSNL. Further, assessment of all personnel may be carried out with regard to suitability for the organization and efforts be made to reduce staff," Niti Aayog said in minutes of the meeting shared with different ministries on 29 January.

An email query to BSNL on Monday morning also didn't receive a response.

DoT is expected to come up with a plan by October. As of March-end, it had 54,875 employees. Its employee cost of ₹5,777 crore for the nine months ended December accounted for over 37% of its operating revenue. This is significantly higher than private telcos. Reliance Jio Infocomm's employee cost accounted for 1.6% or ₹1,490 crore of its revenue during the period. Bharti Airtel's standalone employee expense for the period was ₹1,678 crore, or just 1.9% of its topline.

On localization, the review meeting observed that India is still dependent on foreign countries for various telecom network components. "There is a need to work with commitment towards Atmanirbharta in telecom," the meeting document said. It has suggested that DoT prepare a roadmap by June, targeting at least 10 major components every year for indigenization.

According to Niti Aayog's 2024 report, over 40% of telecom equipment such as 4G/5G signal processing units and antenna, are imported from China. DoT has also been tasked with promoting Made in India technology aboard, especially in Africa.

For an extended version of this story, go to livemint.com.

Courts step up efforts to curb piracy of films and TV shows

Lata Jha
lata.j@livemint.com
NEW DELHI

Recent anti-piracy orders, notably the dynamic plus injunction, expand the scope of dealing with cyberspace issues. ISTOCKPHOTO

India's courts are keeping up with the times in their efforts to curb online piracy of films and television shows by issuing dynamic plus injunctions that are effective even for content that hasn't been released yet.

"We are witnessing a pivotal transition toward the dynamic plus injunction, where the Indian judiciary is providing ex-ante protection for content that isn't even expressed yet," Yash Vardhan Singh, counsel, Sarvaank Associates, said. "By moving away from static, URL-based orders, the courts are addressing intractable realities of digital piracy, ensuring marquee properties like *Friends* or *Stranger Things* are protected from the moment of creation."

Experts said anti-piracy rulings, particularly dynamic plus injunction, expand scope of dealing with emerging cyberspace issues. However, while such orders try to keep remedies in pace with practical and legal realities, internet architecture and cross-border enforcement face recurring limitations.

Website-blocking is inherently a response to a problem, but piracy networks reappear under new domain names, mirror sites, redirects or slightly modified alphanumeric URL. The key challenge is websites hosted overseas, making enforcement difficult. And with piracy moving to encrypted platforms, peer-to-peer channels and time-sensitive live streams, traditional domain-blocking mechanisms may have limited reach.

Earlier this year, the Delhi High Court strengthened protection for global entertainment firms Warner Bros., Netflix, Apple, Crunchyroll and Disney by ordering blocking of websites that illegally hosted pirated films and TV series.

A week ago, the Delhi High Court issued orders to internet service providers and domain name registrars to restrict access and block names specified in a plea filed by the Union of European Football Associations during the UEFA Champions League 2025-26 season.

Despite stronger court orders, enforcement is challenging due to overseas hosting, mirror domains

In response to a recent Delhi HC ex-parte ad-interim injunction in its favour, JioStar said the court reaffirmed that injunctions in piracy matters must be effective, dynamic and technology-responsive, particularly where content is generated and infringed in real time.

Anti-piracy jurisprudence in India has evolved significantly through the introduction of dynamic plus injunctions, representing a sophisticated leap from traditional John Doe or static blocking orders, said Anupam Shukla, a partner, Pioneer Legal. While older orders need rights holders to approach court for every new infringing URL, dynamic plus orders allow for pre-emptive protection of future works—content that's not even been released yet—and empowers the plaintiffs to add mirror or alphanumeric pirate sites via the court administrative office without a fresh hearing.

"The shift addresses whack-a-mole nature of digital piracy by reducing time lag between discovery of a rogue site and its blocking, providing marquee properties with critical protection during high-value initial release windows," Shukla said.

It's not a change in the statute, but in judicial approach, said Vishal Gehrana, partner-designate at Karanjawala & Co. "Timing is everything. When high value content is released, the first few days often determine the financial outcome. If infringing streams are freely accessible during that period, the damage is immediate and difficult to reverse."

"By reducing the enforcement gap, these orders help protect the most vulnerable window of exploitation. They do not eliminate piracy, but they make enforcement less reactive and more aligned with commercial realities. In that sense, they are undoubtedly more evolved than earlier static injunctions," he added.

For an extended version of this story, go to livemint.com.

Airlines in the Middle East are waiting to see when they might be able to return to regular operations. AFP

Airlines reviewing growth plans as war triggers fuel surges

Bloomberg
feedback@livemint.com

Until last month, airlines couldn't get new aircraft fast enough, with both Airbus SE and Boeing Co. struggling to keep up with surging demand.

The 10-day war in Iran has upended that outlook, as carriers weigh the implications on travel demand, the cost of fuel and their ability to navigate hostile skies. Planemakers and aircraft leasing firms are worried that some of their customers may push back deals, according to people familiar with the matter.

Discussions on future aircraft deals and leasing contracts, which provide airlines with aircraft sooner than outright purchases, have been put on temporary hold as some carriers in the Gulf and farther afield in Asia face operational difficulties, said the people, who asked not to be identified as the talks were private.

Airlines in the Middle East are waiting to see when they might be able to return to regular operations and assess the financial impact of the war before they make final decisions, according to people familiar with the companies' thinking. Some Asian carriers, including Lion Air, Garuda Indonesia and AirAsia, are also reviewing timelines for large jet purchases, the people said.

Some of the airlines are also considering pausing deliveries, wrong-footed by the Iran conflict

Some of the airlines are also considering pausing deliveries, wrong-footed by the Iran conflict that's triggering a sharp spike in jet-fuel prices, said the people.

Emirates, Lion Air and Garuda Indonesia did not immediately respond to a request for comment. Boeing said it defers to customers on the matter and Airbus said it is communicating with airlines on specific needs and the talks remain confidential.

Flydubai said it could not confirm any halt in talks or deliveries. Etihad said it would maintain its orderbook and not delay deliveries, while Qatar Airways said its "decision-making throughout this period is guided first and foremost by safety considerations."

AirAsia said it recently made temporary adjustments to fare and fuel surcharges across its network, following the recent increase in global jet fuel prices.

Because getting out of delivery contracts is difficult, deferrals are one tool that airlines consider to spread out the financial burden of expanding their fleet.

While carriers would normally need to pay penalties for delaying when they take aircraft, they might in this case declare force majeure, a clause that allows them to halt contracted deliveries without facing a fine, the people said.

About 14% of Boeing's backlog is from Middle Eastern airlines, according to Jefferies' analyst Sheila Kahyaoglu. The US planemaker is especially exposed to the Middle East with its widebody order book with almost half of the orders for the upcoming 777X jet and a third of the 787 Dreamliner purchases from carriers in the region.

"Given the ongoing conflict, Middle East carriers may not be able to take deliveries of on order aircraft in the near term," Kahyaoglu wrote in a note.

Boeing shares fell 2.9% to $224.36 as of 3:51 p.m. New York time.

The aviation industry had entered the year with an upbeat outlook. Global airlines stood to earn a record $41 billion this year, with an estimated 5.2 billion passengers taking to the skies, the International Air Transport Association said in December in its annual forecast. But profit margins at airlines have historically been thin amid high costs, cut-throat competition and geopolitical dislocations.

Trump says war to end 'very soon,' floats ending sanctions

US president insists operation was ahead of schedule, looks to shore up investors concerned about energy prices

Bloomberg
feedback@livemint.com

US President Donald Trump said he plans to waive oil-related sanctions, have the US Navy escort tankers through the Strait of Hormuz and predicted the war with Iran would resolve "very soon" as he confronted mounting economic and political pressures after days of dramatic fluctuations in oil markets.

The president said that he did not believe the conflict would be over this week, but insisted the operation was ahead of schedule and looked to shore up investors increasingly concerned about energy prices. He vowed bombing "at a much, much harder level" if Iran disrupted oil supplies alongside his sanctions pledge.

"We're looking to keep the oil prices down," Trump said at a news conference at his resort in Doral, Florida. "They went artificially up because of this excursion."

The president did not offer additional specifics, beyond acknowledging he had discussed the topic with Russian President Vladimir Putin in a phone call earlier Monday. Russia has faced sanctions on its oil revenue in an international bid to deprive the country of revenue over its war in Ukraine.

US President Donald Trump said that he did not believe the conflict would be over this week. AP

But as a whole, Trump's remarks underscored a new willingness by the White House to publicly indicate that it could be moving soon to attempt to wrap up the conflict.

"Together with our Israeli partners, we're crushing the enemy in an overwhelming display of technical skill and military force," Trump told Republican lawmakers earlier Monday. At the press conference, the president claimed the US had hit 5,000 targets in the country, said Iran's missile capability was down to 10%, and that drone launches from the country had decreased 83%. The US military objectives could be described as "pretty well complete," Trump said.

At the same time, Trump acknowledged unanswered questions that remained about the leadership in Tehran and vowed he would "not relent until the enemy is totally and decisively defeated." The president said that while the US had sunk more than 50 Iranian ships, a prolonged conflict could see the US bomb additional "important targets" including electricity production facilities.

"We've already won in many ways, but we haven't won enough," he said. "We go forward more determined than ever to achieve ultimate victory that will end this long-running danger once and for all."

The comments underscored the challenges ahead for Trump, who will need to reconcile his promises of total victory with the economic and political consequences of continuing the war.

US stocks recovered from losses earlier Monday, after the president made intial comments signaling an openness to ending the conflict to *CBS News*. Those comments sent the S&P 500 up as much as 1%, after a CBS reporter posted the comments on X. Oil and US Treasury yields fell.

US oil futures fell below $90 a barrel post settlement after surging above $119 early in the session in a volatile trading day. Markets eased as the world's largest economies considered a coordinated effort on emergency energy supplies and Trump's comments signaled he could seek a conclusion to the conflict.

Still, the Strait of Hormuz remained all but closed, with no finalized plans on how nations will safeguard ships passing through the key waterway.

Trump told *CBS* the Strait of Hormuz was seeing more ship traffic and that he is "thinking about taking it over." It was not immediately clear what specific actions the president was contemplating.

Trump also spoke with Russian President Vladimir Putin about Iran and the war in Ukraine, *Tass* reported Monday, citing Yuri Ushakov, an aide to the Russian leader.

Why Iranian regime change would transform global energy markets

Georgi Kantchev & Rebecca Feng

THE WALL STREET JOURNAL.

The Iran conflict is rocking energy markets and threatening to squeeze the global economy, but beyond the immediate crisis lies a staggering economic prize—unlocking the oil industry in a nation with one of the world's largest proven reserves.

On Monday, Brent crude surged past $100 a barrel before falling back in volatile trading as the conflict paralyzed the Strait of Hormuz, a narrow passage between Iran and Oman that a fifth of the world's oil and liquefied natural gas flows through. Thousands of ships are stuck outside the Persian Gulf.

But there is promise lurking behind the peril.

If the fight leads to regime change in Iran—a prospect that remains far from certain—it could one day reshape global energy markets. Lifting crippling economic sanctions could boost output in a country that already produces roughly 4% of the world's oil.

"There is plenty of runway for Iranian oil," said Karen Young, senior research scholar at Columbia University's Center on Global Energy Policy.

For years, Iran's oil industry has been strangled by international sanctions, starving it of most foreign investment and technology. If that persists, it would likely lead to an eventual collapse in production.

"That can change quickly, in a scenario as we now see in Venezuela where expectations of increasing production were quite bleak but already showing improvement," said Young.

After years of U.S. sanctions, the Venezuelan energy sector suffered a heavy blow amid a lack of access to technology and chronic capital flight. Since U.S. forces captured Venezuelan President Nicolás Maduro in January, Washington's push to lift sanctions and attract foreign investment has positioned the nation's oil sector for a steady, albeit lengthy, recovery.

Before the current conflict, Iran was pumping up to 3.5 million barrels a day, exporting roughly half of that. In 2025 as a whole, Iran sold more oil than in any year since 2018.

Before the 1979 revolution, it produced 5 million to 6 million barrels a day. That dropped due to infrastructure damage from the Iran-Iraq War, the loss of foreign expertise and chronic underinvestment.

To continue exporting amid sanctions, Iran has leaned on its shadow fleet, a global network of aging tankers that the Trump administration has been pursuing with sanctions and special forces.

Iran sells its crude mainly to small Chinese refiners known as "teapots." Lacking international exposure, they largely ignore U.S. sanctions, scooping up cheap crude to compete domestically. Iranian oil makes up roughly 13% of China's seaborne oil intake.

Iran's resilience also stems from its subsurface advantages.

On Monday, Brent crude surged past $100 a barrel. AP

Unlike Venezuela, which requires sophisticated diluents and upgrading to process its heavy crude, Iran benefits from conventional drilling and rich reservoir management experience. Consequently, Iran's production costs are low, at $10 to $30 a barrel, compared with U.S. shale break-even prices of $60 to $70 per barrel.

"That means it can keep pumping even when oil is sold at a discount and payments are more complicated, which helps explain why output has not collapsed despite sanctions," said Bridget Payne, head of energy forecasting at Oxford Economics.

Two futures: Decline or resurgence

Despite this resilience, the baseline outlook if the regime survives and antagonism with the West continues is grim.

Russia, whose energy sector was heavily sanctioned after it invaded Ukraine, offers a parallel. Starved of cash, advanced equipment and modern technologies to extract hard-to-reach oil, Russian production is expected to enter a slow decline in the coming years.

In the short term, Iran's ability to move its oil is facing immediate physical and geopolitical hurdles. Gregory Brew, a senior analyst at the Eurasia Group, said that if hostilities drag on, the volume of Iranian exports is likely to be suppressed by sustained U.S. military and sanctions pressure.

In a scenario where the conflict imposes damage on the local oil industry and sanctions continue, research firm Rystad Energy projects that total output could fall to 2.6 million barrels a day by the middle of the year.

"I think there's a very low probability that this conflict ends with any kind of improvement in the U.S.-Iranian relationship," Brew said. "The U.S. is going to continue to pressure Iran via sanctions."

Conversely, regime change or a diplomatic breakthrough with the U.S. that leads to the removal of sanctions would see a rapid return of Iranian barrels.

In such a scenario, Rystad expects output to increase by over 10% by the end of 2027. Vikas Dwivedi, global energy strategist at Macquarie Group, estimates an initial 500,000-barrel-a-day jump within six months, and another 500,000 barrels within 18 months.

Such a production boost, Dwivedi said, could shave $5 to $10 a barrel off the price of Brent.

"We've always said that a long-term solution to peace in the Middle East brings the oil price down," said Michael Haigh, head of commodities research at Société Générale. "There wouldn't really be very much of a risk premium in the market."

feedback@livemint.com

U.S. and Western allies turn to reserves to counteract Gulf oil crisis

Rebecca Feng & Joe Wallace

THE WALL STREET JOURNAL.

After the 1973 oil shock, the U.S. and allies swore to maintain emergency stockpiles to make sure there could never be a repeat.

The blockage in the Persian Gulf poses the sternest test the reserves have ever faced.

Finance ministers from Group of Seven economies met Monday to discuss whether to release crude to counteract the loss of Middle Eastern supplies.

"We are prepared to take all necessary measures, including drawing on strategic stock reserves, in order to stabilize the market," French Finance Minister Roland Lescure told reporters after the meeting of the International Energy Agency, an organization of Western and allied economies that helps oversee the oil stockpiles of 32 member countries.

The meeting showed growing concern in the Trump administration and allied governments about the fast-spreading effects of the Iran war on energy markets. The Strait of Hormuz, the exit point for ships in the Persian Gulf, is effectively closed, trapping more than 1,000 vessels and forcing major Gulf oil producers to cut output.

Benchmark Brent crude futures, having rocketed at the open late Sunday, pared gains as news emerged of a possible reserve release. And prices fell further after President Trump said, "I think the war is very complete, pretty much."

Still, prices are almost 40% higher than on the eve of the war and traded above $100 a barrel for the first time since 2022.

Traders worry that even if the waterway reopens, exports of crude, diesel and gasoline won't quickly recover to prewar levels in part because of attacks on energy infrastructure. Restarting shut wells also takes weeks or even months. Some wells never return to their original production levels.

The Gulf exported around 20 million barrels of crude and refined fuels a day before the war, roughly a fifth of what the world consumes. Of that, roughly 5.5 million barrels a day can continue to flow via pipelines that avoid the Strait of Hormuz, according to the IEA. That leaves 14.5 million barrels of exports a day to be replaced.

IEA members hold 1.2 billion barrels in public stocks, plus another 600 million in mandatory commercial inventories, IEA Executive Director Fatih Birol said Monday. By rough calculation, that is around 124 days worth of lost supply from the Gulf.

A lot of that missing oil flow would normally go to China, which maintains its own reserves, the size of which aren't officially disclosed. Analysts estimate them to be around 1.5 billion barrels.

The IEA was formed after the Arab oil embargoes shook the world economy, as an oil consumers' counterpoint to the Organization of the Petroleum Exporting Countries. The agency's members include the U.S., Japan, South Korea and oil-importing nations in Europe. They are required to stockpile enough petroleum to cover 90 days of net imports.

Crude prices traded above $100 a barrel for the first time since 2022. REUTERS

Previous releases from strategic reserves have had mixed results.

"It helps mitigate the problem, but if the interruption continues, you're never going to be able to sort out all the implications of a large drop in flows with a release of inventory," said Paul Horsnell, an independent energy analyst in London.

The U.S., thanks to the shale revolution, has flipped from a net importer to a net exporter, but still stores 415 million barrels in Louisiana and Texas salt caverns.

One problem is that barrels sold from stockpiles need to be replenished, which adds to future demand. And as reserves get taken down, markets worry about whether there will be enough supply to replace them.

Also a challenge: What is in the reserves isn't the same as what is stuck in the Gulf, which includes specific grades of oil and a large amount of refined products such as gasoline and jet fuel.

"SPR releases go the smoothest when you can release something very close to what's been lost," said Andrew Harbourne, analyst at Wood Mackenzie.

Wars have spurred four of the previous five coordinated releases.

The Gulf exported around 20 million barrels of crude and refined fuels a day before the Iran war

Twice in quick succession after Russia invaded Ukraine in early 2022, IEA members teamed up to tap their stockpiles.

At first, the move had the opposite of its intended effect. Traders saw the release as a sign that the oil crisis was worse than they thought, and prices rose about 20% the week after the announcement.

Analysts say the releases eventually helped bring prices down. Some Republicans (the White House was in Democratic hands at the time) said the move aimed to win over voters before midterm elections at the expense of national security.

A particularly successful release took place in 1991. Then-President George H.W. Bush prepared for Operation Desert Storm by ordering what was then the first ever drawdown of the SPR the same night the U.S. attacked Iraq. IEA members joined along, triggering a plan they had put in place ahead of the invasion.

The planning had an effect: Prices fell more than 20% on the first day of the U.S.-led assault. By the time coalition forces entered Iraq and Kuwait in February, oil from the SPR was on the market.

Most of the previous releases by the IEA were "targeted at quelling any perception of risks to supplies, rather than responding to actual shortages or a realistic immediate risk of shortages," said Chris Wheaton, an oil and gas analyst at Stifel. "There is still plenty of oil. The key is opening the Strait of Hormuz," he said.

The U.S. reserve is still running below levels from before the start of the Ukraine war. In his inaugural address, Trump pledged to fill it up. But by the end of February, there were 415 million barrels in the SPR, 30% below levels from early 2022.

The U.S. reserve is under governmental control. Some European countries instruct energy companies to hold a certain amount of petroleum in reserve, and simply reduce that target in a "release."

Japan, which is heavily reliant on Middle East oil, has more imports in storage, a mix of publicly held and commercial stocks. South Korea has a similar buffer.

One complicating factor is the U.S. administration's sometimes contentious relationship with the IEA. Secretary of Energy Chris Wright threatened to pull out of the agency earlier this year over the IEA's advocacy for renewable energy.

feedback@livemint.com

Anthropic's standoff with the Pentagon shakes up AI talent race

Meghan Bobrowsky
feedback@livemint.com

Anthropic has seen a surge of public goodwill since CEO Dario Amodei said it wouldn't compromise its red lines for a deal. REUTERS

Anthropic's standoff with the Defense Department has cost it Uncle Sam as a customer, but it has brought a momentary advantage in the ferocious talent war between rival artificial intelligence labs.

At least two high-level employees have resigned from OpenAI, citing values and principles, since the company said it had reached a deal with the Pentagon to deploy its AI models in classified settings. Anthropic was renegotiating its own Pentagon deal and seeking to weave in new safeguards around domestic surveillance and autonomous weapons when talks broke down , prompting the Trump administration to declare the company a supply-chain risk.

Caitlin Kalinowski , who oversaw hardware within OpenAI's robotics division, wrote in a post on X over the weekend that she was quitting over the contract.

"AI has an important role in national security. But surveillance of Americans without judicial oversight and lethal autonomy without human authorization are lines that deserved more deliberation than they got," she wrote. "This was about principle, not people."

In a separate post a few days earlier, Max Schwarzer, a vice president of research at OpenAI, wrote on X that he was leaving to join Anthropic.

"Many of [the] people I most trust and respect have joined Anthropic over the last couple of years, and I'm excited to work with them again. I have also been very impressed with Anthropic's talent, research taste and values, and I'm excited to be part of what the company does next!" he wrote, adding that he was also leaving to return to individual contributor research work.

THE WALL STREET JOURNAL.

"We recognize that people have strong views about these issues and we will continue to engage in discussion with employees, government, civil society and communities around the world," a spokeswoman for OpenAI said.

Anthropic has seen a surge of public goodwill since Chief Executive Dario Amodei said the company wouldn't compromise its red lines to do a deal. Its Claude chatbot hit no. 1 in downloads on the Apple App Store, surpassing OpenAI's ChatGPT for the first time. San Franciscans chalked messages of appreciation outside its headquarters. Even pop star Katy Perry posted a screenshot of her subscribing to a paid Claude plan with a heart around the page.

But no front of competition has mattered more than the red-hot contest for technical talent. And while researchers juggling competing offers have been able to command pay packages worth hundreds of millions of dollars, OpenAI's recent defections offer a reminder that values have frequently trumped money for the most sought-after prospects.

Anthropic was founded in 2021 by former OpenAI researchers, including Amodei, who felt that the company was rushing to build a commercial product without prioritizing safety. Since then, it has cultivated a reputation as a haven for researchers focused on the potential downsides of powerful AI, even as its models have established themselves as the preference of a wide range of business customers.

"I think leading from values first has kind of allowed us to build a team that really believes in what we're doing," Amodei said last week during a private session at Morgan Stanley's Technology, Media & Telecom conference in San Francisco.

The Pentagon sought to use Anthropic's customer relationships as a point of leverage in threatening to declare Anthropic a supply-chain risk, saying the designation would cut off other Defense Department contractors from working with the company. But Anthropic said the status applies only to the work contractors do for the department, and on Monday it sued to challenge the designation. A group of 37 employees of OpenAI and Google DeepMind filed a brief asking the court to side with Anthropic.

A test of how much Anthropic's employees care about the company's ethical orientation arrived last summer when Meta Platforms , seeking to supercharge its model development, mounted an aggressive campaign to woo researchers and engineers from rival labs, including OpenAI and Anthropic, dangling compensation packages in some cases worth hundreds of millions of dollars.

OpenAI countered Meta's offers with bonuses , and in December, got rid of its vesting cliff , meaning that new employees no longer had to wait for their stock to vest.

Anthropic, according to Amodei, told employees it wasn't going to alter employees' compensation structure to respond to Meta's blitz. "The thing we said to everyone was look, you're here for the mission," he said in the Morgan Stanley session. "We have a system and we're going to hold to that. If you leave, you leave."

Anthropic ended up losing only two employees to Meta, versus "several dozen" from OpenAI, he said. He noted that his company not only has all of its original co-founders but almost all of its first 20 employees.

"If you look at our retention rate, it's just the best in the industry," Amodei said. "We're just clearly doing something different."

In the days after OpenAI signed its contract with the Pentagon, the company went into damage control mode. Saying the rush to get a deal had "looked opportunistic and sloppy," Chief Executive Sam Altman posted messages on X trying to explain and assuage concerns.

Over the weekend following the contract signing, Altman hosted an "ask-me-anything" session on X, where he and two other employees answered questions . And on the next business day, Altman posted that he had been working with the Department of Defense to make some additions to the agreement "to make our principles very clear."

The following day, Schwarzer resigned. Kalinowski announced she had quit a few days later.

"We believe our agreement with the Pentagon creates a workable path for responsible national security uses of AI while making clear our red lines: no domestic surveillance and no autonomous weapons," the OpenAI spokeswoman said.

Anthropic isn't immune to scrutiny of its own.

An Anthropic safety researcher, Mrinank Sharma, said in early February that he was leaving the company to explore a poetry degree and wrote in a letter to colleagues that the world was in peril from AI.

Sharma's decision to leave was related in part to a recent company decision to modify a long-held safety policy, The Wall Street Journal previously reported.

Ukrainians retreat to villages after Russian bombing turns off power in cities

With frequent heat and power cuts, many have sought refuge in small rural communities

Oksana Grytsenko
feedback@livemint.com
HRYHORIVKA, UKRAINE


Russian strikes on Ukrainian infrastructure left hundreds of thousands of Kyiv residents without power or heating. AFP

When relentless Russian bombing cut the power and heat to Radoslava Kabachiy's apartment in Kyiv's historic center in late January, she did what Ukrainians have done for centuries when Moscow attacks: headed for the village.

Now her habitual lifestyle of frequenting theaters and galleries, preserved despite four years of Russian invasion, has been replaced by clearing snow in the backyard and warning neighbors about air-raid alerts in the online village group chat.

Russian strikes on Ukrainian infrastructure left hundreds of thousands of Kyiv residents without power or heating for long stretches this winter, as temperatures dropped to minus 4 degrees Fahrenheit.

In January, Kyiv's mayor urged residents to leave the city if they had somewhere to go, saying that about 600,000 had already done so.

After two weeks without heating and five days without power, coping with constant stress and sleeping problems, 36-year-old Kabachiy and her husband packed up essentials, including their cat Frida, and traveled 30 miles south of Kyiv to a village house her mother had bought decades earlier.

"In a village, you always find refuge, food and something that helps you to hold up emotionally," she said. Kabachiy, a manager of cultural projects whose grandparents came from villages, said she had been soothed by nature, including the singing of birds in trees and the camaraderie of villagers.

Moscow has counted on undermining Ukrainians' resistance by attacking power stations and the electricity grid to cut power and heat, which relies on electricity-powered pumps to function. Russian strikes have caused blackouts all over Ukraine, worst of all in major cities including Kyiv, Odesa, Dnipro and Kharkiv.

But when times get tough, Ukrainians can still fall back to the village.

Ukrainians have for centuries been mostly an agrarian nation, plowing fertile black soils and relying on neighbors for physical and spiritual succor. During both world wars, many Ukrainians sought food and shelter in villages, said Roman Kabachiy, a 48-year-old historian and Radoslava's husband.

These days many villages are crumbling as young people prefer the lifestyle and opportunities of cities. Less than one-third of Ukraine's population lives in villages, while a century ago it was more than three quarters.

But when Russia unleashed its fiercest bombing campaign of this war this winter, it wasn't long before Kyiv residents were sharing their ultimate survival plans: heading home.

In mid-January, graphic designer Oleksandra Skachkova posted a TikTok video of herself drinking her morning coffee beside a thermometer reading 53 degrees Fahrenheit. By that point, the 25-year-old and her partner had been living without heating for two weeks in Kyiv, boiling water over a candle and dressing themselves—and their dogs—in layers of clothes.

THE WALL STREET JOURNAL.

After seeing the video, her mother, who lives abroad, suggested that Skachkova move to the family home in the southern Odesa province.

The house in the small town had a large fireplace and a gas stove, providing warmth and the ability to cook regardless of the blackouts. When Skachkova and her partner, Lina Rohovska, a 27-year-old marketing specialist, unpacked and sat down for tea, they realized how exhausted they had been by the cold and darkness in Kyiv.

"We started living, not just surviving," Skachkova said, sitting by the burning fireplace next to Rohovska and their two dogs, Delta and Taira.

"When we were in Kyiv, we didn't want anything, we didn't even laugh," Rohovska said. "And here we started laughing a lot."

The fireplace required regular wood chopping and cleaning out ash, which Skachkova found surprisingly enjoyable. The nearest grocery store was a mile away, and the bus ran only once an hour and accepted cash only, which is unusual for the couple, who were used to living in a big city with shops and cafes just around the corner.

As a result, they had to plan their grocery shopping in advance and ration their firewood. "It's a question of discipline," Skachkova said.

In late December, public-relations manager Danylo Boiko traveled with his parents and younger brother to a village south of Kyiv to celebrate Christmas with his great-grandparents.

Russian strikes on Ukrainian infra left hundreds of thousands of Kyiv residents without power or heating for long stretches

As blackouts in the city intensified, the family first extended their stay through the New Year, then until the end of the school holidays. When the holidays were extended because of the cold, they decided to remain in the village at least until spring.

In their Kyiv apartment on the 10th floor, every power outage meant losing heating and running water. But the house where they are staying now is heated with wood and has running water, as well as a well nearby.

Boiko, 23 years old and below the age for conscription, said he often felt depressed in Kyiv because of the blackouts and blamed himself for not wanting to socialize with friends. In the village, he now enjoys not having to rush anywhere except to buy groceries or clear snow from the road. The chance to walk to the river has also lifted his spirits.

"I'm happy here," he said.

It took the Kabachiy family several days to warm up their village house. They had taken refuge there before, during the Covid pandemic and the first months after Russia's 2022 invasion, but it had been largely empty for the last half-year. Power outages in the village are also frequent, so their electrically heated home depends on a petrol generator. The device is so important that the family has even given it a human name: Havrylo, or Gabriel.

Every day, they have to switch on the generator, check the radiators and regularly clear snow from the road. Radoslava Kabachiy works remotely, sitting with her laptop in the kitchen, while Roman often commutes by bus to his job at a war museum in Kyiv.

When something breaks down, neighbors are there to help out, like when the radiators started leaking because of the big temperature swings. Radoslava says she misses nothing except food delivery.

One major advantage, she adds, is that her sleep disorder has disappeared.

Asia private credit funds turn haven for investors

Bloomberg
feedback@livemint.com


Investors are spooked by the impact of artificial intelligence on some borrowers and mounting valuation worries. ISTOCKPHOTO

Asia-based private credit funds are emerging as a possible hedge against turmoil gripping the $1.8 trillion industry, as investors seek safer alternatives in the asset class.

Concern about US private credit exposures to the software sector that's under pressure from rapid advances in AI, has fuelled redemptions at funds run by firms including BlackRock Inc., Blackstone Inc. and Blue Owl Capital Inc. By contrast, Asia Pacific vehicles—with more conservative lending practices and comprised mostly of closed-ended funds—are better insulated from liquidity risks that have plagued the US and Europe, according to several private credit executives who spoke to *Bloomberg News*.

Against this backdrop, at least two private firms are pitching Asia focused funds as alternatives. In some cases, investors—so-called limited partners—are approaching managers pro-actively, according to people familiar with the matter.

"We have a few LPs we hadn't had high engagement from for some time who came to us recently saying they wanted to explore Asian opportunities given what happened in the US private credit market," said Siddhartha Hari, partner and co-head of Elham Credit Partners.

Fears have been bubbling up in the private credit market in recent weeks, with investors spooked by the impact of artificial intelligence on some borrowers and mounting valuation worries. On Friday, BlackRock capped withdrawals from its $26 billion HPS Corporate Lending Fund at 5% after investors sought to withdraw nearly double that amount. That followed a record 7.9% redemption from one of Blackstone's flagship credit funds last week, and Blue Owl's decision to halt quarterly withdrawals in February. Broader credit markets have also been shaken by loan blowups in developed economies. Last month's collapse of UK non-bank finance firm Market Financial Solutions Ltd left banks nursing potential losses amid allegations of financial irregularities. That followed defaults at US auto parts supplier First Brands Group and subprime lender Tricolor Holdings in the second half of 2025 that raised fresh doubts about underwriting standards and risk controls in the asset class.

Asia is better positioned to withstand the turbulence building in the West for several reasons

"The US has been a victim of its own success with so much capital raised and so the speed of deployment has lacked proper due diligence as we've seen in a handful of cases," said Bob Sahota, chief investment officer at Sydney-based Revolution Asset Management Pty.

While Asia isn't totally isolated from the broader stresses—with mounting defaults and the risk of hidden "cockroaches" still lurking in global credit markets—the region is nevertheless better positioned to withstand the turbulence building in the West for several reasons.

Asian funding markets are largely bank-dominated, and many private credit deals are backed by tangible assets such as schools and factories, some private credit players said.

"Given that some parts of Asia are developing markets with not very strong legal frameworks, underwriting is more disciplined relative to US including real asset collateral in a number of private investments," said Neeraj Seth, chief investment officer at hedge fund 3R Investment Management. Asia offers diversification through its range of countries and sectors too, he added. Private credit in Asia is projected to grow to $92 billion in 2027 from $59 billion in 2024, as per an industry report.

Senior bankers quit for rivals as Asia talent fight intensifies

Bloomberg
feedback@livemint.com


Asia-Pacific deal resurgence sparked poaching. BLOOMBERG

Senior bankers in Asia are leaving for competitors at an intensifying pace as the job market heats up again on rising deal flow, people familiar with the matter said.

While post bonus job moves are common in banking, a resurgence in Asia-Pacific deals is sparking a fresh wave of poaching among the world's largest investment banks. Departures and hiring had slowed in recent years as geopolitical tensions and weaker growth in major economies cooled opportunities.

The shifts have hit across key coverage groups, from real estate to equity capital markets. Among them is Indran Thana, a 15-year UBS Group AG veteran and Asia head of real estate, lodging, and leisure, who resigned last week to join Citigroup Inc. Thana will fill the vacancy left by Jonathan Quek, who departed for Jefferies Financial Group Inc.

The talent shift also comes as emerging competitors like Jefferies expand their footprint, capitalizing on a recovery fueled by the technology, industrial, and biotech sectors.

Others include Min Zhao, a managing director at Bank of America Corp., who is moving to Jefferies. Citi banker Aaron Zhang left for Morgan Stanley, while Warren Wu, head of TMT for South-east Asia and India at UBS, has also stepped down. Karen Chen, JPMorgan Chase & Co.'s China head of consumer and retail, recently resigned to join a rival.

Representatives for UBS, Bank of America, Citigroup, Morgan Stanley, JPMorgan all declined to comment and the individuals involved declined to comment or didn't immediately respond to requests for comment.

UBS is also losing Fergus Horrobin, a dealmaker recently based in Hong Kong, who is joining JPMorgan to run its international real estate investment banking business from London.

For Zurich-based UBS, the turnover follows a period of intense organizational change. The lender has been fine-tuning its headcount after absorbing a significant influx of staff from its Credit Suisse acquisition. Unlike many Wall Street peers who implemented sweeping job cuts over the last two years, UBS largely maintained its headcount in Asia.

NEWS IN NUMBERS

$88 mn

THE WORLDWIDE opening weekend collections for Pixar's *Hoppers*, the strongest launch for an original animated film since *Coco*.

300,000

THE NUMBER of Jewish residents in Jerusalem eligible for personal firearms licences after a blanket approval amid the war with Iran.

132.5 mn

THE NUMBER of e-way bills raised in February, down 3.1% from January yet still the third-highest ever, signalling strong goods movement across the country.

55 mn

THE NUMBER of iPhones Apple assembled in India in 2025, a 53% jump from a year earlier, taking India's share to about 25% of global iPhone output.

$93.4 bn

SAUDI ARAMCO'S net profit for 2025, down 12% from $106.2 billion in 2024, as weaker revenues, US tariffs and economic headwinds hit the oil giant's earnings.

HOWINDIALIVES.COM

SBI to tap infrastructure bonds

SBI had last sold infrastructure bonds in November 2024, raising ₹10,000 crore. MINT

India's largest lender, State Bank of India (SBI), will issue infrastructure bonds in March after a gap of about 16 months, two bankers said on Tuesday.

SBI may sell 7-year or 10-year bonds to raise as much as ₹10,000 crore ($1.09 billion), said the bankers, requesting anonymity as they are not authorised to speak to media.

When asked to confirm the bond issues, SBI told *Reuters* via email that "as a policy bank does not comment upon such matters".

Infrastructure bonds are used to finance long-term development projects.

SBI had last sold infrastructure bonds in November 2024, raising ₹10,000 crore through 15-year notes. Three Indian lenders raised a total of ₹25,000 crore through infrastructure bonds so far this fiscal, sharply lower than ₹89,200 crore raised in the previous fiscal.

Bank of Baroda raised ₹10,000 crore through seven-year green infrastructure bonds earlier in March, amid demand by a large state-run insurance firm and a provident fund house.

Other state-run lenders could also look to raise funds through the bonds this month, bankers said. REUTERS

Boeing 737 runs into wiring headwind

Boeing said on Tuesday first-quarter deliveries of its narrow-body 737 MAX jets could face delays due to wiring flaws, the latest hiccup for the troubled planemaker as chief executive officer Kelly Ortberg looks to improve its reputation.

"Our 737 program is performing rework on a group of airplanes to fix wires that have small scratches due to a machining error," Boeing said, adding that production of its new MAX jets continue at the existing rate.

Boeing said all in-service 737 MAX planes can operate safely and that the issue won't impact its year-end total delivery. This comes after company said it delivered 51 jets in February, the highest for the month since 2018. REUTERS

Edible oil buyers seek secure supply

Rising vegetable oil prices and freight rates are pushing Indian buyers toward prompt shipments amid concerns deliveries of newly purchased soyoil and sunflower oil could be delayed by the Middle East conflict, five dealers told *Reuters*.

As the world's largest importer of vegetable oils, India's move to curb fresh purchases could limit further upside in prices of palm oil, soyoil and sunflower oil, although it may tighten local supplies in April.

Local edible oil prices have jumped in recent days, in line with a rally in global markets, but refiners are reluctant to make overseas purchases at the higher levels, said a Mumbai-based dealer with a global trade house. REUTERS


Telecom tower manufacturing units are also seeking an exemption from an order restricting LPG supply. MINT

Telecom sector asks govt for priority fuel

Energy supply disruptions linked to the ongoing conflict in West Asia are beginning to affect India's telecom sector, prompting the tower and telecom operators to seek urgent government intervention.

The Digital Infrastructure Providers Association (DIPA), which represents telecom infrastructure providers such as Indus Towers, Ascend Telecom Infrastructure and other telecom operators, has written to the government seeking priority electricity supply for mobile tower sites and an exemption for telecom tower manufacturing units from a recent order restricting liquified petroleum gas (LPG) supply.

"We have been informed by major tower manufacturing partners that LPG supplies to them from all oil marketing companies have been discontinued with effect from 5 March 2026, in compliance with the Order issued by the ministry of petroleum & natural gas," Manoj Kumar Singh, director general of DIPA, said in a letter dated 9 March to department of telecommunications (DoT) secretary Amit Agrawal. A copy of the letter, which *Mint* has seen, was also marked to petroleum secretary Neeraj Mittal. JATIN GROVER

AP

India to validate AI model for weather forecasting

If successful, model can improve warnings, disaster preparedness, agricultural planning

Vijay C. Roy
vijay.roy@livemint.com
NEW DELHI

India plans to validate its indigenous artificial intelligence (AI) weather forecasting model after the monsoon season to assess its accuracy and reliability.

The evaluation will compare AI-based predictions with actual rainfall and climate data, India Meteorological Department (IMD) director general Mrutyunjay Mohapatra told *Mint*.

If successful, the model could improve early warnings, disaster preparedness, and agricultural planning nationwide, he said, adding that AI systems would analyze large historical weather datasets and real-time observations to detect patterns.

The initiative will complement India's Bharat Forecasting System (BharatFS)—a high-resolution weather prediction system launched in May 2025, operating on a 6-km grid, designed to improve forecasts for monsoon, cyclones and extreme weather events.

A high-resolution model can provide better guidance for weather predictions and extremes at the district and block levels, which are typically 12 km or more.

Predicting the behaviour of the south-west monsoon is a major challenge for weather scientists due to the complex interaction of global and regional climatic factors.

Climate patterns such as the El Niño–Southern Oscillation, the Indian Ocean Dipole and the Madden–Julian Oscillation play a crucial role in shaping rainfall trends over India.

Changes in sea surface temperatures in the Indian Ocean and the Pacific Ocean can significantly alter wind patterns and moisture flow towards the subcontinent.

"In addition, local weather systems and growing climate variability have made it increasingly difficult to accurately predict the distribution and intensity of rainfall well in advance. We have been using AI-based models in weather forecasting for some time now," Mohapatra said.

He noted that forecasting the monsoon is significantly more challenging than predicting heatwaves. So, the performance of the domestic AI weather model will be checked after the monsoon to determine its precision and dependability.

For an extended version of this story, go to livemint.com

Equity MF inflows up after 2-month lull

Equity mutual funds attracted net inflows of ₹25,978 crore in February, marking an 8% rise from the previous month, suggesting that investor participation remained resilient despite intermittent market volatility and global uncertainties.

Coming after two months of moderation in equity inflows, the February figure lifted the industry's assets under management to ₹82 trillion from ₹81 trillion in January, according to data released by the Association of Mutual Funds in India (Amfi) on Tuesday.

In a conference call, Venkat N. Chalasani, chief executive officer of the industry body, said that positive inflow in equities could be driven by the India-US trade deal. "There could be some volatility this month due to the escalating Middle East conflict involving the US, Israel, and Iran but India's growth story will continue in the long-term," he added. PTI

RBI has received two complaints against Standard Chartered Bank. REUTERS

'RBI examining StanChart issue'

India's central bank is examining a complaint received against Standard Chartered Bank for "repeated instances of collusive asset disposals at a discounted value", India's junior finance minister Pankaj Chaudhary told lawmakers on Tuesday.

The Reserve Bank of India (RBI) has received two complaints against the lender in October 2024 and February 2026, related to assets linked to three developers, according to a written reply to parliament.

The complaint received in February 2026 is under examination, he said. A final order in the complaint received in October 2024 is pending, the minister said. "The sale of asset by the secured creditor was a commercial judgment of the concerned entity," he said.

Standard Chartered Bank India did not immediately respond to an email seeking comment. REUTERS

Meta ups ad fees to cover digital taxes

Meta Platforms is asking advertisers to cover the costs of digital services taxes, levies imposed by countries on local sales made by technology firms.

The company emailed advertisers to inform them of new "location fees." These will apply to digital ads delivered in particular countries, even if the advertiser isn't based there.

Meta, which owns social networks Facebook and Instagram and messaging service WhatsApp, said the extra charges will kick in on 1 July. The company said in its email it had absorbed the fees up till now. Alphabet Inc.'s Google and Amazon.com Inc. both charge similar fees.

Meta declined to comment.

Businesses buying ads on Meta's platforms will be charged an additional amount, corresponding to the digital tax rate in the country where they are showing the ad. BLOOMBERG

SpaceX weighs Nasdaq listing

Elon Musk's rocket and satellite maker SpaceX is leaning toward listing its shares on the Nasdaq for what could rank as the biggest initial public offering (IPO) of all time, according to four people familiar with the company's thinking.

SpaceX wants early inclusion on the Nasdaq 100 index , making it a necessary condition for a potential listing on the tech-heavy exchange, two of the people said. Its plans could still change, said the people, who asked not to be identified because the discussions are confidential. *Reuters* has previously reported that SpaceX is planning an IPO, as early as June. The New York Stock Exchange is also competing for the listing, and neither exchange has been informed of a decision either way, multiple people said.

The Nasdaq 100 is seen as a premier blue-chip index by large institutional investors and serves as a barometer for the health of most of the world's biggest publicly traded names. REUTERS

VW targets more savings to keep up with competition

Bloomberg
feedback@livemint.com

Volkswagen AG (VW) is gearing up for more cost cuts to respond to competition led by China, with Europe's biggest carmaker expecting to come under more pressure in its mainstay region.

The manufacturer, also citing tariffs and spending on electric vehicles as a drag on its business, sees an operating return this year of as low as 4%. Extra savings will come on top of plans to shed some 50,000 jobs by the end of the decade.

"We are facing trade policy barriers, completely changed markets, different regulatory systems," chief executive officer Oliver Blume said on a media call. "The business model that has supported us for decades in the Volkswagen Group is not tenable anymore."

VW is fighting back against fast-moving competition in China, still its most important market. Demand is soft in Europe where the shift to EVs remains uneven. Chinese manufacturers are also preparing to enter Europe, with BYD Co., the world's biggest EV maker, set to ramp up output in Hungary this year.

Operating earnings from VW's business in China slumped by 55% last year to €958 million ($1.1 billion). High spending on new models will weigh on results there this year before an expected improvement in 2027, chief financial officer Arno Antlitz said on a media call.


Volkswagen's chief executive officer Oliver Blume. BLOOMBERG

Targeted areas for more savings go to the core of VW's operations, with Blume looking for cuts in development spending, procurement and production. Costs in Europe remain too high, particularly as Chinese automakers sweep into the region, he said.

The shares climbed as much as 4.3% in Frankfurt trading, the steepest intraday rise since 22 January. The stock is still down around 12% this year.

Deliveries slumped in the US, the world's second biggest auto market. VW is renewing its push to boost sales there, Antlitz said, with its Audi brand still planning to start making vehicles at a US site.

Audi needs "some localization there," Antlitz said, pointing to VW's existing factory in Chattanooga, Tennessee, or a new factory that will make Scout Motors branded vehicles in South Carolina from next year as possible sites.

In January, Blume said an earlier 10% US market share target had become obsolete, in part due to US President Donald Trump's tariffs. The carmaker, for now, also lacks an offering of the rugged trucks and SUVs favored by American buyers, leaving VW's market share at around 4%.

Earlier this month, the company said that cost-cutting efforts must continue after some early success. The company's mass-market brands, including the Skoda and Seat nameplates, reported profitability of 4.7% last year after the VW brand's long struggles to raise returns. The result compares with almost zero for VW's luxury brand group.

Current profitability must rise in order for VW to be able to sustain its long-term spending needs, with the carmaker targeting an operating return of 8% to 10% by 2030. VW is still working out details of its five-year rolling investment plan.

War clouds hiring, expansion, bonus at firms with Gulf links

FROM PAGE 1

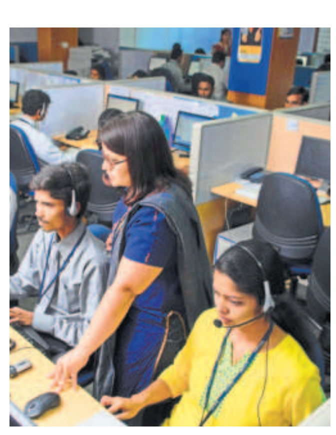
"In the case of the UAE, the expat talent has been there for decades now and several call it home so the impact, while still there, might be limited. For Saudi Arabia, which had only recently accelerated efforts around diversifying the economy, the impact on talent willing to move there may be significant," Kalra noted.

The conflict has roiled markets. Brent crude prices surged past $119 a barrel on Monday, the highest level since July 2022, before giving up some gains; the Indian rupee slid to a record low of ₹92.33 against the US dollar. Brent hovered around $90 on Tuesday, after US President Donald Trump indicated that the war may not take long.

The ripple effects could show up in compensation. Consulting firm Aon, which advises companies on pay structures, warned that bonus payouts may come under pressure.

"While the projected salary hikes will not get impacted, bonus payouts in some companies in the energy, supply chain, logistics and construction sector with exposure to the West Asian countries could see a reduction," said Roopank Chaudhary, partner and rewards consulting leader, talent solutions, India, for Aon.

While consumer and pharmaceutical companies are likely to remain relatively insulated, it is important to see if the conflict fuels inflation, Chaudhary said. "If inflation does rise, real adjusted wages will get impacted."


Bonuses could come under pressure for companies exposed to the region. MINT

As per Aon's recent study of 1,400 firms, India Inc is expected to roll out a 9.1% hike in 2026, with those employed in the real estate and infrastructure sectors and non-banking financial companies (NBFCs) touted to receive the highest increment.

The timing of the conflict adds another layer of complexity for companies that were absorbing the impact of labour codes rolled out last November.

A recent *Mint* study showed that 25 of India's top 30 suffered a nearly ₹12,000-crore blow to their third-quarter profits in fiscal year 2026. The labour code mandates higher social security contributions from both employers and employees, while also boosting retirement benefits.

"This is a clear supply side shock but we feel more structural factors like labour codes and economic growth/consumer demand will determine the hikes and bonuses for 2026," said Anandorup Ghose, partner with Deloitte in human capital consulting. "Having said that, long drawn conflicts with broader impact on supply chains might naturally create a big gap."

Ghose highlighted that companies that give pay hikes effective 1 April have broadly finalized budgets and this will possibly not change anything. "And those that do it in July/August still have a couple of months to see this current situation evolve".

Interestingly, the situation may also create some hiring opportunities within India. "Domestic firms are hiring for their roles within India, which include profiles in lending, asset management, and consulting. The war has led to firms looking for talent locally than opting for expats or those who may work from the impacted regions," said Monica Agrawal, chairperson and country head for executive search firm Sheffield Haworth, India.

"We have received numerous queries from senior candidates wanting to relocate to India from the West Asian region," Agrawal added.

INSIDE INDIAMART'S FIGHT FOR AI VISIBILITY

Sidelined by bots in the age of AI search, IndiaMART is fighting a legal battle to be discoverable online

Sakshi Sadashiv
sakshi.sadashiv@livemint.com
NEW DELHI


IndiaMART founder Dinesh Agarwal.

mint SHORT STORY

WHAT

IndiaMART has sued OpenAI, alleging ChatGPT ignored it while featuring other similar platforms, leading to a "catastrophic" impact on its business and on millions of small businesses.

WHY

The platform has been flagged by a US federal agency as a market for counterfeit pharma, apparel and electronics items, leading OpenAI to steer clear to avoid liability.

SO

Exclusion from ChatGPT's responses threatens IndiaMART's lead-generation model and visibility for millions of MSMEs, which depend entirely on the platform for buyer discovery.

Nadeem Bari Husain, a frail, wrinkly man, sits leisurely at his home in Seelampur, Delhi, as he slowly types "PVC pipe sellers in Delhi IndiaMART" into his son's laptop. It's a simple query, the kind he has relied on for years, scrolling through listings, calling numbers and shortlisting suppliers the old way.

His 26-year-old son had recently urged him to try ChatGPT, the popular generative artificial intelligence (AI) chatbot.

"Just type it like a Google search," he told his aging father. "You won't have to scroll for hours. You'll get three-four options; pick one," he said.

The results came back quickly. Neat, confident, helpful. Each with a direct link, not to IndiaMART, but straight to the seller's own website. IndiaMART, the platform that had listed them, aggregated them and made them discoverable, was nowhere in the response.

Husain closed the laptop and made his calls. A new ritual, faster than before. No reason to think about what sat behind the answer.

A few hundred kilometres away, in a small industrial unit in Surat, Manoj Shah has been on IndiaMART for six years selling industrial textile machinery. He has never built a website. He never needed to. His IndiaMART listing was his storefront, and his only presence on the internet.

Lately, business has been quieter. "I have not changed my listing," he said. "Earlier I used to get four-five calls a day. Now I get one or two."

He cannot explain why. He has not heard of ChatGPT. He does not know what an AI agent is.

Several other small manufacturers and traders *Mint* spoke to said the same—inquiries have thinned, with no explanation about what has changed. IndiaMART has been their entire digital existence. But somewhere between a buyer's question and an AI agent's answer, their phones have begun to ring less often.

IndiaMART, India's largest business-to-business (B2B) marketplace, was built on a single premise: helping buyers find sellers. The platform has enabled discovery for millions of micro, small and medium enterprises (MSMEs) for two decades. The company had around 42 million active registered buyers, over 124 million listed products and more than 8.3 million registered suppliers as of September, according to its disclosures.

But now, the ground is shifting. In part, IndiaMART has only itself to blame, given how it has been faulted year after year by an American federal agency for facilitating the sale of counterfeit goods, including electronics, apparel and, most worrying of all, pharmaceuticals.

With AI bots bypassing the platform altogether to avoid legal complications stemming from dodgy listings, IndiaMART faces a threat to its revenues. And that has led it to take OpenAI, the maker of ChatGPT, to court.

PIRACY FALLOUT

Internally, IndiaMART first noticed something was wrong last October. Their listings were not showing up in ChatGPT responses while competitors—other e-commerce and B2B platforms—continued to appear, two people directly aware of the matter told *Mint*.

The tech team initially looked inward—checking for blockages at their end. Finding none, they sent emails to customer support IDs at OpenAI's Silicon Valley offices. The first few responses were automated, AI-generated replies, one of the people said. The first real human response came on 8 November. Ten days later, another response said IndiaMART's links weren't being surfaced because of a United States Trade Representative (USTR) caution.

> The Competition Commission has warned in the past that AI systems can distort competition and market outcomes through automated decision-making.

The USTR, a federal agency that develops and enforces American trade policy, has listed IndiaMART as a "notorious market" since 2018 for allegedly facilitating the sale of counterfeit pharmaceuticals, electronics and apparel in large volumes, and failing to implement measures to counter piracy.

IndiaMART has made the non-binding nature of the USTR designation—it carries no legal force outside the US—as the central plank of its case in a petition before the Calcutta High Court.

But, 'non-binding' does not mean 'irrelevant.' Courts often allow companies to rely on credible third-party risk reports as part of internal compliance and safety frameworks, said Sohom Banerjee, senior research associate at CUTS International, a policy research and advocacy group.

"If OpenAI positions the USTR listing as one input among several in a structured risk assessment process, particularly in categories involving counterfeit pharmaceuticals or consumer harm, it may be seen as a reasonable prudential measure rather than an extraterritorial imposition of US authority," he added.

COURT BATTLE

IndiaMART opened its case against OpenAI on 27 December at the high court. The petition, a copy of which *Mint* has seen, noted that queries for IndiaMART sellers on ChatGPT were returning direct links to seller websites, bypassing the platform entirely, while the same query for competitor TradeIndia returned links back to TradeIndia's webpage.

The company also pointed out that several other entities named in the same USTR reports for counterfeiting and piracy continued to appear in ChatGPT responses.

IndiaMART contended this constitutes trade libel through implied disparagement, dilution of its trademark and injurious falsehood. It argued that large AI services have become "intent-driven gateways" that shape what users see, giving them growing economic and strategic power. Exclusion from this layer, IndiaMART said, has had a "catastrophic" impact on its business and on the millions of suppliers who depend on it for discovery.

The first hearing in December saw no representation from OpenAI. But at the second hearing, on 13 January, OpenAI's lawyers were in court.

The ChatGPT maker's argument mirrored its position in other Indian proceedings. It has contended that it has "no office or permanent establishment in India... The servers on which [ChatGPT] stores its data are similarly situated outside of India", thereby asserting that Indian courts lack jurisdiction, according to legal filings accessed by *Mint*.

The Calcutta High Court noted that IndiaMART was being "selectively discriminated and unjustifiably excluded without any logic," resulting in loss of goodwill, reputation and business. However, interim relief was denied.

The Competition Commission of India has previously flagged similar concerns—warning that AI systems can distort competition and market outcomes through automated decision-making, even when no human intent to harm exists.

Queries sent to IndiaMART and OpenAI were yet to elicit a response.

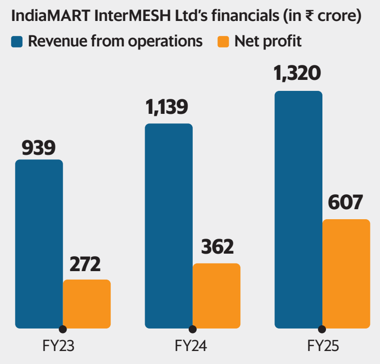
It is important to note that the regulatory architecture in India has not yet evolved to recognize a "right to be surfaced" inside an AI-generated response.

"As a result, when an AI system decides not to display a commercial entity, the issue does not fall within a dedicated AI inclusion framework. Instead, disputes are filtered through established principles of competitive neutrality, and reputational protection," explained Banerjee.

WHAT THE NUMBERS SAY

Steady play

IndiaMART's revenue has grown at a steady pace.



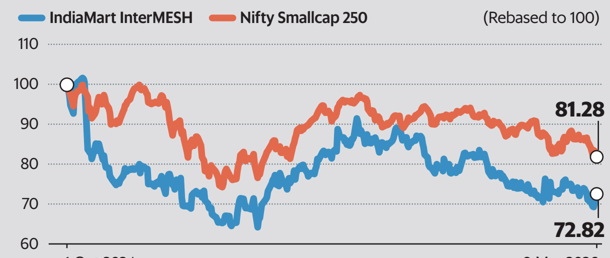
Growing connections

Over the last year, IndiaMART's paying suppliers increased by 3% while unique business inquiries grew by 4%.

	Unique business inquiries (in millions)	Paying suppliers
Q1 FY25	25	216,000
Q2 FY25	28	218,000
Q3 FY25	27	214,000
Q4 FY25	27	217,000
Q1 FY26	29	218,000
Q2 FY26	31	222,000
Q3 FY26	28	221,000

Stock talking

Since ChatGPT launched in October 2024, IndiaMART's stock has underperformed the Nifty Smallcap 250 Index.



Source: IndiaMART InterMESH disclosures; Bloomberg

GOPAKUMAR WARRIER/MINT

MESSY FOR THE MACHINE

The legal battle aside, IndiaMART faces integration challenges in the age of AI. Today, every online platform, including Amazon and Flipkart, is aiming to become the preferred answer inside a chatbot, *Mint* reported earlier. Swiggy now lets users order through ChatGPT, with Zomato recently following suit. Zepto is testing autonomous agents that complete purchases end-to-end without human input.

Liked this story? Share it by scanning the QR code.

Business-to-consumer (B2C) platforms such as Swiggy and Zepto plug into AI as clean transaction rails: standardized catalogues, transparent pricing, deterministic payments, predefined fulfilment. Simply put, there is a reliable back end to receive orders placed through a bot.

But for IndiaMART, plugging into AI is not as seamless as it is for these platforms. The company operates on a different premise. Its core unit of value is a lead, a request for quotation, the beginning of a negotiation. Pricing is discussed, not listed. Credit terms, compliance documentation and supplier vetting are baked into every transaction.

"IndiaMART is a heterogeneous directory. It has fragmented suppliers, inconsistent metadata, and categories that include regulated and high-risk goods, with a litigation and enforcement history around counterfeits and pharma," said Abhivardhan, president, Indian Society of Artificial Intelligence and Law, an industry forum.

"For an AI platform, that raises integration costs (normalization, quality, liability) and makes IndiaMART look less like a neat action provider and more like a noisy corpus that can create safety and compliance headaches," he added.

The Central Consumer Protection Authority (CCPA), India's consumer rights regulator, has issued notices to IndiaMART on at least two separate occasions. The first was for listing walkie-talkies without proper frequency disclosure, licensing information, or equipment type approval—a notice it shared with Amazon, Flipkart, and TradeIndia among others. More recently, the CCPA issued a second notice to IndiaMART for listing restricted wireless devices including drone jammers and GPS jammers without mandatory disclosures. The company said it is complying with the law.

The company has today become a directory of millions of suppliers, a far cry from its early days, when it had only a handful of listings. Ironically, IndiaMART traces its origins to founder Dinesh Agarwal's experiences in the US, the home of the company that he has now taken to court.

THE BUSINESS MODEL

In 1992, Agarwal was setting up information technology services company HCL's offices on the US East Coast—close enough to Silicon Valley's early stirrings to understand what was coming, far enough from India to see the gap clearly.

In August 1995, he resigned, returned home and decided to build an online marketplace for exporters and importers. When the government would not give him access to trade directories, he improvised, printing free listing forms and mailing them.

On 1 April 1996, IndiaMART went live, at a time when India barely had any internet users. His cousin Brijesh Agrawal joined him, and together they built what was, at the time, an almost absurd idea: an online directory connecting Indian suppliers to buyers in a country where most businesses had never seen a computer. In the early days, they would print buyer inquiries and fax them to suppliers.

The model was simple: free listings for suppliers, paid subscriptions for those who wanted more visibility and more leads. The more buyers came, the more valuable a paid listing became. It was a classic marketplace flywheel, built for the unglamorous world of PVC pipes, industrial machinery and bulk chemicals rather than consumer goods.

Soon IndiaMART became the go-to platform for millions of MSMEs lacking any other digital presence. Chinese rival Alibaba had effectively retreated from the Indian market.

IndiaMART went public in 2019, raising ₹475 crore at a valuation of ₹3,748 crore, with the initial public offering subscribed over 36 times. The company listed at ₹973 in July 2019 and hit an all-time high of ₹9,780 in February 2021, a nearly tenfold rise in under two years, riding the pandemic-era digital commerce boom. Since then, the stock has lost more than 55% from its

TURN TO PAGE 13

Fertility on ice: The financial reality of egg freezing plans

Experts advise setting aside ₹3-5 lakh and consider egg freezing as a mid-term financial goal

Shipra Singh
shipra.singh@livemint.com
NEW DELHI

For many urban women, egg freezing is increasingly becoming part of long-term life planning, much like buying insurance or investing for retirement. But unlike most financial goals, this one comes with a biological deadline, and it isn't cheap.

The procedure typically costs ₹1.35-₹3 lakh per cycle, with annual storage fees of ₹10,000–30,000 and potential IVF expenses later. For women considering it, egg freezing is a significant out-of-pocket commitment that sits at the intersection of healthcare, personal choice and financial planning.

For Delhi-based Dr Aastha Gupta Aggarwal, freezing her eggs was a decision planned well in advance. Working in fertility care herself, she set a personal deadline: if she had not found the right partner by 30 or 31, she would preserve her fertility. She eventually went ahead with the procedure about eight years ago. With more clinics now offering the service, prices have even softened, according to Gurugram-based fertility specialist Reubina Singh. Singh froze her eggs in 2014 for around ₹1.5 lakh and says many of her patients today pay about ₹1.35 lakh.

What to expect

Egg freezing is not a single bill but a series of medical steps spread across about two weeks. Vadodara-based Tanaya Narendra, an embryologist who underwent egg freezing herself last year, said the costs build up in stages.

The process begins with hormone injections for about 10 days to stimulate the ovaries so multiple eggs mature at once. This is the most expensive part of the cycle and cost Narendra about Rs 80,000. The eggs are then retrieved in a short procedure under anaesthesia and frozen using cryopreservation techniques. "This procedure cost me about ₹45,000. When you combine these costs with those of preliminary baseline blood tests and ultrasounds, you can expect to pay about ₹1.5 lakh. The cost can go up to Rs 3 lakh if you go to fancier clinics or bigger hospitals," she said. She also pays an annual storage fee of ₹15,000.

The broad numbers align with what several fertility clinics informed *Mint*. Across major cities, a typical egg-freezing cycle costs ₹1.3 lakh to ₹2.5 lakh, including medications, egg retrieval and vitrification (the freezing process).

Costs also vary by location. Clinics in Delhi-NCR and Bengaluru charge ₹1.5 lakh to ₹2.5 lakh per cycle, while centres in Mumbai can charge up to ₹2.8 lakh. Annual storage costs typically range from ₹15,000 to ₹30,000.

These upfront procedure costs are for one cycle. Singh said older women, typically over 35, may need two cycles.

"While the number of cycles is recommended on a case-by-case basis, the general trend is that 50-60% women who go for the process after 35 years of age have to undergo two cycles as the egg reserve depletes with age. In each cycle, only about 30% eggs survive thawing and fertilization, so naturally the absolute number of eggs surviving decreases with age," she said, adding that the cost for two cycles almost doubles as the injections, retrieval and vitrification are repeated.

If the eggs are eventually used, there is another step: IVF. However, the cost would be a portion of the standard IVF cycle, as most of the procedure is already done, said Aggarwal, a gynaecologist and obstetrician.. "The latter cost is limited mostly to fertilisation and embryo transfer," she said.

Singh said while a full IVF cycle costs ₹1-₹1.25 lakh, fertilization using frozen eggs costs roughly ₹30,000, though pricing varies across clinics.

Limited insurance options

Despite growing awareness, uptake remains modest, said experts. Singh said: "If 100 women come to ask about egg freezing, 5-10 go ahead with it."

Many the women are in their late thirties, according to Aggarwal, which often increases the overall cost because multiple cycles may be required.

Cost is one of the biggest deterrents. A Gurgaon-based brand strategist, who asked not to be named, said she has been considering egg freezing for past two to three years but has not taken the leap yet.

"I find it expensive and the process feels long," the woman in her mid-thirties said. She needs two cycles to store a sufficient number of eggs, which significantly raises the bill.

One of the most popular hospitals in Gurgaon quoted ₹2.5 lakh for a single cycle, while others quoted ₹1.5 lakh. "Such packages often cover only certain components of the treatment. Costs like medicines or additional tests may be separate...It's really quite expensive and definitely makes you think twice," she said.

For some women, egg freezing can also feel like a financial gamble because there is no certainty the frozen eggs will be used. "Freezing eggs doesn't mean that will be the only way a woman has a baby. If she conceives naturally later, the frozen eggs may never be used," said Singh.

Another reason is that egg freezing is still largely self-funded with limited insurance support. Siddharth Singhal, head of health insurance at Policybazaar said egg freezing or cryo-preservation procedure coverage is currently available only with Bajaj Allianz, under its HERizon Care plan.

Atul Mishra, vice-president for personal insurance at Plum, said egg freezing is still largely excluded from health insurance in India. "To our knowledge, no standard health insurance plans currently offer egg freezing as an add-on. One insurer offers a rider that covers embryo freezing, which increases premiums by about ₹6,000 to ₹7,000 annually," he said.

Insurance plans for egg freezing are very limited, leaving most families to fund the procedure themselves

Even in corporate insurance policies, fertility benefits are rare. Plum's analysis of employer health coverage shows that fewer than 10% of companies offer benefits for egg freezing or infertility treatment. As a result, most women must plan for the expense themselves.

Plan ahead

Financial advisers say egg freezing is an unusual financial goal because it combines healthcare costs with a biological clock and a narrow time window. Both Aggarwal and Singh suggest freezing eggs in the late twenties or early thirties, when egg quality is higher and success rates are better.

That timing also offers an opportunity to plan ahead financially, said Preeti Zende, a Sebi-registered investment adviser and founder of Apanadhan Financial Services.

"Women should budget ₹3 lakh to ₹5 lakh overall when considering the procedure, including possible fertility treatments later. A woman in her mid twenties who expects to consider egg freezing later may have two or three years to accumulate the amount."

Zende suggests treating it like any other medium-term financial goal. A monthly investment of ₹7,000–10,000 in short-term debt funds, ultra-short-term funds or recurring deposits could help build the corpus.

If IVF treatment may be required years later, additional savings could be allocated to balanced advantage or equity savings funds as part of a five-year investment horizon.

For some women, the decision often blends personal circumstances with professional awareness.

Narendra said she had planned egg freezing early after seeing fertility struggles in her medical practice. She eventually went ahead while going through a divorce. "I was 29 at the time and decided not to wait further," said the 32-year-old.

For Aggarwal, egg freezing turned out to be a precaution she never needed. She later conceived naturally and now has two children, but still sees the procedure as a valuable option. "It gives women confidence that they have a backup," she says.

In that sense, egg freezing resembles an insurance policy more than a traditional investment, a financial and medical safeguard that requires planning but may never need to be used.

Scan the QR code to read an extended version of this story.

Vitrification: the price of freezing

The procedure costs ₹1.3–3 lakh per cycle, making advance financial planning essential.

Dr Aastha Gupta Aggarwal (39)
Fertility specialist, Delhi

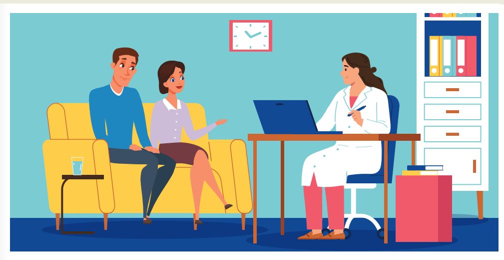
When: **2018**
Cost: **₹1.5 lakh for one cycle**
Didn't use the eggs later as she conceived naturally

"The costs haven't increased much over the years as more clinics have started offering it. Women must consider it as a backup option."

Dr Tanaya Narendra (32)
Embryologist, Vadodara

When: **2025**
Cost: **₹1.4 lakh for one cycle**
₹15,000 annual storage fee

I had decided early that if I wasn't close to pregnancy by 31, I would freeze my eggs. I had an egg-freezing fund running in the background."



Cost breakdown of egg freezing

Consultation, initial tests and ultrasounds	₹15,000-25,000
Injections	₹50,000-1 lakh
Egg retrieval procedure	₹40,000-70,000
Freezing (vitrification)	₹30,000-50,000

Total per cycle: ₹1.3 lakh-2.5 lakh*
Women over 35 may need two cycles, which can nearly double the cost, as most steps—except preliminary tests and consultations—are repeated.

Annual storage fee: ₹15,000-30,000

If the eggs are used later, fertilization through IVF adds to the cost **₹40,000-1 lakh**

*Costs vary by city and the size of the hospital or clinic. In some Mumbai hospital chains, a cycle can cost up to ₹3 lakh, with annual storage fees reaching ₹50,000.
Source: Mint research

mint

GOPAKUMAR WARRIER/MINT

Inside IndiaMART's fight for AI visibility

FROM PAGE 12

split-adjusted peak. The company had executed a 2-for-1 share split in June 2023.

Last January, Japanese brokerage Nomura downgraded its rating for IndiaMART from 'neutral' to 'reduce,' slashing the target price from ₹3,150 to ₹1,900, citing shrinking paying subscribers, weak customer additions and high churn. Around the same time, Nuvama cut its target from ₹2,500 to ₹1,970, maintaining a 'reduce' rating. Motilal Oswal was the outlier, reaffirming a 'buy' rating with a revised target of ₹2,600. By June 2025, however, Nuvama flipped to 'buy,' raising its target to ₹3,800 and calling it a new demand upcycle. The stock currently trades at around ₹2,183.

BOT OR BUYER?

What data points have set off alarm bells internally? The revenue and profit numbers still indicate steady growth.

The Noida-based company's revenue from operations grew 13% year-on-year to ₹402 crore in the third quarter (Q3) of fiscal year 2026 (FY26). Net profit came in at ₹188 crore, though this was significantly inflated by ₹135 crore in other income, of which ₹82 crore was a fair value gain on its strategic investment in Baldor Technologies.

IndiaMART opened its case against OpenAI at the Calcutta HC on 27 December. MINT

However, that same quarter, IndiaMART stopped sharing traffic data entirely, citing the rise of agentic AI and the proliferation of chatbots, which had made it increasingly difficult to tell bot-driven traffic from human traffic.

"Currently, bot traffic is coming from everywhere. There are now LLM (large language model) bots, search engine bots, new browser crawler bots and agentic bots. Traffic is moving erratically so we removed it," Agarwal told analysts during this quarter's earnings call.

All search-dependent B2B directories are seeing noisy, bot-inflated traffic, said Abhivardhan, "but B2B marketplaces feel it earlier—advertisers and sellers care about verified leads, not raw visits. The credibility cost of publishing polluted numbers is higher."

IndiaMART's unique business inquiries—the platform's core measure of buyer-seller connections—grew just 4% year-on-year in Q3 FY26, a sharp deceleration from the 12-17% growth the company had posted in the previous quarters.

Active buyers declined 2% year-on-year to 42 million. Around 1,000 paying suppliers exited the platform during the December quarter, and the total number of paying suppliers fell to 221,000.

Agarwal attributed the slowdown to seasonal factors and lower advertising spends during the festive season.

But, as things stand, the visibility IndiaMART built its business on is becoming harder to measure. The demand it once intermediated is being quietly delegated to machines it has no relationship with. B2C platforms can afford to be inside the AI. B2B may have no choice but to fight it, and IndiaMART, almost accidentally, has fired the first salvo.

Compare bank FD rates

Bank fixed deposits (FDs) continue to be popular investment products not just among senior citizens, who are looking for guaranteed income, but also among investors who can't stomach risk. But overexposure to FDs is not good, and you need to assess your asset allocation and goals to decide how much money you should park in them. For instance, saving for your child's higher education that's 15 years away through FDs may not be effective as the post-tax interest rate of an FD may not give you a real return (return that's above the rate of inflation). But if you plan to take a holiday in two years, an FD can help. Before choosing an FD, you should compare the interest rates on offer. Here is a list of banks that offer the highest FD rates for deposits up to ₹1 crore over various tenures.

Interest rates (%) for fixed deposits up to ₹1 crore

	6 months to < 1 year	1 to < 2 years	2 to < 3 years	3 to < 5 years	5 years and above
DCB Bank	6.00-6.50	**6.90-7.00**	6.90-7.00	**7.00-7.10**	7.00-7.15
YES Bank	4.75-6.50	**6.65-7.00**	6.90-7.00	**7.00**	6.75
RBL Bank	4.75-6.05	**7.00-7.20**	7.20	**7.00-7.20**	6.70
Jammu & Kashmir Bank	5.10-6.00	**6.70-6.75**	6.75-7.25	**6.65**	6.60
Tamilnad Mercantile Bank	6.30-6.40	**6.60-7.10**	6.60	**6.60**	6.60
IndusInd Bank	5.00-6.25	**6.75-7.00**	6.90	**6.65-6.90**	6.50-6.65
Dhanlaxmi Bank	5.25	**6.25-6.95**	6.25	**6.25-7.00**	6.50-6.60
ICICI Bank	4.50-5.50	**6.25-6.30**	6.30-6.45	**6.45-6.50**	6.50
Axis Bank	5.50-5.75	**6.25-6.45**	6.45	**6.00**	6.45
Federal Bank	4.50-6.00	**6.25-6.50**	6.40	**6.4-6.70**	6.40
Karur Vysya Bank.	6.00-6.65	**6.55-6.80**	6.55	**6.55**	6.25-6.55
Kotak Mahindra Bank	5.50-6.00	**6.50-6.70**	6.70	**6.40**	6.25
Canara Bank	5.25-5.50	**6.25-6.50**	6.25	**6.25**	6.25
City Union Bank	5.75-6.25	**6.50-7.00**	6.50	**6.25-6.50**	6.25
HDFC Bank	4.25-5.75	**6.25-6.45**	6.45	**6.40-6.50**	6.15-6.40
Indian Overseas Bank	4.75-5.50	**6.40-6.60**	6.40	**6.10**	6.10

Data taken from respective bank's website as on 9 March 2026; Only main entity of the merged banks are taken. Banks which merged with its main entity are removed from the table; The list of 16 banks is based on highest fixed deposit rates available for 5 years and above. Source: www.Bankbazaar.com

mint

THE GAP BETWEEN MUTUAL FUND RETURNS AND WHAT INVESTORS ACTUALLY EARN

POWER POINT
ANOOP VIJAYKUMAR

We welcome your views and comments at
mintmoney@livemint.com

Investor returns depend on two decisions: the fund you pick and what you do after you pick it. Research suggests most investors get at least one wrong. Morningstar's Mind the Gap 2025 report shows investors trail the very funds they invest in by about 1% annually over a decade—not because they chose poorly, but because they acted at the wrong times.

To see how this plays out in Indian equities, we analysed 18 flexi cap funds with over a decade of history across market cycles. The findings show where investors should focus their attention.

Fund selection created enormous variance. The best performer delivered nearly 5% annual alpha over the benchmark. The worst trailed by 4%. That means the better fund compounds with a 9% spread every year. When this gap compounds over more than a decade, investors in the better fund could end up with nearly three times more money as someone in the worst performing fund, starting with the same amount.

But the data also showed something useful: 14 of the 18 funds beat the benchmark over the full period. Only four did not. Picking well was less about identifying that one superstar, which is harder than it looks without hindsight, and more about avoiding the consistent laggards.

The harder problem is what comes next. Even having picked well, periodic underperformance is the norm.

We calculated the percentage of rolling one-year periods during which each fund trailed the benchmark. The best-performing fund in our analysis spent a quarter of the decade underperforming. An investor tracking its performance would cringe once in every four periods. Other solid performers spent a third of their time trailing.

On average, even the outperforming funds underperformed 40% of the time. The experience of holding an active fund includes long stretches where it feels like a mistake.

To test the impact of reacting to those periods, we simulated a "reactive" investor. They exited when their fund trailed the benchmark by more than 5% over a rolling year, moved into the index, and re-entered when the fund beat the benchmark by 5%.

Before taxes, switching was like a coin toss: the reactive investor beat buy-and-hold in nine funds, lost in eight, and tied in one.

After applying India's 12.5% long-term capital gains tax on each exit, buy-and-hold won in 17 of the 18 funds. The only exception was the worst performer in the dataset.

Each exit crystallized gains and restarted the compounding clock prematurely in many cases. Investors paid taxes, feeling like they were doing something decisive and productive.

But this is not an argument for holding on blindly to every investment. The disposition effect, a well-documented behavioural bias, shows we are prone to holding losers too long, not just selling winners too early when markets turn volatile.

The four funds that trailed the benchmark consistently underperformed 70-78% of the time. The pattern was persistent and visible. The risk is not only reactive selling during temporary slumps; it is also stubbornly holding when evidence has accumulated against a fund.

The distinction between style drought and process failure matters. A value fund trailing in a momentum-driven market is the former. The style is out of favour; the process may be intact. This is when patience is appropriate, and often when it is hardest. A fund drifting from its stated mandate, or one that spends most of its time underperforming across market conditions, is the latter. That warrants action.

Investors typically trail their funds by 1% annually primarily due to poor timing

Fund selection decisions do not need to be all-or-nothing. When doubts arise, consider adding rather than switching. A partial allocation to a fund with a different investment philosophy acknowledges you might be wrong, or that markets might evolve in ways that favour a different approach.

You avoid the certain tax cost of exiting while still acting on your conviction. Start small. Observe how the new fund behaves under different conditions. Notice how you feel holding it.

The aim is not to predict which worldview markets will reward next. It is to make decisions investors can live with over time.

The returns a fund generates are only half the story in long-term investing. The returns investors keep depend on distinguishing discomfort from evidence, and knowing when to stay the course, when to add more capital, and when to leave.

Anoop Vijaykumar is head of equity at Capitalmind AMC.

OUR VIEW

ISTOCKPHOTO

Indian kitchens need to quit gas and go electric

The Iran war spotlights our import dependence for energy. Let's switch from gas to induction stoves for cooking. A few reforms could pave the way for a climate-friendly electric transition

The war in West Asia that has blocked supplies of crude oil, liquefied natural gas (LNG) and refinery products from the Gulf serves India a reality check on the soundness of relying on imported hydrocarbons for cooking food. It is high time we began to wean our kitchens off liquid petroleum gas (LPG) and piped natural gas (PNG); while LPG is essentially a mixture of propane and butane, PNG is mostly methane, like the compressed natural gas (CNG) that is used by vehicles as a low-carbon substitute for petrol and diesel. We should cook, instead, on electric stoves that run on power generated from domestic coal and renewables. Since we have our own coal, its supply cannot be disrupted by a war abroad. Nor is its price subject to geopolitical flux. Now that electrification has covered even remote areas, with homes linked to power grids—some of them local networks fed by small hydel or renewable projects—the only challenge is reliability in terms of supply continuity and voltage stability. If political pricing is taken out of the power sector's loop, cut-offs depriving us of dinner would not be a worry. Politics also constrains the selection of merchant miners to get our abundant reserves of coal overground. This is also amenable to reform.

Ideally, cooking should be done on induction stoves, not on heating coils that snake around in their grooves on a ceramic disc. The latter works pretty much like a stove with a gas flame does: it heats the outside of a cooking vessel, which conducts this heat to the food held within it, while losing a lot of radiant heat. In contrast, induction creates an electromagnetic field above the stovetop that generates multiple small eddies of current in the wall of the vessel placed on it (provided it is of the right material), and the vessel's resistance to this electron flow heats it up and cooks the food. While induction stoves can be costlier, given their need of special utensils, those who can afford them must look at the upside. They convert 85-90% of their electrical energy into thermal energy, while the efficiency of gas stoves is only about 40%. Let's also count the energy used by the delivery of LPG in cylinders filled at bottling plants and ferried by trucks. Urban PNG networks entail costs too. But what about the carbon exhaust of extra electricity demand? True, our older power plants have thermal efficiencies below 40%, while newer plants deliver thermal efficiency up to 44%. Every point gain in efficiency means a 2-3% reduction in fuel use and carbon dioxide emissions. Gas turbines, if run in combination with a steam cycle, can achieve efficiencies well above 50%—up to 64%. Ideally, coal should be gasified and this gas used to generate electricity via such dual-cycle gas turbines.

How will electric cooking square with India's climate-action agenda? As living standards improve, inevitably, our per capita consumption of electricity will go up from half the global average, as it currently is. We will use more power for mobility and indoor climate control. Kitchens going all-electric will raise overall power usage only modestly. The challenge is to generate this power with efficiency and minimal wastage while managing demand responsibly. We must combine our power capacity build-up with a big push for carbon capture and re-use. Captured carbon can be converted into materials that range from diamonds, graphene and carbon fibre to sand substitutes and long-chain polymers. This is the way to go.

GUEST VIEW

Equal opportunities for women can result in economic wonders

Well crafted and implemented laws that empower women can easily lift an economy's performance

INDERMIT GILL & TEA TRUMBIC
are, respectively, chief economist and senior vice president, development economics, at the World Bank; and lead of the World Bank's Women, Business and the Law project.

In 2012, facing a shrinking labour force and economic stagnation, then-Japanese Prime Minister Abe Shinzō bet on women. To encourage more women to work, his government rolled out a series of reforms, including expanded childcare, enhanced parental leave and tax incentives for firms that promoted women. By 2019, 2.5 million additional women were employed, female labour-force participation reached 67% and job placement for graduates was nearly universal. The conclusion: When barriers to women's workforce participation are removed, economic outcomes improve.

Today, developing economies face the opposite challenge: a massive youth bulge. Over the next 10-15 years, 1.2 billion young people will enter the labour market in these economies, which are expected to generate only about 400 million jobs over that period, implying an unprecedented jobs deficit.

Ensuring that young women have the same opportunities as men to participate fully in the economy will be crucial to turbocharging growth and employment. As more women join the workforce on equal terms, they will increasingly start businesses and create jobs. Research shows that in most countries, closing the opportunity gap could boost GDP by as much as 20%.

In recent decades, dozens of countries have taken the first step towards supporting women's economic participation by reforming family, labour and financial laws. As a result, women today have about two-thirds of the legal rights that men enjoy, up from barely half at the turn of the century.

But too many countries fail to take the next step. The World Bank's *Women, Business and the Law 2026* report shows that even where protections exist on paper, fewer than half the policies and services needed to implement them are in place. And a new enforcement index reveals that these laws are applied only about half the time, creating a gap between legal rights and lived reality.

Today, only 4% of women worldwide live in countries that recognize nearly full legal equality, while none of the 190 countries covered by the *Women, Business and the Law 2026* report provides women with the same legal environment as men across all 10 assessed areas.

The biggest gap is in safety. Limited and inconsistent protection from gender-related violence prevents women from joining and remaining in the workforce. Similarly, laws against sexual harassment vary considerably depending on the environment: 143 countries ban it at work, but only 90 address it online, 63 in education and just 36 in public spaces.

Another weak area is entrepreneurship. Women can legally start businesses in most countries, but they still face obstacles to securing funding: Only about half of all countries support equal access to credit. The lack of diversity in leadership is another barrier to entrepreneurship, as just 40 countries require minimum representation of women on corporate boards.

Childcare is the third-weakest area, with the lack of affordable and high-quality services keeping too many women out of paid work. While 146 countries regulate childcare services for children under the age of three, fewer than half (66) set comprehensive quality standards, like caregiver-to-child ratios, group-size limits, education or training requirements and mandatory periodic inspections. And only 78 offer financial or tax support to families.

These deficiencies depress labour-force participation rates, reduce hours worked and slow formal employment and firm creation, all of which are vital to long-run growth, tax revenues and economic resilience.

The good news is that governments have started to address the most problematic areas over the last few years; 22 economies, many in Latin America and the Caribbean, enacted reforms to improve women's safety. Six of them—Belize, Bolivia, Bulgaria, Peru, Suriname and Zambia—raised the legal minimum age for marriage or removed the parental-consent exception, closing a loophole that enabled child marriage. Seven economies—Argentina, Brazil, Mali, San Marino, Sri Lanka, the UK and Uruguay—introduced or strengthened cyber harassment laws.

Some progress has also been made on building supportive frameworks for entrepreneurship, with 21 reforms across 19 economies. Suriname's Trade Register Act allows women to register businesses in the same way men do, removing a long-standing structural barrier. Ecuador's Organic Law to Promote the Economy of Ecuadorian Women Entrepreneurs bans gender-based discrimination in credit evaluation, adds oversight and introduces sanctions for non-compliance. Thirteen economies strengthened women's representation on corporate boards. But overall, implementation has been uneven.

For governments seeking more jobs and growth, the question isn't if they can afford to close the opportunity gap for women, but how they can afford not to. By aligning laws that empower women with systemic changes, enforcement mechanisms and public reporting standards, policymakers can track results, adjust strategies and show that gender equality delivers measurable economic returns.

10 YEARS AGO

mint

INTERNATIONAL: ECB expands stimulus, cuts rates

CORPORATE: ED summons Kingfisher CFO, IDBI Bank officials

COMPANIES: Infosys drops as two founders sell shares

MARK TO MARKET: The debt troubles of Jindal Steel and Power

REFORM PATH

New regime in oil and gas exploration

Cement firms to gain from changes to MMDR Act

FEB CAR SALES DOWN 4.21%; SIAM CUTS OUTLOOK

Global PE funds shortlisted for GE stake in SBI Card

QUICK EDIT

Right to privacy

INSIDE

Rajya Sabha passes real estate bill

Weakened balance sheets risk for India

Myntra gets ₹338 cr funds from Flipkart

IN THE SHADOWS

Is First International Group a front for Dharmesh Doshi?

JUST A THOUGHT

India must achieve... energy independence or an economy which will function well within total freedom from oil, gas or coal imports.

A.P.J. ABDUL KALAM

THEIR VIEW

Subsidy raj: Why an ancient grain dole should haunt us

ADITYA SINHA

is a public policy professional.

In 123 BCE, Gaius Gracchus passed the *lex frumentaria*, a law mandating that the Roman state sell grain to citizens at a fixed below-market price. The aim was modest: stabilize food prices, protect the poor. Within two generations, it had become free distribution. By the Augustus era, 200,000 Romans were on the rolls; by the Aurelian, 600,000, and pork had been added to the ration. Historians still argue whether this generosity strengthened Roman cohesion or hastened the ruin of its treasury. It was probably both.

The Asian Development Bank (ADB), in a study commissioned by the 16th Finance Commission (FC), has added up India's subsidies and transfers with unusual thoroughness. The numbers are not reassuring. Start with their scale. The Union government spent ₹6.33 trillion on subsidies and transfers in 2023-24, up from ₹2.76 trillion in 2018-19, a compounded annual growth rate of 21%. This is before one adjusts for what governments prefer not to report. The ADB study found that official figures undercount actual subsidy expenditure by about ₹3 trillion at the state level alone; dozens of schemes, pensions, loan waivers, investment promotion subsidies and electricity shortfalls are simply not classified as subsidies. Now add off-budget borrowings. For instance, Andhra Pradesh has parked ₹35,100 crore of food subsidy liabilities in its Civil Supplies Corporation and has ₹26,466 crore in power discom debt. Kerala has quietly accumulated ₹11,733 crore in off-budget social security pension liabilities through a corporation created for that purpose. The numbers that governments report and what they owe rarely match.

The 16th FC notes that state unconditional transfers have grown at 28.8% annually since 2018-19 and are projected to reach ₹4.14 trillion in 2025-26. Large-group cash transfer schemes grew 53.6% over the same period. In 2018-19, only Telangana allocated more than 10% of its revenue expenditure to unconditional transfers. By 2025-26 budget estimates, nine states are at that level. The composition of what India calls a subsidy has shifted too. Unconditional cash transfers, which accounted for 16% of state subsidy spending in 2018-19, are projected to account for 47.4% by 2025-26.

The pendulum has swung from subsidized food to cash handouts, which distort the economy less but are no less fiscally treacherous if done without close targeting.

This matters because money is finite. The 16th FC found a statistically significant negative relationship between subsidy expenditure and capital outlay. Every rupee that goes into an unconditional transfer is, at the margin, a rupee that does not build a road, school or a hospital.

> **The 16th Finance Commission has echoed past FCs in warning us about the harsh fiscal fallout of wanton freebies**

Six of India's nine states spending over 5% of revenue expenditure on unconditional transfers have a revenue deficit. In effect, they are borrowing to give money away.

Now consider what the money actually buys. In Tamil Nadu, 89.5% of all households receive free electricity, 85.2% of the wealthiest quintile included. In Punjab, 75.1% of the richest households get free power. The 16th FC calls this "somewhat regressive." These states are spending thousands of crores subsidizing electricity for people who can comfortably pay for it, while pleading fiscal stress when it comes to settling their electricity discom dues. Punjab's power subsidy consumed 15.5% of its total revenue expenditure in 2023-24. Across all Indian states, the total electricity subsidy bill reached ₹2.60 trillion, more than double the ₹1.29 trillion figure of 2018-19.

The power sector deserves a special mention because it illustrates how the same problem haunts us even after repeated discom bailouts, revealing perfect institutional memory and little institutional learning. The Centre restructured discom debt in 2001. It restructured it again in 2012 via the Financial Restructuring Plan, which only seven states signed up for and none met its improvement conditions. It restructured it once more in 2015 through Uday, under which states issued ₹2.32 trillion in bonds. Total discom debt today stands at ₹7.42 trillion, up from ₹4.71 trillion in 2018-19.

We have seen three bailouts in 25 years. The 16th FC diplomatically calls this a "loss-debt-bailout cycle." A less diplomatic observer might call it a perpetual motion machine, except that the 'energy input' in this case is the taxpayer's money.

Then there is the question of who is actually receiving these subsidies. Andhra Pradesh found that 9% of its social security pension beneficiaries were ineligible or wrongly included. Another 0.6%, on examination, were found to be deceased.

The 16th FC's recommendations are sensible: sunset clauses for non-merit transfers, rigorous exclusion criteria, no off-budget borrowing for subsidy financing and standardized disclosure across states. The ADB study adds independent fiscal monitoring and performance-based conditionalities. None of this is new. The 13th FC had said much the same. The 14th and 15th FCs echoed it. Now the 16th FC has said it again.

The problem isn't diagnosis. The ailment is well known. But will the political economy of competitive federalism, where states watch each other's transfer schemes the way traders watch index futures, permit any government to be the first to stop?

Gaius Gracchus, incidentally, was killed for trying to reform the Roman grain dole, not for creating it. Posterity noted the irony. Perhaps ours will too.

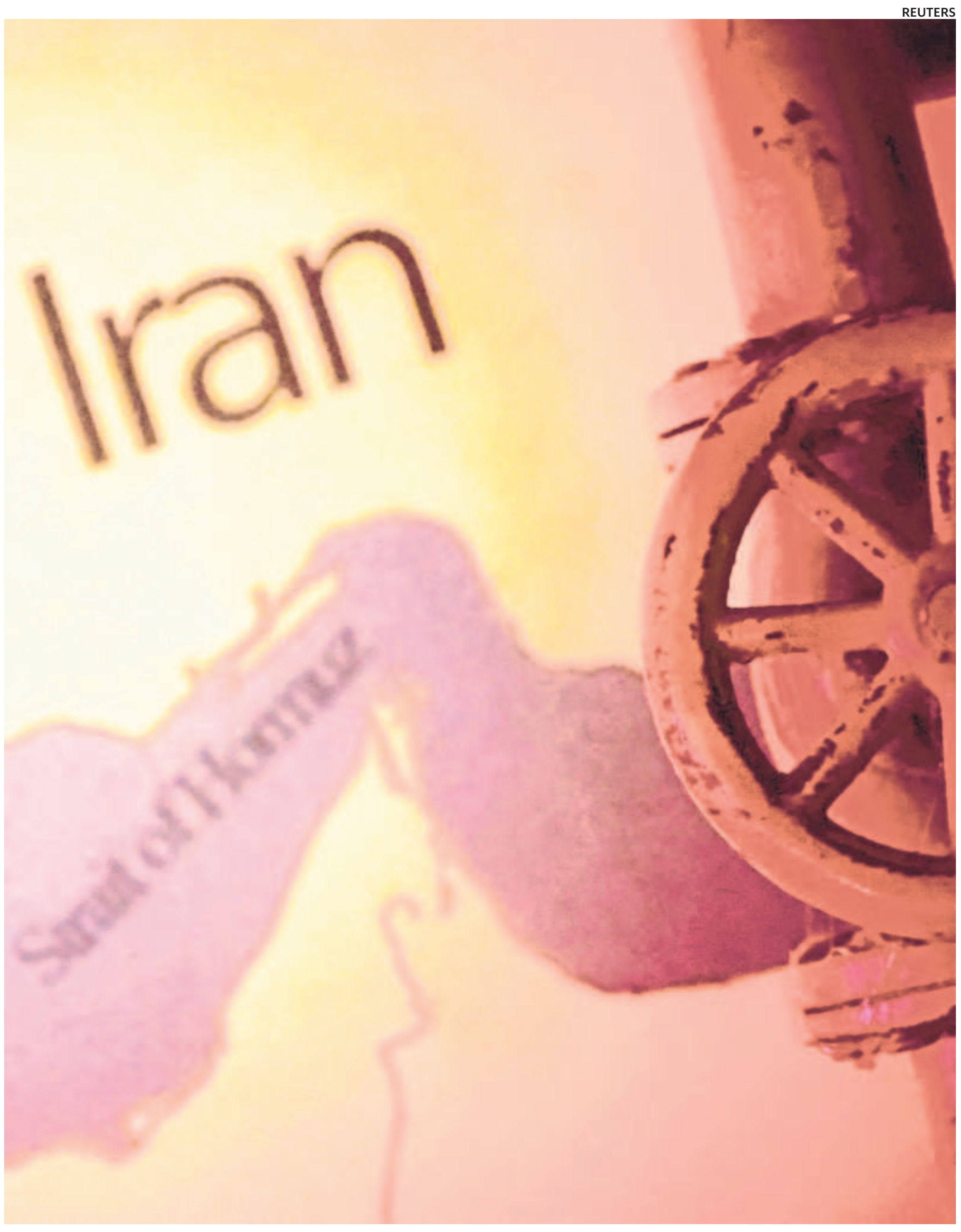
MY VIEW | CAFE ECONOMICS

Hormuz and other chokepoints are forcing big shifts in strategy

The Cold War-style weaponization of supply bottlenecks is leaving nations with strategic options that India is familiar with

NIRANJAN RAJADHYAKSHA
is executive director at Artha India Research Advisors.

REUTERS



The closure of the narrow shipping lane that runs through the Strait of Hormuz has disrupted the flow of crude oil from Gulf producers to countries around the world. Energy prices have spiked. Iran closed this route in response to the bombing of its territory by the US and Israel. The ongoing episode is a reminder of the importance of chokepoints in an interdependent world, or bottlenecks that countries can use for strategic leverage in uncertain times.

The Strait of Hormuz is a chokepoint created by geology, but there are many other types as well—financial, technological and mineral, for example. The denial of advanced semiconductors to one country or of rare earth minerals to another are two examples of chokepoints that have been used in recent years by the US and China, respectively.

Chokepoints only matter in an interdependent world. However, their overuse is likely to push countries at the receiving end to reduce the same interdependence. So those in control of them must perform a delicate balancing act between weaponizing interdependence and maintaining it at the same time. It is a conceit to think that anyone at all knows where this delicate balance lies. The result is endemic uncertainty.

In his 2025 book *Chokepoints: How Economic Warfare Is Changing the World*, Edward Fishman has proposed a useful analytical framework to think about the problem. He writes about "an impossible trinity of economic interdependence, economic security and geopolitical competition." The world can have only two of these three at any one point of time and never all three together. He then uses this framework to look at what happened in the world after 1945.

The Cold War era was marked by geopolitical competition between two blocs. Countries in each bloc secured economic stability by reducing interdependence with countries in the rival bloc. Then came the era of globalization after the collapse of the Soviet Union. The end of geopolitical competition allowed countries to expand interdependence even as they achieved economic security.

The world we are in has brought back geopolitical competition. Countries will have to choose between interdependence and economic security. It is a tough choice, given the realities of global supply chains as well as challenges such as climate change that need close international cooperation. "The Age of Economic Warfare will likely end when the chokepoints upon which it depends no longer squeeze so tight," predicts Fishman, though he adds that this will only play out over a decade or so.

The uneven distribution of chokepoints means that only a few countries can use them for leverage over others. Some chokepoints emerge from network effects such as printing the global currency or controlling global technology standards. These are sticky. However, this does not mean that the rest have to only sit back to suffer in silence. Or become vassal states. They too have options that can provide them with some degree of freedom in a world of bullies.

Three options are worth mentioning here.

First, the most straightforward response is reducing reliance on any single chokepoint by diversifying trade routes, currency reserves, technology suppliers and diplomatic partnerships.

Second, smaller states individually have little leverage over more powerful countries, but they can work together in a coordinated way.

Third, some smaller states have managed exposure not by reducing connections, but by carefully managing their position across competing networks through strategic ambiguity or maintaining ties to rival hubs so that no single power can credibly threaten full exclusion.

In the case of India, the sheer size of its internal market and growth potential is a negotiating chip that is not available to smaller countries. The size of the market is not just in terms of goods, but also the information that Indian consumers give to global technology platforms, some of which is used to train algorithms. That is an advantage.

The brave new world of renewed geopolitical competition—and the weaponization of interdependence—will necessarily make countries pursue economic security. However, this shift will not be a costless affair. This column has earlier noted that the quest for economic resilience in the face of global uncertainty in effect means that stocks will be prioritized over flows, and governments, companies and consumers will either directly or indirectly have to pay the costs of these risk buffers. (See 'Resilience isn't costless but even the private sector is in need of it' *bit.ly/4s4FGOQ)*

Fishman has written in his book that the world could be moving back to the Cold War era of geopolitical competition in which economic security grows in importance. That was one reason why the newly independent Indian nation chose to focus on the production of key intermediate goods such as steel and capital goods such as machine tools as well as on building a network of research institutes. Both Jawaharlal Nehru and Vallabhbhai Patel—despite their disagreements on economic policy—saw the need to build industrial depth in a dangerous world. After some initial success, that strategy eventually led to neither resilience nor economic efficiency.

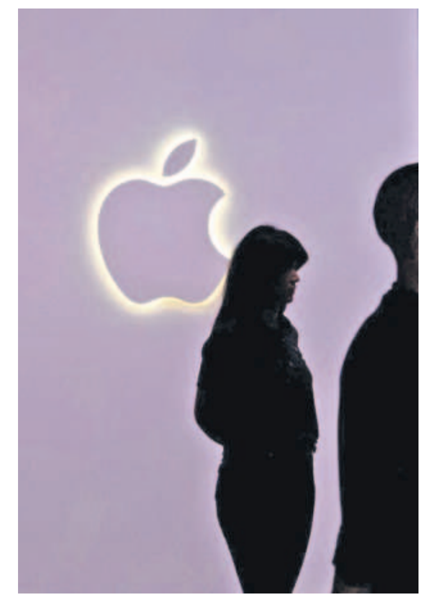
The intent as well as hard lessons from that era are still relevant to our times.

MINT CURATOR

A budget MacBook? A market gap and chip crunch explain it

Apple is premium but needs a sales boost amid a shortage of chips

DAVE LEE
is Bloomberg Opinion's US technology columnist.



Consumer market and supply dynamics have shaped Apple's strategy. BLOOMBERG

Budget-friendly" isn't typically a descriptor you find next to "MacBook." But priced at $599—$499 with a student discount—Apple's new MacBook Neo is the least expensive laptop it has ever offered. Expect its four colourful variants to start gracing college campuses and coffee shops very soon.

Apple's strategy seems straightforward: A cheaper laptop puts it in direct competition with Google's Chromebook, now a mainstay of classrooms globally, plus a whole universe of Windows-powered laptops. It could lock in the next generation of Apple laptop users.

Yet Apple could have justifiably made that kind of move at any point in the Chromebook's almost 15 years on the market. Instead, Apple stayed firmly dedicated to its premium reputation and price point. A confluence of reasons made 2026 the right time for a cheaper MacBook.

The Mac product line, which missed analysts' expectations last quarter, needs a sales boost. Increasingly, as more Americans worry about affordability, Apple is competing with itself. The market for refurbished Apple products is booming. Back Market, a leading marketplace that puts Apple products front and centre, reported last month that gross merchandise value rose 32% in 2025 compared with the previous year. The market for old smartphones is growing faster than the one for new models and Apple products make up more than half of that demand.

With belts tightened, what many consumers are saying is that they don't mind using hardware that's a little behind the curve. So now Apple is putting its older hardware into new products: The MacBook Neo runs on the A18 Pro chip first used in 2024's iPhones. That's not a slight—it's a capable chip, but it also means Apple can squeeze the cost savings necessary to bring the Neo into budget territory.

It's also an interesting bet by Apple that demand for serious on-device AI use—such as those clever agents we're hearing so much about—is and will remain for a while a niche and nerdy pursuit of little interest to the casual MacBook buyer.

Like the Chromebook, the MacBook Neo will offload much heavy lifting to the cloud, among other compromises. "The keyboard is a bit flimsy," according to one first impression. The base model has just 256GB of storage and 8GB of RAM, compared with 512GB and 16GB for the base MacBook Air. A refurbished old MacBook Air might be a better deal, *The Verge* argues, if you can get one.

Which brings us to the next reason the MacBook Neo exists: shortages. Just as Apple was announcing the new products, Intel's chief financial officer was on a different stage at a Morgan Stanley event warning that memory chip supply issues would persist through 2027. AI companies—as has been covered extensively—have sewn up much of the production capacity of the few makers of memory chips in the world, driving up the cost of components for everyday electronics.

For this reason, IDC estimates the global market for smartphones will decline 12.9% in 2026 year on year, while laptop shipments will be down 11.3%. The brunt of this will be felt by more budget brands, like Lenovo, or manufacturers of cost-conscious Android devices. Apple is now ready to swoop in for those consumers who will browse the aisles at Best Buy and quickly realize that dropping $500 on a Windows laptop doesn't go as far as it did last year. "The MacBook Neo will reshape the entry-level laptop segment," IDC analyst Francisco Jeronimo said.

Is Apple immune to those cost pressures? No, and were it not for the MacBook Neo, the headlines on the company's product lineup might be more focused on the across-the-board price increases for its premium laptops in the face of global economic turbulence and that memory crunch. The base price for the new MacBook Air, for both 13- and 15-inch models, has increased $100. MacBook Pro models with the more powerful M5 Pro chip start $200 higher than the previous generation, while the cheapest configuration for the most powerful M5 Max chip begins $400 higher.

Given the computers' performance upgrades, customers likely won't see that as a bad deal. An extra hundred bucks is easier to swallow for those with budgets stretching beyond $1,000, and even $400 won't seem prohibitive for customers who require the computing power those components offer. Like an airline cranking up the price of business class to keep economy seats affordable to the masses, Apple is leaning on its premium customers to eat the costs that make a budget MacBook possible. Taxing the rich to help tackle the affordability crisis, you say? Now there's a compelling idea.

MY VIEW | EX MACHINA

India must leverage its data for access to top AI models

RAHUL MATTHAN

is a partner at Trilegal and the author of 'The Third Way: India's Revolutionary Approach to Data Governance'. His X handle is @matthan.

Last week, I wrote about how frontier artificial intelligence (AI) has begun to improve exponentially—to the point where it is not just introducing linear improvements in functionality, but literally augmenting capabilities. Personally, this became evident when I realized I could code anything I could imagine, allowing me to create various applications and programs to eliminate micro-frustrations in my workflow. I am sure that those in other domains are experiencing similar capability uplifts.

According to scaling laws, a model's performance will improve so long as increasingly large amounts of compute power and data are used to train it. For many years now, leading AI labs in the US have been proving that thesis at an eye-watering scale. It feels like those investments have begun to pay off, particularly over the past six months. Across the board, frontier models have begun to demonstrate dramatic improvements—both in the quality and accuracy of their outputs and in what they can do.

For countries like India, advanced AI that not only reduces friction but also unlocks brand new capabilities presents exponential opportunities for advancement. By blurring the boundaries between domains and professions, it can expand the scope of what is possible, allowing those who use it to do far more than before. This makes brand-new pathways available through which the potential of AI can be harnessed across all domains—from healthcare and education to governance.

But just as these exponential capabilities of AI open up new opportunities to transform our industries and markets, they also expose us to new vulnerabilities. At present, the transformative capabilities of AI are only available in frontier models offered by top American AI companies. Open-source AI, which countries like India have relied on so far, seems to be slowly falling behind the cutting edge of what is possible, and while we have made tremendous strides with our own foundation models, they are still behind the state of the art on several key parameters.

Today, access to leading AI models is only available through application programming interfaces (APIs), which would not have been a problem had it not been for the geopolitical uncertainty of the current moment. Any country whose AI future depends on API access to solutions from leading AI labs risks having the core infrastructure on which it depends pulled out from under it should geopolitical winds shift—much like access to the Swift financial network was weaponized during the conflict in Ukraine. When core national capabilities depend on access to technology under foreign control, our sovereignty will only last as long as remote servers remain accessible.

Time is running out to strike deals with AI majors that minimize the geopolitical risk of AI denial

So, how does India navigate its way ahead?

History has shown that strategic concessions can be extracted from technology providers seeking market access. When the Brazilian Air Force acquired advanced military aircraft in the 1960s and 70s, the government, through state-owned enterprise Embraer, required that foreign suppliers transfer manufacturing know-how to Brazilian engineers and facilities. As a result, Embraer grew from a military supplier into one of the world's most successful commercial aircraft makers, competing globally with Boeing and Airbus in the regional jet category. When Samsung licensed early DRAM technology from Micron, it invested aggressively in manufacturing scale and process improvements to the point that it eventually outcompeted its licensor. The massive electronics supply chain that grew out of this is now one of the world's most sophisticated. Throughout the 1990s and 2000s, China made market access explicitly conditional on foreign companies forging joint ventures with Chinese partners and enforcing technology transfer under the terms of those agreements. This is how China developed the process expertise it currently has across a range of sectors, allowing it to dominate the global industrial value chain.

The question of the moment is this: What leverage does India have to achieve its goals in the AI race?

As the largest user base for AI technology outside the US, India generates enormous volumes of behavioural, transactional and social data. This is exactly the kind of real-world interaction data that AI companies need to improve their models. India also possesses vast repositories of traditional knowledge, cultural information and community practices that could provide AI models with much-needed context.

In a paper that I presented as chair of the Expert Engagement Group on the New Deal for Data under the India AI Summit, I argued that one option available to a country like India is to make access to this data conditional on AI companies depositing the weights of all AI models enriched by Indian data in Indian facilities under a model escrow agreement. This would ensure that, if for any reason API access is cut off, Indian companies can continue to access the AI models they need locally. This would let India safeguard its AI sovereignty by strategically deploying one of its most valuable assets—its data. If successful, India could become the first country to leverage data as a strategic currency in the AI era.

If we are to do this, we must act swiftly. Once AI models approach human-level performance across domains, any data advantage we currently have will disappear. And with it, the leverage we need to secure our technological sovereignty.

Waiting for true intelligence

After Alexa plateaued, Google Assistant stagnated and Siri stumbled, when will we get actual smart home assistants?

Abhishek Baxi
feedback@livemint.com

ISTOCKPHOTO

Amazon's new Echo Show 8 arrived earlier this year looking like a familiar promise wrapped in a slightly sleeker frame. A better display, improved audio, a new chip, and a custom sensor suite for new ambient experiences—all welcome upgrades.

However, its headline feature, Alexa+, the "generative AI" reboot of Amazon's assistant, is missing in action for Indian users. The hardware supports it; the location does not. This, essentially, sums up the state of smart speakers in 2026: a strange limbo.

The first wave of voice assistants promised a future where we would talk to our homes as naturally as we talk to each other. Instead, we got a decade of reminders, timers, weather updates, and the occasional Spotify playlist. Now, with artificial intelligence reshaping every corner of consumer tech, the smart speaker is poised for a reboot.

WHERE'S THE SOFTWARE?

Amazon remains the only company still treating smart speakers as a living, breathing product category. The new Echo Show 8—the fourth generation model that just launched in India—is proof. If anything, the software team waits for the green light to bring Alexa+ to more markets. That's after the company missed several deadlines to introduce Alexa+ in the first place, even as AI-powered chatbots like Google Gemini, ChatGPT, and Microsoft Copilot generated mass adoption.

Having spent time with the new Echo Show 8, the contrast between the hardware ambition and the software reality becomes even sharper. The device itself is genuinely improved: the new industrial design feels more premium, the thin bezels maximise the displays' viewing area, the spatial audio is fuller, and the upgraded 13mp camera finally makes video calls a natural fit.

The custom-designed AZ3 Pro chip inside is clearly built for heavier workloads—the kind that Alexa+ will eventually demand—and the new edge processing capabilities hint at a future where more tasks happen locally rather than in the cloud. The chip also packs in "Omnisense", a custom sensor platform designed for enabling ambient AI experiences.

But all of that potential sits behind the same Alexa experience that we've known for years. The assistant still struggles with conversational flow, still misfires on contextual queries, and still feels like a system optimised for commands rather than a dialogue. When you use the Echo Show 8 today, you can sense the gap between what a "smart device" in 2026 can do and what it's currently allowed to do.

Maybe Alexa+ is the very thing that would make the Echo Show 8 feel like a next generation product. The Echo Show 8 clearly has room to grow, but Indian buyers won't get to tap into any of it for now.

According to IDC, the smart speaker market has been in a limbo for a while now, but the category witnessed 86% year-on-year growth in 2025 thanks to a renewed impetus by Amazon. The company leads the category with an over 90% of the market share.

According to Debasish Jana, an analyst for the smart home devices category at IDC. "In India, the smart speaker has been the primary anchor device for the smart home ecosystem," he says. The new Echo Show 8 is competent and familiar.

But as a reviewer, it's hard to ignore the sense that the device is idling in neutral, waiting for the software that will finally let it stretch its legs.

THE MISSING OPTIONS

Google's smart speaker strategy has been a study in contradictions. After years of neglecting its Nest hardware lineup, the company quietly stopped releasing new speakers and displays. Third party Google Assistant devices never gained traction, and then Google Assistant itself stagnated.

Then in late 2025, the switch was flipped: Gemini for Home began replacing Google Assistant on eligible Nest speakers and displays in the US and Canada.

This wasn't a minor update. Gemini fundamentally changes how Google's home devices work, enabling natural conversations, contextual understanding, and complex multi-step requests. It's the kind of upgrade that makes the old Assistant feel instantly obsolete.

Older Nest devices are receiving the Gemini upgrade (requires a subscription). That's in sharp contrast to the broader consumer electronics trend of nudging users toward new hardware, but this may be the case because Google don't have new hardware to sell. The company's recent announcements of new Nest Cams and a new Google Home Speaker for 2026 suggest a renewed interest in the category, but timelines for India are anybody's guess.

Finally, there's Apple. The original HomePod, launched in 2018, was discontinued in 2021 after lukewarm sales and persistent criticism of Siri's limitations. The HomePod mini, introduced in 2020, became Apple's primary smart speaker, but it clearly needs a refresh.

Apple's challenge has always been Siri. While the company excels at hardware and ecosystem integration, its voice assistant has lagged behind Alexa and Google Assistant in capability.

HOPE FOR THE FUTURE

The smart speaker boom of the late 2010s was driven by novelty and convenience. But the category hit a ceiling for several reasons. Alexa, Google Assistant and Siri plateaued. Their conversational abilities didn't improve meaningfully, and users learned to work around their limitations rather than expect better. Additionally, smart home devices in India remain expensive and inconsistent.

And, of course, with better on-device AI and faster processing, many users simply prefer talking to their phones and get access to far better capabilities. Sonam Chopra, a management executive assistant at a multinational organization, says that her Amazon Echo is now just a showpiece. "My six-year-old still asks Alexa to play songs and occasionally some trivia, but my husband or I haven't used it in a long time. A "hey Google" query on my phone works better."

But this arrival of generative AI has also reopened the smart speaker conversation. Alexa+, Gemini, and Apple Intelligence represent a shift from command-based assistants to conversational, context aware agents. This reset could finally unlock the potential that smart speakers have been hinting at for a decade.

The first wave gave us convenience. The second wave, powered by generative AI, could give us something closer to a more competent household assistant.

Abhishek Baxi is a New Delhi-based tech writer.